

Colgate Palmolive (India) Ltd. (COLPAL)

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Call: Dec 2022

December 16, 2022

The Secretary
BSE Limited
P.J.Towers - 25th floor
Dalal Street
Mumbai - 400001 Scrip Code: 500830

The Manager – Listing Department
National Stock Exchange of India Limited Symbol: COLPAL
Exchange Plaza, C -1, Block – G Series: EQ
Bandra – Kurla Complex
Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call - Transcript

This is further to our letter dated December 13, 2022, regarding an Analyst Conference Call, please find enclosed herewith the transcript of Analyst Conference Call held on December 13, 2022.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link - <https://www.colgateinvestors.co.in/presentation-to-analyst/presentation-details-2022/>

This is for your information and records.

Thanking you,
Yours Sincerely,
For Colgate -Palmolive (India) Limited

Surender Sharma
Whole-time Director - Legal &
Company Secretary
Membership No.: F8913

Encl:a/a

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"Colgate -Palmolive (India) Limited Analyst/Investor
Conference Call"

December 13, 2022

MANAGEMENT MS. PRABHA NARASIMHAN --MANAGING DIRECTOR &
CEO , COLGATE -PALMOLIVE (INDIA) LIMITED
MR. M.S JACOB – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER , COLGATE -PALMOLIVE
(INDIA) LIMITED
MR. SURENDER SHARMA – WHOLE -TIME DIRECTOR ,
LEGAL & COMPANY SECRETARY , COLGATE -
PALMOLIVE (INDIA) LIMITED
MR. BALAJI SREENIVA SAN – EXECUTIVE VICE
PRESIDENT (HR), COLGATE -PALMOLIVE (INDIA)
LIMITED

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Page 2 of 26 MS. SARALA MENON -- EXECUTIVE VICE PRESIDENT ,
MANUFACTURING AND PRODUCT SUPPLY CHAIN ,
COLGATE -PALMOLIVE (INDIA) LIMITED
MR. RUCHIR BHATNAGAR -- VICE PRESIDENT ,
CUSTOMER DEVELOPMENT , COLGATE -PALMOLIVE
(INDIA) LIMITED
MS. SWATI AGARWAL -- VICE PRESIDENT , INDIA
GLOBAL TECHNOLOGY CENTER , COLGATE -
PALMOLIVE (INDIA) LIMITED
MS. SUJATA NAIRI -- ASSOCIATE DIRECTOR ,
COMMERCIAL AND INVESTOR RELATIONS , COLGATE -
PALMOLIVE (INDIA) LIMITED

Disclaimer : This transcript has been edited to remove any
grammatical inaccuracies or inconsistencies of
English language that might have occurred
inadvertently while speaking

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Page 3 of 26 Sujata Nairi : Hello, everyone. Good morning, and welcome to the Colgate -Palmolive Analyst Conference Call today. I'm Sujata Nairi, Associate Director, Commercial and Investor Relations. And I would like to extend a very warm welcome to all of you here, who are physically present and also to the participants who have joined us virtually. It looks really nice to see a lot of familiar faces around. So, thank you for being here. The session today will be for 90 minutes. We will start with a presentation from the leadership team. Post that, we'll have a question -and-answer session for 30 minutes, and we'll try our best to answer all your questions.

Before we start the session today, let me just remind you of our safe harbor policy. Please note that the conference may have some forward -looking statements. These statements are based on our views and assumptions at this point of time and are not a guarantee of our future performance. Before we go further, let me just introduce you to the management team of Colgate -Palmolive. We have Prabha, the Managing Director and CEO; Jacob, the Whole -Time Director and Chief Financial Officer; we have Surender, who's the Whole -Time Director, Legal; Balaji, who is Executive Vice President, HR; Sarala, who is Executive Vice President, Manufacturing and Supply Chain; Arvind, who is Vice President, Marketing; Niraj, who is Director, New Geographies; Ashish, who is Vice President, CS&L; we have Ruchir, who is Vice President, Customer Development; and we have Swati Agarwal, who is Vice President, India Global Technology Center.

Actually, Niraj, Ashish and Arvind could not join us today due to certain prior commitments. I would now request Prabha to share her opening comments as well as on the overall CP India strategy.

Prabha Narasimhan : Thank you very much, Sujata. Good morning, everybody. It's really a pleasure to see all of you here today. This is absolutely my first analyst meet at Colgate. I've been in this organization 100 days. And before I started talking to you about our perspective on Colgate and the way forward, I thought I'd take this opportunity to just talk you through what I've done that's brought me here in the first place.

So, I was actually just this last weekend at my 25th year reunion of IIM Bangalore, having graduated from that institute in 1997, and straight from there joined HUL, where I spent the last whatever, give or take, 24 years across numerous different businesses of HUL and numerous different functions, including consumer insight, sales across both Delhi and South branches. And over my last couple of roles, actually, I've had the opportunity to handle their Skin Care and Colors business and then most recently, the Home Care business over the last 2 years. I have the greatest of regard for that organization. And a lot of the stuff that you hear is really learnings from there in terms of how you build categories, how you build great brands and how you build businesses. And I'm actually really privileged to be able to move from an organization of that caliber to an organization of this caliber. And I'm very, very excited to be

here.

So, I want to start with really what were early reflections of Colgate. I'm sure a lot of this information is not new to you, but certainly worth us reiterating. It is India's most penetrated

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Page 4 of 26 brand. There is not another brand in this country that reaches more households than the Colgate brand. It has its spontaneous awareness in the category of near universal.

There are 4% of the country who when you ask them, Oral Care or toothpaste, don't say Colgate, but 96% of the country, otherwise, thinks of Colgate when you say Oral Care. We are about 3x bigger than the second biggest player in the Oral Care category. And I think that becomes both a privilege as well as a responsibility and we will talk about both facets of privilege and responsibility as we go forward.

I want to reiterate this piece because this was one of the things that really struck me as I entered this category. This is a company that is largely a single-category company in Oral Care. But in Oral Care, actually, I don't think there are many companies or there are any companies that are better than Colgate. Cutting-edge technology, we have thousands of scientists who on a daily basis are working towards making sure that the products that we have, have fabulous scientific underpinning backed by the right clinicals and are constantly on the quest of making them better and better, and we'll talk through some of these technologies as we go forward.

We have numerous research studies and a whole series of patents, almost about 1,500 patents a year. A couple of the most recent ones include the recyclable toothpaste tube, the arginine technology that goes into Colgate strong teeth, the MPS technology that goes into Colgate whitening. And I'll talk about some of these as we go forward. And we're actually very, very proud of the fact that we have 2.7x higher publications than the next player. And this underpinning of science is something that we will revisit as we discuss the way forward.

But what makes Colgate, I think truly fabulous in India is really its execution prowess. Small, focused company relatively speaking, but the reach of 1.7 million stores, actually comparable to pretty much everybody. 95% of these are active every quarter. And we have 70% of them now working on the algorithm, where we get the data, we're able to see what is sell in, what is sell out, what's our ability to add assortment and to make sure that we are constantly expanding what is both the availability in the right place at the right time as far as these stores are concerned.

And when you look at direct trade or modern trade, we're actually exceedingly lucky to have category captaincy, great partnerships with all of the key modern trade customers in this country. 75% of our business is actually supported by on-site merchandisers who help us to create the fabulous execution that I hope that you see when you shop. And as a result of this fabulous partnership, actually, our shares in the future-facing channels, which is both e-commerce as well as modern trade are usually higher than the shares that we have in traditional trade, which is, I think, a tremendous advantage for us as we do expect that these channels will grow faster and faster.

This is another unique area that is quite specific to Colgate. I'm sure many of you as I have grown up with the Colgate Dentist in advertising, and the fact that Colgate has the seal of

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Page 5 of 26 approval from the IDA. We have a great relationship with the IDA and the Dental Council of India. We are still the #1 brand prescribed by dentists in this country. And obviously, the trust and the relationship that comes with many, many years of working with these dentists. And

this is actually going to be one of the areas that I want to talk about first in t

erms of the future.

What we have done is to launch a platform called Dentist FIRST. It has been beta testing as we see to go live in 2023. This is the platform that is meant for dentists to be able to access the best of information and the best of products from the Colgate team to add one more leg to the already great relationship that we have.

Let me show you a quick video of how this Dentists FIRST platform is.

(Audio -Video Presentation)

Actually, we have a series of products that are actually targeted at dentists and consumers of dentists, and we do expect that we will be able to expand this portfolio because the Colgate global world, obviously, has a lot more products that we can bring into India in this space. And so, all of this together, the execution prowess the technology, the brand, the connect with the dentists, the connect with our customer partners, really makes t his one of India's most trusted brands. It has been so for decades. I think this measurement is perhaps only about a decade old and therefore the 11 years. But Colgate has been in this country for 85 years. And I would imagine that for 85 years, it has cer tainly been amongst the most trusted brands.

Early consumer work that I did before in my interim stage between the two jobs, that was the one thing that when you speak to consumers every time they talk to you about Colgate, the third or fourth word will be trust. I trust this brand to take care of my family's health, and that is the trust, I think, that which we, as an LTE truly value. And that is the trust that we hope we will make this company even bigger and even greater.

So, that then brings me t o what therefore is our opportunity sitting here as we do with such advantages. And I think the first opportunity for us, of course, is to drive category volume.

This is a category that has tremendous opportunity. If you look at a comparison to 2 other countries, if India uses x grams per annum, then in the Philippines, that number becomes 1.8x; and in Brazil, that number becomes 3x. And you take what is the roughly 250,000 ton market currently, and you can see the math's of where this market could easily e nd up.

If we double click on India and separate it out as urban and rural, you then see a really stark difference there as well. Rural consumers at 0.6x of the national average with 55% of them not brushing daily. So, that really does become our first and lowest hanging fruit to ensure that we are exhorting rural consumers to brush daily and to make sure that oral care is a part of everyday regimen. And then of course, in urban India, we have a very limited number of people who brush twice a day, which is a ctually the recommendation morning and night. And that 80% then gives us the other opportunity to continue to grow volume in this category.

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Page 6 of 26 The second part, of course, is for us to drive up premiumization or to drive value in this category. And what we hav e done is to take a look at another category, toilet soaps, which is every day, which is family use, which is we feel quite similar to toothpaste as a category. And as you see, what we have done is to really just break up the usage by the different socioec onomic classes. So, starting at SEC DE with the toothpaste number, if that is x value that a consumer spend the same set of consumers spend 1.7x on personal wash or toilet soap. And then when you take a look at that multiple at the more premium consumers, x becomes 2x in the case of oral care or toothpaste. And in the case of toilet soaps, 1.7x becomes 4.4x. So, if you take this math's to its logical conclusion, you can see how much larger and how much there is an opportunity for us as owners and leaders of this category to actually premiumize by offering newer and more value -added benefits.

And then if you take a look at where the toothpaste market sits in terms o

f pricing, you will see

that nearly 2/3 of the market sits in and around the 100-price index. So, between 90 and 110 is where 65% of the market sits. Again, a real opportunity for us to start offering benefits that allow us to get consumers to preimmunize and move up the value ladder. And this dual action of driving volume through ensuring regulari ty of brushing and driving premiumization is really the cornerstone of the growth strategy. And let me talk through the pillars of it. So, we have a really simple strategy. It's a simple organization with a simple strategy. Our first task will really be to lead toothpaste category growth. We are half this category, and this category in a sense looks at Colgate in terms of where it goes. And that will be our first pillar.

The second one, and I already alluded to this, is that the mouth, your teeth, obviously complicated biological mechanisms, and we do need them to have science underpinning the products that we sell. And our ability to deliver high -quality science with the greatest of tech and the newest of ingredients is truly unparalleled, and therefore, br inging science and using that to drive premiumization becomes our second pillar.

The third one is that we have a very, very strong business in toothbrushes. Our intention will be to continue to grow that toothbrush business as well as to make sure that we are getting into

various types of devices as we go forward and build that business.

And the last one, and I know many of you had questions in this space even a prior read through this discussion is to build a strong leg in Personal Care. So, that's really our 4 pillars, and we'll run through each of these individually.

Starting, of course, with the absolute hero of the Colgate portfolio, which is Colgate Strong Teeth, it is individually a variant brand that sits in 7 out of 10 households, it is the biggest share within the Colgate portfolio. It is the biggest share within the Oral Care world in India, and it is also the market standard pricing. And at that market standard pricing, it actually has industry-leading science that goes into that product.

Colgate Strong Teeth has arginine in it. Arginine is one of the patented formulas of Colgate globally, an ingredient that is already actually an amino acid that's present in your mouth and

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Page 7 of 26 works with your body to make sure that it protects your teeth giving you strong teeth. And I'm going to just play a couple of demos, first an ad and then a demo in terms of what this Arginine technology does.

(Audio -Video Presentation)

So, we are moving from Colgate Strong Teeth to our second biggest portfolio, which is really Freshness. And as I'm sure most of you know a really large benefit in the consumer space because as you wake up in the morning, that is one of the largest things that you are seeking. The MaxFresh portfolio has been a large part of the Colgate franchise for a long time and has recently seen an innovation in terms of combining the equity of MaxFresh with the idea of Charcoal, which is an on-trend and growing ingredient as far as Oral Care is concerned to create MaxFresh Charcoal. And nobody better than Ranveer Singh to show how this thing works.

(Audio -Video Presentation)

So, MaxFresh has just recently gone into the market beating our early estimates, and it continues to use the same cooling crystal technology, which is actually the backbone of the core MaxFresh range. And then of course, over the last little while obviously, there has been in the Oral Care category, a lot of conversation on Naturals, whether they are ingredient naturals or they are Ayurveda-based naturals. And you will see that from 2016 through 2019, clearly, the Naturals market was on a real upswing. 900 basis points. This is really the total contribution of Naturals to the entire market. It grew by 900 basis points

However, since 2020, we have seen a plateauing of the Naturals market between 2020 to 2022 as we speak. That market has now grown only by about 40 basis points. And we are seeing consumers starting to be able to differentiate between Ayurveda ingredients and the more scientific-based positioning. Our play in this will continue to be Colgate Vedshakti, a really good mix, which calls upon a combination of our understanding of both Oral Care as well as an understanding of Ayurveda.

And then, of course, we have Colgate Salt, which is I think Colgate's most successful innovation launched about a couple of decades ago. It is the third largest franchise in the Colgate portfolio, does exceedingly well in the South and East of India. And again, what it does is to take an ingredient like salt, ensure that we are able to understand how salt in combination with eugenol can work towards delivering total mouth and gum health, and that's the mix that has gone in. This mix supported, of course, by a lot of local content, given that this brand has its roots in South and East of India. We are able to create assets that work for that part of the country, quite specifically highlighting regional cultural codes and making sure that we are present as part of the daily fabric of life there. And I'm sure all of you have asked the question or been asked the question, is there salt in your toothpaste, and that's really where this brand sits.

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Page 8 of 26 That then brings me to the whole idea of growing consumption, critical leg in our entire thinking and the fact that 55% of rural consumers don't brush their teeth daily, they do have a substitute in terms of Datoon. However, there are deficiencies in what a Datoon can do. And as Colgate, it is our job to educate and convince consumers. What is the status of their oral health and how brushing daily with a good toothpaste actually helps them to have better oral health, which in turn has lots of linkages to their overall health. And that will be a key task for this year to make sure that we are driving category development particularly as we look at rural India, with the idea, simple idea of brush teeth every day.

I'm going to pause here just for a second because this is perhaps the most, I guess heart-warming slide of the entire deck. Colgate's commitments to oral health in India is actually unparalleled. It is a commitment that goes all the way back to the mid-1970s, starting with the

school program way back then, and this is a program that is consistently run since then, so now in its fifth decade. And starting at a small scale of about 0.45 million, it has now reached 170 million children. And this is not reaching them through one piece of advertising or one piece of content. This is about reaching them in their schools, in the formative years of 6 to 12 when habits get built. The Bright Smiles, Bright Future program is the consistent investments that Colgate has done and one that we intend to double down on.

We have tied up very recently with the government in Andhra Pradesh with Project Chirunavvu, which I understand means Smile in Telugu for those of you who are Telugu speaking. And our idea will be to go to about 4 million children in Andhra Pradesh. Taking this program of good oral health, what does it mean, and also talking about other things which impact your oral health, including tobacco spitting, et cetera. In addition, the program also works towards setting up dental infrastructure in the state to make sure that if you do have an issue, there is an infrastructure that allows you to take care of this issue. This, of course, is a great thing for Colgate to do, and I think it has a great commitment. However, it also has a significant business linkage because as we get Oral Care becoming part of the fabric of taking care of yourself is how we grow the overall Oral Care

category in this country as well.

That then brings me to the second pillar, which is really science-led premiumization, and I want to talk about a few spaces. You're starting with the latest launch of this year. I hope that all of you have seen the Colgate Whitening launch, a couple of fundamental shifts here. Firstly, this is a big foray into oral beauty. Oral Care, otherwise, largely a health and hygiene and protection category. However, with Whitening, we are now making a play in oral beauty, which we think has tremendous potential. And I'm going to play the ad and then talk a little bit more about what we've done.

(Audio-Video Presentation)

I must confess I saw this advertising before I joined this company, and it certainly did make me smile out loud. This has been a tremendous launch. We are seeing great traction. Colgate owns 70% of this segment. We've seen tremendous traction in terms of the way this mix is doing as well as the base Visible White, which already existed in the market is doing, and we

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Page 9 of 26 are seeing tremendous opportunity in terms of the linkages to things like weddings and festivals, et cetera, where beauty gets heightened and plays a much larger role and our ability to include oral beauty into the regimen of men and women at these moments is really where the focus will be as we go forward.

The second one, of course, is the whole idea of Colgate Total. I think if you talk to Colgate people anywhere in the world and you ask them which toothpaste they use, there's a very high likelihood that this is the one that they will say. This is once again a patented formula. It's dual zinc plus arginine, which is also known as DZA. Probably the best family health toothpaste and an opportunity for us, again, to premiumize from Colgate Strong Teeth into Colgate Total. And then, of course, Kids, as all of you, I'm sure, would know, milk teeth have thinner enamel than your permanent teeth. And therefore, the care for kids' teeth actually really critical.

Firstly, because the habits that they build when they're young are really the habits that they keep as they grow older. And secondly, because the better the quality of your milk teeth and the lack of cavities and the lack of impact on them, actually the likelihood of the better the quality of your permanent teeth.

And therefore, a range of products made for children from 0 to 6 as appropriate and these sold through the right groups and the right cohorts, which is parenting platforms and making sure that we are available and communicating this information in the right place at the right time to the right people. That brings me then to toothbrushes in a slide, which I hope is now familiar to all of you of what is the opportunity. The techies in our business would have you replaced your toothbrush once every 3 months. In India, on average, every urban consumer replaces their brush once every 6 months and every rural consumer once every 15 months. Therefore, getting consumers to replace their brushes at the right frequency becomes a real opportunity to grow this market. And most toothbrushes, the average price of a toothbrush in India is actually Rs.20, 64% of the market sits under Rs. 30. But now there is a lot of technology that is going into toothbrushes, which really heightens at the experience that you get and the efficacy of your overall oral care habit and therefore, our efforts to make sure that the 64% keeps moving right.

And in that, I want to talk about a couple of things, Super Flexi, which is a large part of our toothbrush business we launched this year after a decade, I think, strong distribution, great uplift in terms of visibility. And this, coupled with Gentle, which is really where the focus is, is the 2 flagship parts of our toothbrush portfolio. And I'm going to spend 10 seconds on just talking about Gentle. I don't know

w how many of you know because I didn't know it. I always thought that the more medium and harder the toothbrush, the better the abrasive action and the better the impact on your teeth, actually not true. The softer the brush, the better because it goes into all the gaps and grooves and works harder than the harder brushes without being abrasive. And therefore, Gentle is really a revolution. It is by far our most successful toothbrush range, comes in a variety of prices starting at 2x of the market and going all the way up to 8x. And through 2022, actually, we've seen some phenomenal results on Gentle.

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Page 10 of 26 And then, of course, if you're going to do Oral Beauty, then clearly, there must be a device that works with Oral Beauty. And therefore, a toothbrush that has been crafted to enhance the whitening impact of your toothpaste, because they work in conjunction, it is a system. So, if you want whiter teeth, you should buy a toothpaste and the toothbrush and therefore, the launch of the Visible White O2 toothbrush. Just, of course, beyond the world of manual toothbrushes is the world of electric toothbrushes or powered toothbrushes still very, very nascent in India. But as we look westwards and we see what's happening, we do see that the adoption of electric toothbrushes becomes quite large. And once you get used to an electric toothbrush, it's very hard to go backwards into a manual toothbrush. So, we do have a large play on electric toothbrushes. Starting, of course, with the ProClinical range. We also have a range that meant for kids because habits that are taught early in life are really the habits that stay with you, and we're seeing very, very good results. And in fact, a lot of electric toothbrushes in this country come in because they come in for the child. The efficacy is seen. They then get adult start adopting the toothbrush as well. And then, of course, we have launches, which are tailored just for adults.

(Audio -Video Presentation)

I think they are just really the convergence of design and brushing your teeth, truly beautiful toothbrush. And then like I said, there are products and devices that we do expect that we can use the connect that we have with dentist to sell into the appropriate people, along with the requisite education on how to use and water flossers are one of the set.

(Audio -Video Presentation)

And all of this is actually supported by a D2C site on brushes. These are high -value items that also require a, a degree of targeting, b, a degree of information on how to use and how to get the best out of your electric toothbrush. So, we do have cpbrush.co.in, done really well, launched towards the back end of last year, done really well for us through this entire year. And of course, having a DTC site also ensures that as an organization, we are able to upskill and learn in terms of how this entire digital consumer journey works and those learnings then get fed into our core business as well.

That brings me then to really the last pillar, which is about building personal share, and this is centered on this absolutely beautiful brand called Palmolive. We have 2 plays in Palmolive. We have the hand and body play, where we are actually about 20 share of market in some key customers in e-commerce, a really luxurious and sensorial range of body washes, market is extremely nascent as I'm sure most of you know, which then gives us huge opportunity in terms of as the market evolves for this body business to keep getting larger and larger. And these are truly spectacular products.

Through 2022, we have actually launched a Face Care category, a whole different set of learnings because obviously, the codes of body and face tend to be quite different. This is some work that we are doing in terms of putting it in as a pilot, making sure that we're getting all the

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Page 11 of 26 learnings of the Face Care category, democratizing those across the company and then making sure that we are ready to scale up phase as that comes to fruition. So, good early start, but lots of hope for this Palmolive brand.

(Audio -Video Presentation)

So, that really, I think, is about the 4 pillars of our strategy. What we have under those 4 pillars is a set of enablers starting with superior science-backed products. Then we're going to talk a little bit about the financial efficiency of this organization, which is actually exceedingly robust. The third one is to make sure that we are digital at our core, and how are we keeping up and making sure that we are taking the lead on many of the things that allow us to get competitive advantage by digitizing, people at the heart and the core of everything that we do because without them, there is really nothing to deliver and nothing to do, and we'll talk a little bit about how we nurture and grow our talent and of course, ESG. We come from an exceedingly responsible organization that has some tremendous commitments in the space of ESG, and we'll talk through some of those commitments as well. I'm going to start this off and then hand it over to Jacob.

Starting actually with superior science. And if you see the Colgate portfolio, the one thread that actually runs through everything that Colgate does is the fact that if the product is in the market, that product is backed by superior science. Whether that superior science is arginine and Colgate Strong Teeth, whether that superior science is MP S in Visible White, whether that superior science is the cooling crystal technology of MaxFresh or the Eugenol technology with salt in Colgate Salt. Whatever it may be, the product will be backed by superior science. And that's really Colgate's core promise in terms of developing superior products and something that we will continue and spend more and more efforts actually talking and educating consumers on. And that translates to toothbrushes as well. So, that's really the leg on superior products. And I'm now going to hand it over to Jacob to talk through financial efficiency.

M.S Jacob : Thank you, Prabha, and good morning, everybody. So, financial metrics continue to be industry leading. Gross margin, these numbers are for the last completed year, which is FY '21, '22. So, we ended up gross margins for the year at 67.1%. The advertising at 12.7% demonstrates our commitment to continue to invest behind our brands. Our overheads, we tightly controlled. If you noticed the trend over the last few years, that's given us a leg up, and our profit to sales that's in part to sales ratio at 21.3% is among the most healthiest. So, last year, we also crossed the threshold of the Rs. 5,000 crore mark. We ended at Rs. 5,066 crore. This year, so far, the ratios have come off a bit, but we still remain best in class. Moving on. So, these are the two fundamental pillars that support our strategy to drive sustainable, profitable growth. So, on the revenue side, we have a process called Revenue Growth Management or RGM. And on the cost side, we have a process called Funding the Growth or FTG. So, RGM is all about using analytics to drive premiumization, drive promotional efficiency and driving pricing across different segments. On the other hand, the funding the growth is about taking cost out of the system. We have always been very good in COLGATE -PALMOLIVE (INDIA) LIMITED
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Page 12 of 26 this area. There's a razor-sharp focus on pulling costs out. So, we look at all aspects, all lines in the P&L, and we have teams that look at it throughout the year, cross-functional, there is brainstorming that happened. There's benchmarking that happens. And it's so well embedded that it's not unusual for us to have people from, say, the sales team or the marketing team come

with ideas on cost savings beyond their normal revenue responsibilities. And this has helped us drive efficiencies across the system over time. And with this, we are able to reinvest behind our brands and stay on that trajectory. So, a good testimony to the success behind the effort in this area, both the RGM and the FTG area is the EBITDA trend. It's up by 900 bps in 10 years. So, definitely industry-leading again. Enhancing shareholder value, one of the big commitments from this organization. So, going from the bottom, our EPS is up 2.4x in the last 10 years. Dividend per share, 3.2x, and our commitment has been to return money back to shareholders if we don't have better use for it. Working capital at minus 29 days, again, demonstrates the efficient way in which we manage our resources, strong cash position and shareholder value since inception, CAGR of 24%, again, among the best in the class.

So, with this, I hand over to Ruchir, who will take us through the digital section.

Ruchir Bhatnagar : Thank you, Jacob, and good morning, everyone. So, I'm going to talk to you about how we've created an organization that is digital to the core. When we say that we are truly digital, we really mean it. We've established an entire digital analytics wing, which is made up of a host of data scientists that work throughout the time to make sure that every single possible data point is extracted from our digital ecosystem and is run through multiple machine learning analytics to give us information at our fingertips. We are truly connected and making sure that all our systems are talking to each other. The data is pulled in from all the data points that allows us to run through multiple programs that gives us predictive insights. These insights are put into experiments, into projects and also into execution.

Let me give you an example of this. Prabha talked to you about Smile Stores, and that's a program that we are particularly proud of because it's become a way of life for the CD or the sales team. Smile Stores is really an artificial intelligence-led assortment recommendation program. We cover 1.7 million outlets. The best way to make sure that our execution is right and we continue to extract best value from each of these stores is to make sure that you are able to provide your salesmen with the right information that can be sold into these stores. And that's exactly what Smile Store does. It captures information from all possible historic data points about the store from their past purchases. It looks at data points from the stores that are in the vicinity of that and what are they buying, what are the economic indicators of the consumers who are in the neighborhood of where the store is. All that is brought in together and churned and provides a set of inputs that the salesman uses. That gives the salesman true power to be able to drive mandated assortment, assortment that the store should not exist without and also future assortment that allows us to give futuristic products to the store basis on the consumer needs.

Page 13 of 26 All of this is customized for each one of these 1.7 million stores every single day, every single call. That is how we are using analytics to our advantage. The same analytics is put behind RGM, which is what Jacob talked about, and promotion and analytics to give us information on how can we best utilize our promotions and how can we get maximum growth out of our initiatives.

Here is another example of how we are taking digitization into the future. We are really creating a digital analytics tool to significantly enhance our in-store execution. Another big area where the customer development team can really bring about a difference in the off-takes inside our stores. So, introducing to you AmaZing, which is an artificial intelligence-based image recognition tool. Let me tell you what

AmaZing does. Let's go back to the erstwhile era.

In a typical modern trade outlet, a merchandiser would typically go into the store. They would go look at what the shelves are. And then there is something called as a planogram, which is how the products are arranged onto the shelf. They will look at each of these products. Then they would refer to an image that they would have either on their phone or in a printed format to see how the planogram is varying. And then basis his own understanding, he would correct the shelves, which is really a time-taking process, and it also allows him to use his own thought process on how it should be corrected. Another thing that he would do is physically calculate every single piece of toothpaste that is kept and then calculate the share of shelf that the products occupy. He would then go out and start calculating every single product and see which of the products are out of stock and that would be listed down.

And the last task that he would do is make sure that our secondary assets, he would notify which are the ones that are in good condition or in bad condition. All of this is done manually. And then once he's completed with all of this, he would go back after the store visit at the end of the day, shooting out information reports to make sure that people who are responsible for out-of-stock, they get to know information, people who are responsible for our asset health, they get to know that information. All of this is being done manually.

Enter AmaZing, where this entire process has become automated. This is an image recognition tool where the merchandiser simply has to go and point his phone in front of the category. He clicks pictures and the machine engine works in the background to digitally issue all these pictures together into a shelf. Then this information is churned real time. And within a minute, real insights are available to the merchandiser. These insights immediately tell him based on the image recognition, how the planogram compliance has been there. What can he change? Now he's not applying his brains. The machine engine is telling him what needs to be changed on the shelf, on the spot within a minute. It calculates what is the share of shelf, automatically gives them that information. It looks at out of stock, pulls out a report of what is there that is out of stock, and that is sent out to the relevant team members that need to work on it, and make sure that the asset health as he clicks a picture, he identifies whether the asset is in the right position, is it looking tattered, is it broken, and that information is captured and sent out to the other teams. All of this is done completely automated.

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Page 14 of 26 This has saved significant amount of time that our merchandisers spent in front of the shelf and also completely automates how we execute on our shelves, making them look impeccable. AmaZing, as we talk today, has already analyzed 7 lakhs plus images. It's an initiative that we rolled out 6 months back, and it's been scaled up rapidly. We have trained 600-plus products on a day-to-day basis, and 40-plus assets have been trained, and it works with more than 90% accuracy levels. Let's see how this works.

(Audio -Video Presentation)

It's AmaZing, and we're really proud of it. As you can see, it sits as a simple app in the handheld of our merchandiser as the Smile Store, which sits as a simple app in the handle of our DSRs.

Moving on, we are also looking at driving our Colgate equity through digital medium. At multiple points at multiple festive locations, we continuously see Colgate Smile as an equity across the lives of people. And what we started to see that, as we continuously do and as people interact with the Colgate Smile asset across multiple platforms, they've started to imbibe it in their day-to-day lives. We've now start

ed seeing Colgate Smile getting referred to in the day-to-day uploads of our consumers as and when they feel it's fit, and you can see that we are already reaching more than 400 million Indians, which definitely contributes to brand love.

To make sure that we are quick and efficient, we've created a digital lab completely in-house. This is a lab that is made out of well-trained creative people as well as editors who can help us create digital assets in-house. This allows us to make sure that larger volume of digital assets can be created at much faster turnaround times, making sure that we save significant chunks. You can clearly see that about 87% savings have come from the production cost. All of this would have been done externally, but now it's done internally with people who understand our business on a day-to-day basis and give us what we need at lightning speed.

I would now like to call on Bala to take us through the organization and talent.

Balaji Sreenivasan : Thank you, Ruchir. Some fascinating stuff in the digital space, but we all know that this space is changing every day and is fast evolving. So, the question we ask ourselves is how do we create an organization and have talent in the organization that is helping us or will help us stay ahead of the curve and keep us future ready. And to address that, we have a clearly articulated strategy in terms of talent, around build, buy and borrow strategy for talent. But we also realized that having a culture in place that enables that growth mindset and agility in the organization is critical. So, over the next couple of minutes, I'll just walk you through the elements. These 4 elements that we have in terms of building the organization for the future. So, one of the biggest reasons why people leave FMCG industry and go to consumer tech or to start-ups, apart from money, of course, is the fact or the fear of obsolescence that they have. So, they're worried that people are not able to get new skills. And that also makes us as FMCG COLGATE -PALMOLIVE (INDIA) LIMITED
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Page 15 of 26 organizations. And this is true not just for Colgate, but for all FMCG organizations, behind the curve in terms of being staying fit.

So, our way to address this is that we want to give people an opportunity to not just develop deep expertise in the core and the traditional aspects of the FMCG business, but also have an opportunity to develop new skills, whether it is in the digital space or in RGM or any of those spaces. So, our two big programs that we have called LEAP, which stands for leadership experiences and advancement program; and Evolve, which is an internal talent place, talent marketplace that we have. These are two big programs that are geared towards giving people the opportunities to experience and learn not just the core, but also the new skills that they require in the organization that will keep us as an organization future fit.

The other big pillar for us to drive growth and strength in the organization is, we leverage our global organization and global experiences to develop people. So, at the moment, we have about 63 odd people, Colgate CPIL alumni, who are in the global diaspora. And the intent is that we export this talent and we bring them back in to help us lead the organization. 90% of our LT today that are sitting here is with global experiences. But we also realize that from time to time, we need to buy talent from outside. We need to infuse diversity of thought and getting new skills into the organization to keep us future fit.

Some great examples are here with us, my boss Prabha, who's come from outside. But we also have Swati, who is our new Head of Technology. Swati comes in with great experience in HUL and J&J and Reckitt, across the different categories in terms of product development and research. We are focused on getting external skills, particularly in 3 or 4 buckets,

in the digital

space, primarily, digital marketing, commerce, and we have a full-fledged data and analytics organization in the organization.

And we are also looking at bringing in new skills in terms of automation and robotics and industrial revolution in the supply chain organization. And like I said, from time to time, we also feel that to be more efficient, we can borrow skills from outside. So, we are also exploring partnership with external organizations, and borrowing talent through the gig talent pool that is available outside. But to enable all of this talent to work and keep focus on growth, we understand the importance of having a culture that fosters growth. So, there are 3 pillars to our strategy around culture. The first one is on D&I. So, we understand the importance of diversity of thought, but to enable the diversity of thought, really want to have is an inclusive environment. And therefore, a lot of policies and programs have been rolled out in the last few years to make ourselves a more inclusive organization. So, our workplace inclusivity for new parents, a WIN program that we call, is essentially geared around making ourselves a lot more inclusive for new parents. So, there's a lot of flexibility built into that program.

We also realize the importance of well-being. I mean COVID has taught us that physical and mental well-being are very, very critical for talent to be attracted and retained in the organization. And we have partnerships with companies like, WYSA, which is an artificial intelligence-based chatbot, that helps people deal with mental health issues. We also have our COLGATE -PALMOLIVE (INDIA) LIMITED
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Page 16 of 26 EAP or Employee Assistance Program; and 'BlendIn', which is our new hybrid working

policy, has worked brilliantly for us. We have over 70% of the managers saying that this has actually helped them improve productivity and motivation in their teams.

Last but most importantly, we want to have a culture that is performance oriented and builds agility in the organization. So, we are focusing on a lot of initiatives to drive what we call Feed, which is focused, empowerment, experimental and digital. And a lot of initiatives are going around this space, so as to be able to have an organization that focuses and drives growth. And all of this is helping us. It's helping us also in terms of some employer branding activities. We were recently recognized by Economic Times as one of the best places for women. We've got recognized for our HR policies and therefore, employee excellence in the organization.

So, with that, I'll now hand over to Sarala to come and walk us through our efforts in the ESG space.

Sarala Me non: Thank you, Bala. And I'm privileged to talk about our environment and social governance. Our purpose is really to build a healthier future for our people and the planet. And that's been the cornerstone of everything we do and every decision that we make. We do a lot of work to really build healthy habits, better homes, preserve and enhance our environment. And we put out our maiden ESG report this year. I hope you've had an opportunity to look at it, but if not please do. This really articulates what we have done in this space and also our commitment towards ensuring sustainable leadership. And when we talk of ESG, we have very clearly articulated our 2025 goals, which is underpinned by very strong governance. And like everything else, we have a Smile strategy, which is really talking about driving social impact, helping millions of homes and preserving our environment.

And I'll talk a little more about it. It's actually very inspiring to see that today's sustainability cuts across and has become a very important thing for not only authorities, governments, stakeholders, but also very inspiring to see that our younger generation is very committed towards a sustainable environment.

So, let me first talk about the driving social impact. Bala talked about how internally we have a culture, which is diverse, equity and inclusive. We make sure that our culture allows people to feel safe and bring their authentic self to work. But we go beyond that. And we have done a lot of work in terms of working with our communities and making sure that we provide opportunities. So, for example, water, which is a very scarce resource, we have worked with people in water-stressed areas to ensure water availability and replenishment. We have also worked with women to make sure that they get data, digital and financial literacy. And in this process, have been able to impact positively almost 45,000 people, mainly women to make them more empowered and self-sufficient.

On helping millions of homes and ensuring a future to Smile about, as Prabha told, we have launched the first recyclable tubes. It is patented, but it's open to the world because we believe

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Page 17 of 26 that that's what is going to help a circular economy. We have already launched a few of our products in recyclable tubes. And it is our commitment that in the near future, we will go to 100% of our portfolio in recyclable tubes.

On brushes, we have really tried to see how we reduce plastic and use recycled plastic and also a very interesting concept of the KEEP toothbrush where we have a metal handle and we just need to replace the head, which means that we are using less of the full brush. So, again, work across all our products, all our categories in terms of trying to become more sustainable. And we really work very hard in terms of preserving our environment and making sure that we do our bit. We have very clearly articulated goals across the end-to-end supply chain. And for example, we were the first company in 2019 to get the TRUE Zero Waste certification across all our factories. And we continue to have efforts to ensure we maintain that certification. We do a lot of work in terms of water. So, 3 out of our 4 factories are water-neutral or positive. And only in Baddi, we have a challenge because we have to mandatorily give water to the central effluent treatment plant.

Similarly, we do a lot of work in terms of reducing energy consumption and renewable energy. So, as you can see, at Baddi, we have 85% hydroelectric power. And in our factories at Sanand and Sri City, we work and ensure that we are using renewable energy, whether it's solar, wind, hybrid energy. And across the supply chain, we work not just to reduce water, energy, plastic consumption. But we've also used Internet of Things. We do a lot of work in terms of going from preventive to predictive maintenance and really cut down waste and preserve the environment across every element.

And with this, I hand it over back to Prabha to summarize our strategy.

Prabha Narasimhan : Our first and primary focus is really for us as leaders of the category to drive category volume growth. I do realize that this is a task and a journey that will take some time because moving consumer behavior is never the easiest thing in the world, but it is a task that we are committed

to. The second one is that we are a science-based company. We have the greatest tech in our products. That is something that we will continue to use to drive expertise. Our intention is to build a viable personal care business, with our cornerstone brand, Palmolive, but also to look at inorganic opportunities that will allow us to build this viable business.

And like you've heard from my colleagues, the idea is really for us at an entire organization level to make sure that we continue to keep what is a simple business, simple free of unnecessary sludge as I have been reading about in a book, make sure that we are digitized end-to-end and make sure that we have our people energized and fit to compete in a new

world. So, that's really our strategy.

Thank you very much for your attention. I'm going to hand it over to Sujata to kick us off on the Q&A.

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Page 18 of 26 Sujata Nairi : Sure. So, we'll start the Q&A session. We will first begin with the certain questions that we have got from the audience. So, I already have a list of people who have asked us certain questions. So, we will first go ahead with that. And then we'll go to the participants who are virtual. What I'll do is I'll call out the name of the person and the person can just raise their hand so the mic can come to that person, and then we can go in that order. The first question is from Arnab from Goldman Sachs.

Arnab : This is Arnab from Goldman. I'm not sure if it's the exact question I had submitted, but, nonetheless. So, in categories which have such high penetration, 95 -plus, what we've seen is companies which deliver high growth are those which can very quickly that premiumization done. We've seen it HUL with laundry, it was like 99 penetration 20 years back. Why it is the penetration so slow in this category, it's happening at a very slow pace, not to move the needle significantly for growth. And is there anything differently that you think you should do now versus the past which will accelerate over past?

Prabha Narasimhan : So, you mean why is the premiumization is so slow?

Arnab : Yes, in Oral Care especially much slower than some other categories like Laundry, where we have seen it much faster.

Prabha Narasimhan : I think firstly, if we were to just take a look at the penetration journey of this company, probably of this category driven by this company. You will find that Oral Care penetration to reach the level that it has reached has happened over the last 10, 15 years. In fact, if I remember my numbers correctly, the Oral Care penetration a little over a decade ago was in the 80s. So, there has been growth to be had by getting the penetration from the 80s to where we are at. So, to come to the second part, is premiumization and opportunity, 100% it is. How will we go about it? I think we have 3 prongs to it. One, there is this idea of family health for protective oral care and how can we make sure that we have the right products with better and better technology, Colgate Total being one of them. And how do we make sure that we are reaching consumers who have the ability to premiumize with Colgate Total. Then, of course, we have this whole idea of Oral Beauty and Oral Beauty opens up a vast vista of things that we can do to drive premiumization. It is very distinct from the hygiene and protection play of Oral Care. It's a brand -new play, tends to be much less price elastic than the core business, and that becomes the second thing.

And then the third one, of course, is for us to leverage our partnerships with dentist and the professionals to make sure that we're able to drive indication where once again, when you have a real problem, you need a real solution. And there, again, you tend to be quite price inelastic. So, our premiumization strategy will work on these 3 legs. And we do feel that while we certainly inflation and some of the pressures that we are seeing might make this a relatively slow burn, it is something that over a period of time will give results.

Arnab : Just one follow-up question. So, the lack of packs or sachets this category, is that an impediment to the process being fast?

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Page 19 of 26 Prabha Narasimhan : Actually, we have every variant of our core business available at Rs. 10, which is now truly

becoming almost the base level pricing for most FMCG categories. So, do we believe that we need to go lower than that? Unlikely because this is also a daily use product, I get it into the house, I use it every single day. So, we do think that with

h Rs. 10, we are in a good place, and

we are represented with Rs. 10 across the entire core portfolio. And we have recently taken whitening into the Rs. 30, Rs. 35 segment as well, which allows assets for consumers who want to try at specific occasion, wedding festival, et cetera, who want to step into the overall beauty category. So, between this, I think we have enough, don't perhaps need to go lower than

that.

Arnab : And just my last question was on personal care. So, as you're starting from a very small base here, the investments that you would need to put into build us the actual business, would it continue to have the guardrails of overall margins, because it may require significant step up in advertising spends and other things. How do you think of that and the context of putting the overall margins on Colgate?

Prabha Narasimhan : So, I'm going to keep this one offline and maybe let Jacob complete. But I think from an opportunity perspective, the opportunity in Personal Care is undoubted. And as soon as we have a model that we can see results, I don't think investment will be the blocker to us growing that business. On the margin specific, Jacob, do you want to add?

M.S J Jacob : So, I mean, Personal Care typically tends to be high gross margin, low EBITDA in many ways. So, especially when you're at the investment stage, so we are willing to commit to the investment. Gross margins will need to be at reasonable levels. But the EBITDA, we expect would be much lower than the rest of the company EBITDA because we will be investing behind the brand.

Sujata Nairi : The second question is from Richard from JM Financial.

Richard : I have 2 questions really. One is macro and the second one micro to Colgate. One, Prabha, with regards to whatever you presented regarding the opportunity, et cetera, it seems very clear that rural is where the volume growth opportunity is, right? I mean, while there is overall a premiumization game. The thing is that if we look at all these data points with regards to attractiveness of the category, right, I mean, first per capital consumption will become 1.8x if we get to Philippines, 3x if we get to Brazil. The thing is that all these data points would probably have looked the same even 10 years back, right? And if you just leave out that FY '08 to '13 period where there was a lot of distribution expansion, I think volume growth in the rest of the periods have been pretty much muted, right, despite all these attractive macros. How do you piece these 2 together? I'll and come to the micro question later.

Prabha Narasimhan : So, I think my comment on that one would be that, this is a function really you would know, I'm sure, being in this industry a long time, that building categories and growing consumption is not easy. Actually, it is easier to grow penetration than it is to grow consumption. And the actions that you need to take to build consumption really need to be that you have a model, you COLGATE -PALMOLIVE (INDIA) LIMITED
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Page 20 of 26 have a product at the right price points available in the right place. And most importantly, you do this consistently over long periods of time. And I think the difference that we want to bring about is really to bring , we believe we have the right mix, we certainly have the reach to get to these consumers, whether it's mental or physical availability.

What we really need to do is to make sure that we are consistently investing behind this to make sure that we have a model that then starts delivering. And maybe that is one thing for us as we go forward becomes a cornerstone of strategy, that however things are going, this is an investment that continues to stay ring-fenced for us to build for the future. So, that would be my answer in terms of the development of the category.

And really, our effort in rural India will be based on a simple premise of brushing every single

day is actually good for your overall health and actually, you're therefore your total health.

And on that premise, we will stay consistent.

Richard : This strategy has not worked in the last many years?

Prabha Narasimhan : I think the investments over the last little while have faced some pulls and pressures in terms of where the money has gone and the level of consistency with which we have done this. And I know it's not simplistic, but that's probably the answer to growing categories. You can't do it and then stop and then do it again. You really need to stay at it and be consistent. And so that's really our intent.

Richard : Second question is if you can talk a little bit about the relationship of Colgate India with the parent, right? I mean how important is India for the global system? And since you have the experience, just pose it with what you've seen in successful organizations like HUL and maybe even Nestle, if you look at it as an outsider as well. And how important is this recognition for India to perform? And in terms of the ability to take decisions, margin perception or at least the percentage of margin obsession. How do you look at all these?

Prabha Narasimhan : So, I think, firstly, from where does India sit in the overall scheme of things, it actually sits very, very high. Colgate has I think 5 pillars in its global strategy. One of the pillars calls out 3 key countries. Of the 3 key countries, India is one of them. So, it absolutely it's at the heart of the global strategy of Colgate.

In terms of how much leeway do we get, I must confess that I've grown up in an organization which said that you get profit through growth. And therefore, the logic of that will apply here as well. The idea will be for us to make sure that we see the fact that we have extremely strong margins actually as an advantage for us to be able to invest to grow the business. And that's

exactly how we intend to run it, which is to see we have a great business. We have the ability to deliver this kind of margins because of the fabulous brand and execution that we have. And we take that advantage and invest back in the business to drive growth. And that really will be the philosophy and I think that's the philosophy that is aligned with the global teams as well.

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Page 21 of 26 Richard : And in case of the course of this journey, you realize that maybe to actualize that 3x PCC, that the present is that you may be able to, let's say, devise the business plan where you can grow explosively, but you need to sacrifice margin, right? This 30% margin, maybe down to 20% or whatever. How easy or difficult will that decision be in terms of the negotiation with Colgate Global?

Prabha Narasimhan : I don't want to comment on the specifics of the margin, but what I do want to say is that the mandates that I have been given is that to make sure that we drive growth in this country because everybody sees the headroom opportunity. And as and when, when we have a model which allows us to get explosive growth, I think it will not be hard to find takers for that model.

Sujata Nairi : The next question is from Latika from JPMorgan.

Latika Chopra: My questions are more extension of the previous questions. So, let me first check on, what kind of revenue growth we envisage for Colgate India over the next 3 to 5 years. You now last couple of quarters have been quite subdued on volumes and clearly rural penetration and premiumization are two building blocks that, you elaborated. So, any thoughts on what is potential of your revenue growth that you would aspire for over the medium term?

Prabha Narasimhan : So, I'm going to put some stakes in the ground and then as always when specific questions come, I hand it over to Jacob. So, I'm going to put some stakes in the ground in terms of what we're committed to. Our commitment is really to

make sure that we are driving competitive growth while we make sure that we grow the category. I think both of these as the leader of the category, it's important for us to make sure that we get these 2 markers, right? In terms of ranges, et cetera, Jacob always yours.

M.S Jacob : Yes. I mean I wouldn't put out numbers in the next few years, but our objective is to restore the kind of growth we have seen till like 2, 3 years back, driven by category, of course. The category is, for example, this year, volume is declining. So, Prabha mentioned in her presentation, now we're going to drive the category as a big driver of our own revenue and then build on that with doing the right things to drive share increase. So, to grow the category and grow ahead of the category, those would be the 2 key things that we'll be monitoring.

Latika Chopra : Second question, Prabha, in your experience, this is 1 eternal hire by Colgate to run the business here. Do you sense more flexibility of more independence to take more localized decisions or maybe today here and whether it's in terms of more localized innovation, whether it's terms of allocating money, given new interest of being personal care. So, do you sense there is more independence that comes with this versus probably your predecessor?

Prabha Narasimhan : I'm going to stay away from the comparisons, but I'm going to tell you that in the 100 days that I've spent here, I don't think that anybody has told me there is something I can't do. And I think as we work through this as a team in terms of what we intend to do in 2023, the brief really has been bought this, see where is the opportunity, see how you can leverage, what is a fantastic

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Page 22 of 26 organization to get to growth. And that's really been pretty much all that we've been focused on. And hopefully, as we go into 2023, a lot of this will come to fruition. So, not seeing constraints, there are obviously enough and more hurdles in the market between inflation, unemployment, the tightness of wallets, the fact that consumer behavior is not easy to change. So, I think we are completely cognizant of the fact that this is not a magic wand that we're going to wave, and everything is going to suddenly become Brazilian levels of consumption. But this is something that we have utterly committed to. And we do believe that we have the absolute right to be the company to do this, which is where I think the belief and the pace comes from.

Sujata Nairi : The next question is from Harit from Investec.

Harit Kapoor : Just had one question on the global portfolio. So, in India, we have about 95% being Oral Care, but globally, it's about 44%. While you have articulated your strategy on going strong in personal care as well. There's a large home care portfolio globally. And you obviously have expertise there, given what you've done with HUL. I just wanted to get your sense on either large spaces like Home Care, emerging spaces like Pet Care, both of which have global salience and how you would think of that, maybe not in the next year or so, but are those opportunities that may be 3 to 5 years, you can also look to leverage?

Prabha Narasimhan : I think from the immediate term perspective, it's been brought up to say that you must not bite

off more than you can chew. And I think that between the opportunity that exists in oral care undoubtedly across both toothpaste, toothbrushes, devices and the opportunity that we have in Personal Care, we probably have our plates and hands full for the next little while. Depending on how those businesses progress, I don't think we are seeing no t o further expansion into where Colgate plays globally. But at this moment, Oral Care and Personal Care will be our focus. But we just keep watching the space in terms of when it's the right time for us to look at maybe adding a third leg to this dis

cussion .

Harit Kapoor : I just had one short one on Personal Care and Palmolive specifically, you did mention that you will look to expand the portfolio. I just wanted to get your sense of how much can you extend say a brand like the existing one from, say, face w ashes and body washes, et cetera. How far can, let's say, Palmolive go in terms of categories? And where would you need them to add inorganic pieces to the portfolio? I know you can't give specific answers to this, general thought.

Prabha Narasimhan : So, I think, firstly, our strategy will be both organic Palmolive as well as inorganic because there's obviously enough and more space in the world of Personal Care. Not commenting on the inorganic piece, but coming to Palmolive, we do believe that between body care, hand care, and face care, we actually have enough room now to play. Those are really large markets, and we are relatively very, very small. So, the headroom opportunities that we have remains really large. And with the whole idea of keep it simple a nd stick to your meeting, I think in the short run, that will be where our focus will stay. Let's see where we go from there, depending on COLGATE -PALMOLIVE (INDIA) LIMITED
December 13, 2022

Page 23 of 26 how the brand evolves, how the market evolves. I'm again not closing the door to doing more than that. But right now, the focus will be hand, body and face.

Sujata Nairi : The next question from Anand from Axis.

Anand : So, my question is more on volume growth. Again, I think you've highlighted that volume growth is the core focus here. So, I want to understand the pieces in terms of what would be the key focus here, would it be distribution and especially how would you place promotion and in pricing here. I mean we've seen disproportionate hikes also this year in some parts of your portfolio. And also, if I just run through your Personal Care or Oral Care portfolio, the focus on premium innovation is also very high. So, I jus t wanted to understand the pieces where at one end, it seems there is disproportionate focus on premium, but of course, as you've highlighted, volume is a big focus. So, I just wanted to understand that.

Prabha Narasimhan : I'm sorry, just say that last sen tence, again, I'm struggling to hear you.

Anand : So, I was saying that it seems, I mean, from your innovations, especially in toothpaste and toothbrushes, particularly, there is disproportionate focus on premium within that. So, I just wanted to tie up the focus on volume and premium brand and the key drivers for volume.

Prabha Narasimhan : Sure. So, I think it's a little bit about us working and chewing gum, because we have headroom opportunity to grow consumption in this country. We are the largest Oral Ca re players. I'm sorry, I am a little bit of a stuck record, but that is actually true. And therefore, our first task is to make sure that we are getting every consumer in this country to brush once a day, ideally twice a day. And that we think is something that we will be doing for many, many years to come because it's not going to change overnight.

Having said that, there are enough and more technology and benefit opportunities, which allow us for consumers who have money and are looking for more premium o fferings. For us to be able to make sure that we have an offering for them, which caters to every need that they have an Oral Care, whether it's oral beauty, whether it's indications, whether it's freshness or whatever be the benefits that they need. And t herefore, so this has to be a 2 -pronged strategy that will actually go hand -in-hand. I don't think we can afford to say we will first do volume, then we will do value. It has to come together in terms of volume and premiumization.

And then how we will do i t? Clearly, there is a big marketing task in terms of us making sure that we're getting our communications right and our mix is right and the products deli

vered to

that mix. And then, of course, there is a physical reach task. And for that I'm going to jus t ask Ruchir, maybe to elaborate on the piece on what we're thinking of in terms of physical reach across both the channels of the future as well as all the way down to rural. Ruchir?

Ruchir Bhatnagar : Yes. So, we go to 1.7 million stores, a significant ch unk out of that comes in rural. We have 95% once a quarter active stores. So, they are actively buying from us. Now we are using these technologies like Smile Stores that you saw, which is not just about keeping the stores active COLGATE -PALMOLIVE (INDIA) LIMITED
December 13, 2022

Page 24 of 26 with us, but also making s ure that they continuously stock what the consumers demand, but

also they stop future opportunities. So, an opportunity to drive volume growth is not just to make sure that you maintain the current behavior and the current stock but instill new behaviors in the stores because that's where the consumers are at, bringing about smaller innovations at the value end, that's where the volume business comes from.

Also, I would like to touch upon the interesting landscape that we have currently in our go-to-market. We are seeing that evolve significantly. Multiple distribution players are coming into the picture. And we always believe in collaboratively working with our go-to-market partners to find the unique proposition that each of them brings, that really adds value to our go-to-market. And that's exactly what we are doing. We are working with each of these specific partners to identify what do they bring to the table, and how can we use their expertise to add on to our already existing robust distribution system. So, that's the kind of mix that we try to do to make sure that our internal distribution continues to do well. We continue to push the needle on driving newer products, newer pack sizes and using external partners to drive the business forward.

And lastly, I would also like to add that using technology and automation, we are trying to make sure that we really take the decision-making away from the last mile person, the salesman at the hand. That's where the weakest link is. Eventually the sale is made by him. And if he decides to sell a certain portfolio, then that is where it will end, and you cannot do anything about it.

So, how do you assist him digitally to make sure that you make it foolproof for him to drive what you want to drive? So, those are the basic strategies that we are doing to make sure that we continuously enhance volume and new products.

Sujata Nairi : So, we've taken a couple of them now. We'll go to a virtual option right now. Yashashri, can you post the virtual questions.

Moderator : Certainly. Ladies and gentlemen, we will now begin the question and answer session for participant joined virtually and via audio call. Participants connected virtually via webcast link, you may type your question and submit in the ask a question tab available below the video player. Participants connected via the telephone line, you may press "*" and "1" on your phone. We have a text question from Jeetu Punjabi from EM Capital Advisors. The question is, what is your estimate on 5-year growth for the market and your company? How would you calibrate success?

M.S Jacob : Yes. As I responded earlier, we wouldn't call out specific numbers on the growth. But what we're going to focus is on driving category growth and growing ahead of the category. So, that would be the monitorable for us.

Sujata Nairi : We will take one more virtual question, and that will be the last question for today.
COLGATE -PALMOLIVE (INDIA) LIMITED
December 13, 2022

Page 25 of 26 Moderator : We have a text question from Abhijeet Kundu from Antique Stock Broking. What would be the increase in contribution from premium portfolio across Oral Care in the last 5 years?

M.S Jacob : So, our contribution

would be close to double digit right now. And of course, it varies significantly by channel. So, in e-com, for example, it is high double digits. And so is it in modern trade, while in traditional trade, it's been a slow build.

Moderator : That was the last question for today. Ladies and gentlemen, connected virtually, we thank you for your participation on the Colgate -Palmolive India Limited Analyst Call 2022.

Prabha Narasimhan: Yashashri, we will just take one single question. Sireesh, you can ask.

Sireesh: I was bit tempted to ask this question. Having spent one half decade in the company sitting on the other side of the table, if I look back historically BSBF was the pillar of this company to expand and get the rural good habits. When I see that we have continued. I mean, the scale of this has gone to 145 million. One honest question, Prabha to you. If I draw your experience, category development, product development, penetration of HUL, they have done a phenomenal work, and this company has also indeed done a phenomenal work. Do you think these all global programs today are irrelevant for Indian context? Because the penetration led growth is one of the key thing, and when we look back last one decade, that's what I honestly speaking, when I did my role reversal, I'm seeing the volume growth has always been challenge for this company. Maybe 25 years before we fought this war with HUL 101% better toothpaste, and I think these are all lost opportunities which we have been hearing. But I just wanted your candid view that if at all, if rural is the challenge, and we have not been able to grow the penetration beyond a certain level within the product segmentation, we did lot of LUPs and other thing in the past, but it has not worked. So, do you think confident enough that these global programs need some tweaking at the local level? Because at the end, what I see that we still use strong teeth as the product to reach to masses.

Prabha Narasimhan: So, I'm going to answer this question in two parts. I think, firstly, as a company, we are utterly 100% committed to the oral health of this country, and I think building that oral health BSBF is the cornerstone. And when we call it a global program, what we basically mean is the idea of

being committed to oral health is something that comes to us from our parent and something that we believe in, I think, unequivocally. What the program does and how that program works I think has evolved over a period of time, and it will continue to evolve. So, as we now go in to Andhra Pradesh, we have a whole new module on the basis of all of the learning that we have of how we can drive behavior change and how we can make sure that we are inculcating the right habits of brushing every day. And to answer your question succinctly, do I believe in this program? Unequivocally. There is no question about it, and that's why I told you even in my presentation that that one chart which says the 170 million children reach is probably the chart that makes me smile at night before I go to sleep, and it is something that I hope that we will make stronger and stronger. And over a period of time we will 100% make it convert into making sure that we are driving oral care usage in this country. But these are not easy. And I
COLGATE -PALMOLIVE (INDIA) LIMITED
December 13, 2022

Page 26 of 26 think this commitment is takes real commitment on the part of the company, because this is not habit that you can change overnight or there is really no habit that you can change overnight. Sireesh: My second and last question maybe you can answer, or Ruchir can answer. Historically, we were very strong in the south and the western market in terms of penetration, volume growth, whatever you call the number parameters on which we were slightly under indexed in the north and the Central India was the weakest link. If you have any specific strategy, I mean, I don't

want to get into nitty-gritty, but if you can see that next four to five years what is the game plan, which we will try and ramp up our market share so called volume share in the central? Of course, distribution is one leg which is important, but we have played the Cibaca war there, but it has got very limited success there.

Ruchir Bhatnagar: So, we have built our strength in the north, central and eastern part of the country significantly in the last four years. This huge distribution push that we have done in the last four to five years has given us tremendous strength in that part of the country. That is where the gains have come from. That is where distribution gains have come from. That's where our businesses have also grown really well. And that made us stronger in these geographies.

However, having said that, you are absolutely right. I mean, these are the geographies that work with a certain type of product portfolio. The change that has happened is that the entire evolution of the pack sizes has allowed people to start trying our core brands like CDC our Colgate Strong Teeth rather than just continuing to use Cibaca kind of brand. So, these pack sizes and the penetration of these pack sizes has truly driven our trials of our core brands and that that has made our brands really, really strong.

Now, when you piggy back onto the distribution, we are using different techniques of trying to make sure that we guide the salesman onto the ground to not just go and sell on a day-to-day basis but also what to sell on a day-to-day basis. So, as we strengthen our distribution, as we couple that with the right kind of pack size that drives affordability, that helps us to grow in these customers. At the same time, if I had to look at how do we connect with our retailers and our middlemen that provide that distribution to us? So, there are tools and technologies that we have used to connect with our retailers, start communicating with them to make sure that they understand the offers and the promotions that we are giving to them that make us a preferred partner for them. So, that really helps us in driving growth in that part of the geography.

Sireesh: Yes. Thank you.

Sujata Nairi : So, this would be the last question. Thank you for the great interaction, and we were very happy to host all of you here. We have organized a small demo of the amazing interactive tool that you can have a look when you are moving out, as well as please collect your Colgate Smile Hampers on the way out. We will have some interaction with the CP leadership team that you can do right now. Thank you once again to the leadership team and thank you all.

Call: May 2023

May 17, 2023

The Secretary

BSE Limited

P.J. Towers, 25th floor

Dalal Street Scrip Code: 500830

Mumbai-400001

The Manager – Listing Department

National Stock Exchange of India Limited Symbol: COLPAL

Exchange Plaza, C-1, Block – G Series: EQ

Bandra – Kurla Complex

Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript

This is further to our letter dated May 12, 2023, regarding an Analyst Conference Call, please find enclosed herewith the transcript of Analyst Conference Call held on May 12, 2023.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link- <https://www.colgateinvestors.co.in/pdf/conference-call-transcript-12-05-2023.pdf>

Kindly take the same on record.

Thanking you,

Yours Sincerely,

For Colgate-Palmolive (India) Limited

Surender Sharma

Whole-time Director – Legal &

Company Secretary

DIN: 02731373

Encl:a/a

" Colgate - Palmolive

(India)

Limited "

May12,

2023

Management

:

Ms.

Prabha

Narasimhan

–

Managing

Director

and

Chief

Executive

Officer

Mr .

M.S

Jacob

–Whole-Time

Director

&

Chief

Financial

Officer

Mr .

Ruchir

Bhatnagar

–Vice

President,

Customer

Development

Mr .

Balaji

Sreenivasan

–

Executive

V ice-President,
Human
Resources
Mr .
Surender
Sharma

—
Whole
-T ime
Director
Legal
&
Company
Secretary
Ms.
Swati
Agarwal—
V ice
President

—
India
of
Global
T echnology
Center
Page
1
of
21

C o l g a t e - P a l m o l i v e
(I n d i a)
L i m i t e d
M a y
1 2 ,
2 0 2 3

Moderator:
Good
evening,
everyone,
and
welcome

to
the
Colgate-Palmolive
(India)
Limited
Analyst
Conference
Call
for
the
Financial
Y ear
2022-2023.

Please
note
that
the
conference
call
will
include
forward-looking
statements.
These
statements

are
made
on
the
basis
of
the
company's
views
and
assumptions
as
of
this
time
and
are
not
guarantees
of
future
performance.

As
a
reminder ,
all
participant
lines
will
be
in
the
listen-only
mode.

And
there
will
be
an
opportunity
for
you
to
ask
questions
after
the
presentation
concludes.

At
that
time,
participants
on
webcast
may
click
on
the
live
interaction
button
which
will
be
enabled

below
the
media
player .
Alternatively ,
you
may
send
your
questions
to
us
through
the
text
box
on
your
screen.
Participants
connected
via
telephone
may
enter
"71*"on
your
touchtone
phone
to
ask
a
question.
Today's
session
will
begin
with
a
brief
presentation
by
the
management
of
the
company ,
sharing
their
views
on
the
overall
company's
performance
and
strategy .
This
will
be
followed
by
a
Q&A
session.
I

now
hand
over
the
proceedings
to
Ms.
Prabha
Narasimhan,
Managing
Director
and
CEO
of
Colgate-Palmolive
(India)
Limited.
Thank
you
and
over
to
you,
Ms.
Narasimhan.
Prabha
Narasimhan:
Thank
you
very
much,
and
good
evening,
everybody ,
and
thank
you
for
joining
us
on
this
Friday
evening
as
we
take
you
through
the
plans
and
the
thinking
that
we
have
on
the
company
as
well
as
our
results

for
both
the
financial
year
and
the
quarter
that's
just
gone
by .
I
want
to
start,
as
always,
with
the
safe
harbor
statement,
which
I'm
sure
all
of
you
are
fully
familiar
with.
Let
me
also
take
this
opportunity
to
introduce
the
Colgate
leadership
team.
Most
of
the
faces
on
this
chart,
I'm
sure,
are
extremely
familiar
to
you.
We
do
have
one
new
addition,
who

has
joined
us
just
over
the
last
few
months.
He
is
unfortunately
not
here
today ,
but
Gunjit
Jain
has
taken
over
as
the
Marketing
Head
of
Colgate-Palmolive
India
as
of
February
2023,
replacing
Arvind
Chintamani,
who
has
moved
to
Canada.
We
also
have
one
change
in
the
role
that
Sarala
Menon
plays.
She
is
now
responsible
for
the
entire
end-to-end
supply
chain
of
this
organization.
So

I
want
to
start
actually
with
our
headline
thought
of
what
we're
trying
to
do
with
this
organization,
and
it
can
be
summarized
in
really
three
simple
words,
which
is
Grow ,
Strengthen
and
Simplify .
We
do
believe
and
we
have
the
opportunity
to
show
to
you
the
potential
that
this
organization
has
for
growth.
We
have
some
tremendous
strengths,
which
we
think
we
can
get
even

better
at.
And
of
course,
there
is
always
an
opportunity
to
make
business
easier ,
faster ,
more
agile
and
more
simple,
and
we'll
talk
you
through
our
thinking
there
as
well.
So
starting
first
with
the
idea
of
growth.
And
we've
said
this
before
but
let
me
start
with
the
macro
picture
of
the
toothpaste
category .
There
is
a
huge
opportunity
to
grow .
Firstly ,
we
are
the

market
leader ,
and
it
is,
therefore,
incumbent
upon
us
to
grow
this
category .
Secondly ,
Page
2
of
21

Colgate - Palmolive
(India)
Limited

May
12 ,
2023
when
we
compare
the
per
capita
consumption
of
toothpaste,
even
to
a
country
like
Philippines,
we
do
see
that
we
are
at
roughly
about,
maybe
half
of
their
consumption
in
total.
And
if
we
were
to
get
to
the
toothpaste
consumption
level

of
the
Philippines,
which,
by
the
way ,
is
not
obviously
the
highest
in
the
world,
we
will
have
a
toothpaste
market
that
is
double
the
size
of
its
current
size.
And
to
get
to
this,
what
we
need
to
do
is
really
to
move
the
daily
brushing
habit
of
rural
households
where
55%
of
households
don't
brush
every
day
and
to
get
urban
households
to
brush

twice
a
day .
Neither
of
these
are
particularly
easy
tasks.
But
as
Colgate-Palmolive,
we
are
both
committed
to
it,
both
from
a
business
perspective
because
this
is
critical
to
us
and
from
a
perspective
of
moving
the
oral
health
agenda
of
this
country .
The
second
leg,
of
course,
is
to
take
a
look
at
toothbrush
and
a
similar
opportunity
stares
at
us
over
here.
Dentists
would

have
you
believe
that
you
should
replace
your
toothbrush
once
every
three
months
to
four
months
and
that
a
new
toothbrush
actually
cleans
90%
better
than
an
old
toothbrush.
As
you
can
see,
the
levels
of
replacement
currently
are
much
lower
than
that
and
getting
consumers
to
realize
the
cleaning
power
of
a
new
toothbrush
and
therefore,
replacing
their
toothbrush
more
often
becomes
another
agenda
item

for
us.
And
then
when
we
shift
our
attention
to
value,
there
is
a
whole
lot
of
opportunity
sitting
here
as
well.
Within
the
toothpaste
category ,
about
65%
of
the
category
sits
within
this
90
to
1 10
index,
giving
us
significant
--
and
if
you
see
above
the
1 10
index,
you
see
only
about
14%,
15%
of
the
category .
Significant
opportunity
for
us
to
provide
value-added

benefits
that
allow
a
premium
to
be
charged
and
consumers
to
see
value
in
paying
that
premium.
If
you
compare
toothpaste
to
a
comparable
category
like
toilet
soaps
and
starting
with
the
poorest
consumers,
which
is
SEC
D&E,
you
will
see
that
spends
on
toilet
soaps
is
70%
higher
than
spends
on
toothpaste.
And
then
if
you
take
a
look
at
it
at
the
other
end

of
the
spectrum,
which
is
the
most
premium
consumers
at
SEC
A,
you
will
see
that
an
SEC
A
consumer
spends
only
2x
the
money
on
toothpaste
that
an
SEC
DE
consumer
spends.
Whereas
on
toilet
soaps,
that
number
becomes
2.6x,
4.4x
of
actual
toothpaste.
And
therefore,
significant
headroom
for
us
to
grow
value
in
this
category .
And
if
we
look
at
it
from
a
toothbrush

lens,
actually
even
simpler ,
 $\frac{2}{3}$
of
the
market
roughly
or
a
little
under
 $\frac{2}{3}$
of
the
market
sits
in
a
brush
handle
under
Rs.30
and
the
average
price
per
handle
in
this
country
actually
is
closer
to
Rs.20
than
Rs.30.
But
as
you
move
up,
you
start
seeing
that
there
is
opportunity
to
sell
toothbrushes
that
are
priced
above
Rs.40.
And
if
you
see
the
growth,

that's
exactly
where
the
market
is
moving.
The
numbers
on
the
top
of
0%,
minus
3%
and
15%
at
the
Rs.40-plus
segment.
These
are
2022
numbers.
But
as
you
take
a
look
at
the
numbers
for
the
first
quarter
of
2023,
you
actually
see
that
this
Rs.40-plus
toothbrush
segment
is
actually
growing
5x
as
fast
as
the
sub-
Rs.30
market
or
actually
the
sub-
Rs.40
market.

And
Colgate
is
really
well
placed
because
we
have
a
portfolio
Page
3
of
21

Colgate - Palmolive
(India)
Limited
May
12,
2023

of
both
price
points
and
benefits
ahead
of
this
Rs.40
segment
and
making
them
visibly
available
to
consumers
represents
a
real
opportunity
to
drive
growth.
And
therefore,
with
this
tremendous
headroom
opportunity
for
growth,
I
want
to
come
to
what
are
our
plans
to
get

to
this
growth.
Our
first
action
is
to
announce,
and
I'm
really
happy
to
do
this,
is
to
announce
the
re-launch
of
our
flagship
brand,
Colgate
Strong
T eeth.
Colgate
Strong
T eeth
is
the
volume
and
value
leader
in
the
toothpaste
market
in
this
country .
It
is
available
in
more
households
than
any
other
brand
in
this
country
and
more
stores
than
any
other
brand
in
this

country .
Toothpaste
brand.
And
we
have
just
re-launched
this
with
patented
Arginine
technology
backed
with
a
stronger
consumer -preferred
flavor .
What
this
technology
of
arginine
does
is
to
work
with
the
naturally
present
arginine
in
your
mouth
and
aid
remineralization
of
teeth.
And
what
remineralization
does
is
really
to
give
you
stronger
teeth.
And
this
is
Colgate-Palmolive's
best-in-class
technology
for
cavity
protection
and
strong
teeth.
And
it's

a
testament
to
our
commitment
to
the
oral
health
of
this
country
that
this
technology
sits
in
our
most
affordable
toothpaste.
The
brand
also
has
tremendous
potential
in
rural.
It
is
1.2x
the
penetration
of
the
next
brand
and
our
opportunity
really
to
get
rural
consumers
to
brush
more
as
we
spoke
about
earlier .
And
what
we
want
to
do
with
this
relaunch
is
really
to

reframe
the
category .
If
you
thought
that
toothpaste
was
just
about
cleaning,
then
it's
time
to
rethink
that
because
it's
not
just
about
cleaning,
it's
about
nourishing.
We
spend
a
lot
of
effort
nourishing
our
hair ,
our
skin,
our
bones,
but
we
don't
consider
that
healthy
hair
and
skin
without
great
teeth
is
perhaps
not
as
valuable.
And
therefore,
this
brand
is
now
moving
the
entire

position
of
the
category
to
talk
about
not
just
cleaning
but
nourishing,
built
on
the
fact
that
our
patented
fluoride
plus
arginine
technology
actually
delivers
teeth
that
are
2x
stronger .
And
how
are
we
going
to
communicate
this
to
consumers?
Let's
take
a
look
at
the
advertisement.
[Audio-Video
Presentation]
Prabha
Narasimhan:
So
that
was
a
sneak-peak
to
our
advertising.
The
advertising
goes
live
on
Sunday ,
and

we
are
looking
to
significantly
invest
behind
this
mix.
We
are
doubling
our
media
investment
on
this
brand.
And
it
is
being
supported
by
an
unprecedented
level
of
sampling
with
35
million
samples
of
this
new
winning
formula
going
to
consumers
along
with
it.
And
this,
of
course,
also
represents
our
biggest
opportunity
to
drive
rural
growth,
and
we
are,
therefore,
spending
incremental
money
driving
reach

in
rural
India
across
various
mediums.
I
come
from
our
largest
equity
to
our
second
largest
equity ,
which
is
MaxFresh
and
which
has
actually
been
having
a
really
good
run
over
the
last
few
years.
And
why?
Because
it
is
a
superior
product
versus
competition,
delivering
a
fabulous
in-mouth
feel.
In
the
last
year ,
this
brand
has
added
21
million
consumer
homes
and
a
penetration
increase

of
580
basis
points.
It
grows
5x
faster
than
the
market.
We've
also
added
a
charcoal
variant,
if
you
had
seen
the
Page
4
of
21

Colgate-Palmolive
(India)
Limited
May
12,
2023
advertising
ahead
of
this
conversation,
you
would
have
seen
the
advertising
for
MaxFresh
Charcoal.
That's
a
variant
that's
been
added.
And
what
we
are
intending
to
do
here
is
to
take
a
winning
mix

and
double
down
on
our
commercial
investment
behind
it.
And
with
a
view
to
saying
that
we
will
talk
to
our
core
audience,
and
we
will
also
talk
to
a
new
age,
younger
audience
and
look
at
how
we
can
create
communication
that
talks
to
this.
And
let
me
show
you
one
example
of
what
we've
done
over
the
last
little
while.
[Audio-V ideo
Presentation]
I
then

turn
my
attention
to
the
natural
segment,
which
we
had
referenced
last
time
as
well
as
plateauing.
And
it
continues
to
plateau
and
has
even
started
to
decline
a
little
bit.
A
segment
which
got
a
little
bit
of
a
fillip
due
to
COVID
has
now
gone
back
to
levels
that
are
about
three
years
earlier .
And
as
we've
said
before,
we
firmly
believe
that
consumers

buy
benefits
and
are
very ,
very
confident
of
our
ability
to
deliver
all
benefits
across
the
entire
oral
care
spectrum.
And
with
that,
I
want
to
come
to
one
of
our
premium
mixes,
which
is
really
Colgate
Active
Salt.
Active
Salt,
which
has
the
Salt
+
Clove
T echnology
uses
natural
ingredients,
which
are
enhanced
in
our
science-backed
formula
and
deliver
proven
ef ficacy .
This
is
the
first

brand
that
came
into
the
salt
category
has
been
a
truly
successful
innovation
for
Colgate
over
the
last
10
years
and
owns
the
Salt
segment.
And
once
again,
it
has
best-in-class
communication.
I'm
sure
most
of
you
would
recognize
the
line
with
which
it
goes,
which
is
"Kya
Aapke
Toothpaste
Main
Namak
Hai"
tested
in
the
top
25%
of
all
advertising.
And
once
again,
since
we

are
onto
something
that
works,
our
effort
here
will
be
to
drive
an
increase
in
reach
in
the
priority
geographies
for
Colgate
Active
Salt
and
make
sure
that
we
continue
to
build
this
mix.
We
then
come
to
the
second
leg
of
our
strategy .
We've
discussed
the
core,
which
really
consists
of
Strong
Teeth,
MaxFresh
and
Colgate
Active
Salt.
We
come
to
growing
the
second
leg

of
our
strategy ,
which
is
really
all
about
driving
premiumization.
Last
year ,
we
launched
V isible
White
O2,
and
it
has
been
one
of
the
most
successful
launches
ever
in
the
history
of
CP
India.
This
breakthrough
technology
gives
whiter
teeth
in
three
days
and
has
powered
the
overall
whitening
portfolio
to
a
30%
faster
growth,
albeit
on
a
small
base.
But
when
you
take
a
look

at
the
penetration
of
whitening
in
India
and
you
see
that
it's
just
1.5%,
you
can
see
the
headroom
opportunity
for
growth
just
by
driving
penetration.
The
second
thing
is
that
this
really
does
play
to
Colgate's
strength.
It
is
a
science-backed
product
with
great
technology .
It
is
at
a
premium,
and
it
brings
in
a
new
benefit,
moving
oral
care
more
into
being
oral
beauty

rather
than
in
the
segment
of
either
preventive
health
or
therapeutics.

Colgate
is
also
the
first
mover
in
this
category ,
and
we
intend
to
double
down
on
what
we've
done
so
far .

Firstly ,
by
establishing
beauty
relevance
and
making
sure
that
we
are
present
in
all
occasions
where
beauty
is
a
driver ,
weddings,
events,
parties,
you
name
it,
oral
beauty
should
be
a
part
of
Page

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of
21

Colgate-Palmolive
(India)
Limited

May

12,

2023

consumers'

overall

beauty

regimen.

The

second

thing

is

for

us

to

innovate

with

devices,

and

we

have

very

recently

launched

the

Visible

Whitening

Pen.

This

is

a

do-it-yourself

at

home

overnight

whitening

treatment

that

allows

you

to

have

far

whiter

teeth

in

the

morning

than

you

had

before

you

went

to

sleep

at

night.

And

launched

in

partnership
with,
of
course,
dentists
and
the
pharmacy
channel
as
well
as
our
dentist-first
channel.
Our
intent
in
this
segment
is
really
to
play
for
the
long
run,
to
continue
to
build
this
category
of
whitening
and
make
sure
that
we're
constantly
innovating
in
a
space
that's
actually
really
exciting.
I
turn
my
attention
now
from
whitening
to
the
other
end
of
the
spectrum,
which
is

therapeutics.

As

per

a

national

oral

health

survey

conducted

by

the

Dental

Council

of

India,

90%

of

adult

Indians

suffer

from

gum

problems,

which

are

either

bleeding,

swelling,

bad

breath.

But

at

the

claim

level,

only

about

16%

of

consumers

claim

they

are

suffering

from

gum

issues.

And

as

we

all

know ,

gums

are

the

foundation

for

strong

teeth.

Therefore,

this

segment

which

exists,

the

problem

exists,
is
really
an
underserved
segment
and
one
that
we
have
significant
right
to
win
because
once
again,
it's
based
on
a
technology
and
a
product
that
delivers.
And
that's
where
PerioGard
comes
in.
We
always
had
a
PerioGard
mouthwash,
which
was
quite
successful
in
the
professional
channel.
We
have
added
to
it
earlier
this
year ,
a
PerioGard
toothpaste,
and
we
will
shortly
be
adding
a

PerioGard
brush
where
the
regimen
then
talks
to
entire
gum
health.
Priced
at
Rs.
450
index
to
market,
this
is
a
big
play
for
us
in
premium
and
something
that
we're
committed
to
building
over
a
period
of
time
as
we
know
that
this
therapeutic
position
takes
time
to
build.
Our
effort
to
build
this
will
be
to
drive
advocacy
with
experts,
Periodontologist,
partner
with
the

dental
profession
and
of
course,
have
a
leading
profession
as
far
as
pharmacies
are
concerned.
And
we've
been
really
lucky
that
as
we
have
launched
it,
we've
seen
tremendous
support
from
the
key
partners,
which
is
the
dentists,
and
we
continue
to
drive
this
advocacy
through
a
series
of
expert
lecture
meetings
across
the
top
15
cities,
and
we
are
now
available
in
4,000-plus
pharmacies
with

this
reach.
Moving
from
toothpaste
to
growing
toothbrushes.
As
I
mentioned
earlier ,
the
average
price
that
a
consumer
pays
for
a
toothbrush
is
just
Rs.21.
And
then
that
brush
is
used
for
longer
than
it
ideally
should
be
used.
In
Colgate,
we
have
a
really
wide
range
of
portfolio
of
brushes
answering
to
every
need,
whether
it
is
sustainability
with
the
keep
brush
or
it
is

the
visible
white
brush
that
works
along
with
the
visible
white
toothpaste
to
enhance
the
whitening
regimen
or
it
is
the
softer
brushes
like
what
you
see
on
the
screen
with
the
Gentle
range,
we
have
a
portfolio
which
ranges
from
Rs.20
all
the
way
up
to
Rs.130.
This
Gentle
brush
portfolio
has
actually
been
a
stellar
performer .
It
has
grown
4x
faster
than
the
category .

Market
share
has
nearly
doubled
since
2020.
And
once
again,
I'm
going
to
sound
a
little
bit
like
a
stuck
record,
but
we
certainly
have
an
opportunity
to
drive
this
wider
and
deeper
and
continue
to
drive
growth
in
this
important
category
for
us.
Turning
our
attention
from
products
now
to
retail
environments
or
to
the
channels
in
which
we
sell.
Our
focus
as
far
as

premiumization
is
concerned
is
to
talk
to
new
commerce
or
modern
Page
6
of
21

Colgate-Palmolive
(India)
Limited

May
12,
2023
trade
plus
e-commerce.

This
has
grown
dramatically
over
the
last
four
years
with
an
18%
CAGR,
once
again,
almost
doubling
its
contribution
to
our
business.

But
what
makes
this
channel
really
exciting
for
us
is
a
few
things.
Firstly,
the
fantastic
partnership
we
have
with

the
players
in
this
new
commerce.
We
are
truly
category
captains
along
with
them
in
this
segment.
The
second
is
that
it
is
a
channel
that
allows
for
premiumization
because
it
allows
for
discovery .
And
it
is
already
at
about
460
bps
higher
premium
contribution
than
the
non-new
commerce
channels.
And
these
three
few
things
make
it
really
attractive
for
us
to
continue
to
drive.
We

start
already
with
a
position
of
strength
because
we
have
a
market
share
that
is
ahead
of
our
overall
market
share.
And
as
this
channel
grows,
this
provides
a
tailwind
to
our
competitiveness.
So
I
move
now
from
all
the
different
ways
that
we're
thinking
about
growing
this
organization
to
what
we
have
that
we
really
must
strengthen.
And
the
first
thing
that
we
have,
and

I
must
talk
about
is
actually
our
portfolio
advantage.
In
21
out
of
25
states
and
about
85%
of
the
total
market,
Colgate
equities
are
at
least
2
out
of
the
top
4
equities.
And
this
is
a
unique
advantage
that
only
Colgate
has
in
this
country .
And
this
is
an
opportunity
for
us
to
play
the
price
piano,
play
the
flavor
map
and
appeal
to

the
widest
range
of
consumers
with
a
mix
that
is
specifically
crafted
for
them
and
which
can
be
different
across
different
geographies,
a
real
advantage
that
we
have
and
one
that
we
look
to
strengthen
as
we
go
forward.
The
second
area
that
we
really
look
to
strengthen
is
Palmolive
equity .
I
know
that
we
often
get
asked
questions
of
what
are
we
doing
with
Palmolive

and
I
hope
that
we
are
providing
some
answers
over
here.
But
I
want
to
start
with
just
a
couple
of
facts
about
the
Palmolive
brand.
The
Palmolive
brand
has
existed
for
73
years
in
India.
It
has
an
awareness
that
is
near
70%,
something
that
as
you
look
to
create
new
brands,
I
think,
is
a
really ,
really
huge
advantage.
And
an
absolutely
fantastic
latent

equity .
What
we
have
decided
to
do
over
here
is
to
really
double
down
on
focus
on
the
core
equity
category
of
Palmolive,
which
is
body
wash.
Our
intention
will
be
to
drive
the
four
focus
areas
that
you
see,
which
is
assortment
and
distribution,
brand
superiority
delivering
superior
mixes
in
the
hands
of
consumers,
driving
mental
availability
and
making
sure
that
we're
constantly
at
the

forefront
of
innovation,
and
we
see
a
really
strong
growth
runway
for
this.
And
then,
of
course,
we
look
to
strengthen
our
partnerships
with
the
professionals
in
this
category .
For
the
85
years
that
Colgate
has
been
in
existence
in
India
and
the
over
200
years
that
the
company
has
been
in
existence
globally ,
partnership
with
professionals
has
been
at
the
heart
of
the
organization.
Colgate

has
partnered
with
the
Indian
Dental
Association
for
more
than
25
years
in
India
and
products
like
Colgate
Dental
Cream,
now
Colgate
Strong
Teeth
and
Colgate
Total
were
among
the
first
products
to
receive
the
IDA
seal.
The
first
Bright
Smiles,
Bright
Futures
school
program
that
we
ran
and
oral
health
month
were
also
done
in
partnership
with
the
Indian
Dental
Association.
And
I
must
say

that
this
Bright
Smiles,
Bright
Future
program,
which
has
now
reached
170
million
children
has
really
been
the
flagship
of
what
Colgate
does
in
India.
We
also
partner
Page
7
of
21

Colgate-Palmolive
(India)
Limited
May
12,
2023
with
associations
on
more
than
10
specialties
within
the
world
of
oral
health,
and
we
are
committed
to
enhancing
this
partnership.
Just
recently,
we've
partnered
with
the
IDA

at
their
flagship
event
in
Delhi.
I'm
going
to
play
a
video
of
this
partnership,
and
then
I'm
going
to
hand
it
over
to
Jacob
to
talk
through
the
all
critical
numbers
of
this
business.
[Audio-Video
Presentation]
M.S
Jacob:
Thank
you,
Prabha,
and
good
evening,
everybody .
A
cornerstone
of
our
business
strategy
is
Sustainable,
Profitable
Growth
and
we
are
continuously
looking
for
opportunities
to
strengthen
in

this
area.
So
you
would
have
seen
the
numbers
that
just
came
in
for
Quarter
4.
We
reported
a
sales
of
Rs.1,342
crores.
Our
domestic
business
grew
by
about
5.4%,
and
we
are
very
happy
that
our
toothpaste
business
was
in
the
high
single
digit
in
terms
of
growth.
Specifically
on
ratios.
Our
gross
mar gins
at
a
very
respectable
66.6%.
The
spending
on
advertising
was
10.7%,

and
we're
kind
of
getting
ready
for
a
big
re-launch
in
this
quarter ,
and
Prabha
alluded
to
that
in
the
section
now
on
Colgate
Strong
T eeth,
and
you
will
see
a
step
up
in
spending
in
this
quarter .
Our
overheads
continue
to
be
very
closely
controlled
and
our
profit
to
sales
of
23.6%
is
industry
leading.
Going
on
to
the
full
year .
Our
full
year
numbers,

Rs.5,188
crores,
gross
mar gin
of
65.4%,
advertising
at
12.2%
and
profitability
at
20.2%.
So
you
will
agree
that
despite
all
the
headwinds
we
face
in
terms
of
commodity
prices
and
currency ,
we've
delivered
very
good
healthy
ratios.
Moving
on.
So
if
you
look
at
the
trend
over
10
years,
our
mar gins
have
gone
from
60.4%
to
65.4%
and
our
EBITDA
has
done
even
better
from
18.7%

to
29.8%.
So
these
are
the
two
pillars
of
--
that
help
us
continuously
deliver
against
this
objective
revenue
growth
management,
which
works
on
the
revenue
side
and
funding
the
growth
that
works
on
the
cost
side.
Specifically
on
revenue
growth
management,
we
are
continuously
looking
to
identify
opportunities
to
drive
premiumization.
We
are
doing
cutting-edge
analytics
to
drive
the
pricing
strategy
across
channels
and
across

segments.
And
at
the
same
time,
optimizing
spending
on
promotions,
both
in
trade
and
consumer .
On
funding
the
growth
side,
we
have
dedicated
teams
working
across
the
company
throughout
the
year ,
they
are
brainstorming
and
looking
for
cost
optimization
opportunities.
We
are
continuously
looking
at
opportunities
to
streamline
supply
chain
operations,
warehousing,
number
of
warehouses
and
other
ef ficiencies.
And
we
are,
at
the
same
time,
looking

to
deliver
superior
products.
So
with
all
this,
our
EBITDA
has
gone
from
18.7%
to
29.8%,
which
is
1,100
bps
up
in
10
years.
So
a
reflection
of
the
sustainable
profitable
growth
has
--
is
the
dividends
that
we
pay
every
year .
So
this
year ,
we
are
happy
to
announce
that
we've
declared
a
total
dividend
of
Rs.39
per
share.
This
is
a
recognition
that
came

away
a
couple
of
months
back.
So
we
were
ranked
number
1
by
business
standard
on
the
Financial
Sustainability
Index,
which
is
a
testimony
to
the
strength
of
our
cash
flows
and
our
ability
to
sustain
our
business
under
pressure
of
global
commodity
cycles
or
economic
cycles,
etcetera.
So
this
is
some
--
this
is
a
recognition
we
are
happy
about.
Page
8
of
21

Colgate-Palmolive
(India)
Limited
May
12,
2023
Moving
on
to
ESG,
still
under
the
strengthened
bucket.
So
if
you
look
at
waste
management,
all
our
plants
are
currently
TRUE
Zero
Waste
certified.
In
fact,
we
are
the
brand
that
has
the
maximum
number
of
TRUE
Zero
Waste
certifications
in
the
country .
On
the
reusable
area,
we
are
looking
to
recycle
100%
by
2025.
We
have
reached
80%.
Under

the
EPR
requirement,
we
are
required
to
dispose
of
100%.
We've
done
over
that.
We're
at
the
120%
level
right
now .
Water
usage,
our
commitment
is
Net
Zero
water
at
India
level
by
2025
and
50%
of
our
factories,
that's
two
out
of
four
are
already
water
positive
and
we
expect
to
have
the
other
two
reach
at
this
level
by
2025.
Sustainable
sourcing,
we
are

--
have
a
target
of
allocating
80%
of
our
material
spends
in
line
with
responsible
sourcing
guidelines
by
2025.
And
currently ,
we
stand
at
65%,
which
is
good
progress
on
a
way
to
get
to
the
80%
goal.
Staying
on
ESG,
Bright
Smiles,
Bright
Future.
This
is
a
flagship
brand
under
CSR
where
we
are
doing
an
oral
care
awareness
program.
We've
currently
already
covered
170

million
children,
and
we're
looking
to
further
engage
with
another
10
million
by
2030.
Increasing
female
representation
in
management.
Our
objective
is
to
get
to
27%
by
2025.
We
are
currently
at
25%.
On
the
water
augmentation
program,
we
look
to
cover
about
100
villages
by
2025,
and
we
are
already
very
close
to
it.
We
have
covered
96
by
this
financial
year .
Empowering
rural
women

with
digital
and
financial
literacy ,
our
objective
is
to
get
to
100,000
women
by
2030,
and
we're
making
good
progress
here.
We
have
got
to
30,000
by
2022-23.
Smiles
for
Life,
this
is
the
cleft
program
we're
running.
We've
already
done
about
1,346
children,
and
we
look
to
cover
about
3,000
children
by
2025.
So
all-in-all,
we
are
very
proud
of
the
strides
we
are
making

in
this
area.
You've
seen
the
ESG
report
that
we
released
for
the
first
time
last
year .
And
the
second
edition
will
be
coming
out
along
with
the
annual
report
in
June.
So
I
would
leave
you
with
a
video
that
shows
our
flagship
BSBF
program
on
oral
awareness.
And
post
that,
I'll
handover
to
Bala,
who
will
take
us
on
the
human
resources
piece.
[Audio-Video]

Presentation]
Balaji
Sreenivasan:
Thank
you,
Jacob.
A
critical
component
of
the
strengthened
bucket
that
Prabha
talked
about
is
strengthening
our
organizational
people
capability .
And
to
do
that,
I
wanted
to
just
take
you
through
the
broad
framework
through
which
we
are
intending
to
strengthen
our
organization's
people
capability .
The
ESG
report
that
Jacob
talked
about
already
captures
a
lot
of
the
people's
practices
that
we
have

in
the
or ganization.
And
I've
covered
a
few
of
those
in
my
last
call
as
well.
So
here,
what
I
want
to
do
is
just
take
a
couple
of
minutes
to
walk
you
through
the
broad
framework
through
which
we
are
intending
to
strengthen
our
or ganization's
people
capability .
So
we
look
at
it
from
the
lens
of
structure,
culture,
processes
and
people.
In
terms
of
the

structure,
we
want
to
be
a
Digital,
Agile
And
Right-Layered
Or ganization
that
leverages
the
strength
of
our
global
or ganization,
the
global
Page
9
of
21

Colgate - Palmolive
(India)
Limited
May
12,
2023
expertise
that
we
have
but
also
has
a
local
empowerment
and
allows
us
to
be
nimble
and
competitive
and
quick
to
be
able
to
capitalize
on
the
local
growth
opportunities.
Over
the
last
couple
of

years,
we
have
repurposed
almost
10%
of
our
organization
white-collared
positions
to
positions
that
are
more
meaningful,
more
growth
oriented
and
value-adding
in
order
to
be
able
to
drive
growth.
Structure
has
to
be
supported
by
the
right
culture.
And
I
mentioned
some
of
the
efforts
we
are
doing
for
this
in
the
last
call.
I'm
happy
to
say
that
in
terms
of
driving
a
culture

that
is
results-oriented,
empowered
and
experimental
that
harnesses
the
power
of
diversity .
We
have
made
some
good
progress
over
the
last
couple
of
years.
We
are
seeing
--
we
do
regular
dipstick
surveys,
and
we
are
seeing
our
employees
reflect
the
fact
that
they
are
experiencing
a
more
empowered
and
agile
culture
in
the
organization.
And
of
course,
we
have
made
considerable
progress
on
D&I,
which

again,
you
can
see
a
little
more
in
our
ESG
report.
We
also
did
some
recent
diagnostic
work
and
realized
that
some
of
our
processes
unfortunately
have
not
kept
pace
with
our
expectations
in
terms
of
agility
and
speed.
And
therefore,
what
we
are
trying
to
do
this
time
is
as
a
critical
priority
for
the
year .
Look
at
how
to
integrate
all
our
systems
from

an
end-to-end
perspective,
that
will
support
seamless
processes
and
facilitate
intelligent
data
flow .
So
we
want
all
of
these
systems
to
talk
to
each
other
and
leverage
AI
and
ML
to
help
us
make
better
decisions,
thereby
helping
to
reduce
manual
intervention
and
taking
the
workload
off
people
to
be
able
to
focus
on
growth.
And
last,
but
most
importantly ,
are
the
people.
We
are
incredibly

proud
of
the
talent
that
we
have
in
the
organization.
But
as
I
mentioned
last
time,
we
do
bring
in
from
time-to-time,
external
talent
that
have
got
special
skills
that
will
help
us
drive
the
organization
towards
growth.
And
to
do
that,
employer
branding
is
a
critical
priority
for
us.
We
have
traditionally
been
shy ,
a
little
bit
shy ,
I
would
say ,
in
terms
of
this.

And
a
critical
priority
for
us
is
to
get
a
little
bit
more
out
and
upfront
on
this
employee
branding
piece.
And
I'm
happy
to
say
that
to
that
point,
endpoint,
we've
been
recognized
externally .
There
are
some
good
awards
that
we've
recently
received,
and
that's
helping
us
become
a
better
employer
brand,
which
will
help
us
attract
better
talent
as
we
go
along.
So
in

summary ,
we
are
constantly
looking
to
strengthen
our
or ganization
internally
and
our
or ganization
image
externally .
And
this
will
help
us
remain
fit
for
future
delivery
of
the
growth
objectives
that
we
have.
W ith
that,
I
hand
over
to
Ruchir ,
who
will
talk
to
us
a
little
bit
about
our
simplification
ef forts.
Ruchir?
Ruchir
Bhatnagar:
Thank
you,
Bala.
I'm
going
to
talk
to
you
about
simplification
and

how
we
use
simplification
at
the
heart
of
our
--
all
set
of
processes
and
help
it
drive
growth?

We
spoke
last
time
about
Smile
Stores
which
is
our
machine
learning
program
that
customizes
the
assortment
that
our
salesmen
sell
to
the
1.6
million
outlets
that
we
covered.

Very
happy
to
share
that,
that
program
Page
10
of
21

Colgate-Palmolive
(India)
Limited
May
12,
2023
is

going
from
strength-to-strength.

The
last
year
2022
saw
a
17%
increase
in
our
total
distribution
points
enabled
by
Smile
Stores.

T otal
distribution
point,
which
really
measures
the
strength
of
our
distribution,
the
breadth
and
the
depth
of
our
distribution,
has
become
even
more
stronger
in
March
with
a
30%
increase.
Using
this
program,
we've
been
able
to
take
away
the
manual
ef fort
that
the
salesman
does

on
the
ground
and
support
it
with
digitization
and
machine
learning
knowledge.
We
have
taken
digitization
into
the
stores
as
well.
Prabha
talked
to
you
about
how
modern
trade
and
new
retail
is
growing
really
well,
and
we've
applied
digitization
into
these
modern
trade
outlets.
We've
brought
in
AmaZing,
which
is
our
image
recognition
technology ,
which
allows
us
to
capture
images
inside
the
store
and
analyze

them
real
time
to
provide
insights
to
our
merchandisers,
making
them
enabled
with
change
topics
that
they
can
execute
straight
inside
the
store.
One
clear
measure
of
success
that
has
come
out
of
this
is
on-shelf
availability .
This
program
that
was
launched
exit
2022
has
already
given
us
results.
And
what
you
can
see
here
on
the
screen
is
that
there
has
been
as
high
as

40%
increase
on
on-shelf
availability
and
products
that
are
available
on
shelf
sell
faster .
So
clearly ,
we
are
using
digitization
at
the
heart
of
our
growth
story .
W e've
taken
simplification
to
our
network
as
well
and
applied
it
across
our
plants
as
well
as
our
logistics
processes.
W e've
used
frugal
innovation
to
introduce
cobots
in
our
Sanand,
Baddi
and
Goa
plant,
which
is
allowing
us
to

drive
automation
at
these
locations.
We've
used
localization
to
start
producing
mouthwash
at
Baddi,
thereby
reducing
logistics
complications.
Very
happy
to
share
that
both
SriCity
and
Sanand
plants
have
started
using
solar
power
within
the
plants
to
make
sure
that
the
energy
footprint
reduces.
And
lastly ,
we've
reduced
our
logistic
warehouses
by
as
much
as
15%
without
reducing
the
service
levels
that
we
provide
to
our

distributors.
Simplification
has
also
been
supported
by
data
and
analytics.
We
want
to
use
data,
analyze
it
and
provide
real
insights
to
our
teams
on
ground.
This
journey
started
by
creating
a
data
lake.
We
get
a
lot
of
data
points
from
our
primary ,
secondary
and
external
data
sets.
We've
gotten
them
all
together
and
created
a
single
source
of
truth,
which
is
used
to
power

all
the
decisions
that
are
taken
in
the
organization.
One
clear
usage
of
that
was
converting
this
data
lake
and
pulling
out
reports
and
dashboards,
which
are
simple,
efficient
and
provide
real
insights
to
our
teams
across
functions
and
which
allows
them
to
act
right
away .
This
really
takes
away
the
time
that
people
spend
on
going
through
multiple
reports
and
creating
their
own
and
straightaway

gives
them
actionable
insights
that
they
can
work
on.
We
are
now
taking
this
one
step
further
to
predict
the
future.
We
are
working
on
creating
an
AI-led
demand
forecasting
system
which
understands
our
past
historic
business
trends,
the
uplift
analysis
and
allows
us
to
do
more
specific
future
forecasts,
making
sure
that
we
have
the
Page
11
of
21

right
products
available
to
service
the
demand
that
we
need.
So
clearly ,
simplification
is
one
of
the
key
parameters
that
we
live
by ,
and
we're
using
that
to
drive
growth
in
every
possible
way .
I
will
now
hand
it
back
to
Prabha
to
take
us
through
the
growth
pillars
once
again.
Prabha
Narasimhan:
Thank
you,
Ruchir .
So
I
want
to
summarize
actually
with
what
we've
said

in
the
past
and
what
we
are
actually
reiterating
as
we
go
forward,
which
is
our
4-pronged
strategy .
Our
first
pillar ,
we
are
an
oral
care
company ,
we
lead
the
toothpaste
category .
We
drive
the
toothpaste
category's
growth,
and
our
effort
will
be
to
drive
the
volume
growth
of
the
category
by
building
good
oral
care
habits
in
the
country
and
making
sure
that
we
grow

our
core
brands
of
strong
T eeth,
MaxFresh
and
Colgate
Active
Salt.
W e
also
have
a
significant
opportunity
on
our
next
rung
to
really
premiumize
through
driving
science-based
superior
innovation.
And
all
of
the
words
on
that
strategy
are
actually
important,premiumize
because
we
do
want
to
provide
more
value
to
consumers
and
therefore,
get
more
value
from
them.
Science-based
because
that
is
really
the
heart
of
our

organization.

We

have

a

huge

number

of

scientists

working

with

the

highest

number

of

patents

of

any

oral

care

company

in

the

world,

and

we

bring

that

to

bear

on

the

products

that

we

bring

to

our

consumers,

and

it

must

be

superior

innovation

in

the

hands

of

the

consumer .

And

that's

really

our

second

pillar .

The

third

one

is

for

us

to

make

sure

that

we
drive
category
growth
in
toothbrushes.
We
already
discussed
the
fact
that
there's
potential
in
terms
of
premiumization
and
driving
the
over
Rs.40
brushes.
And
there
is
significant
opportunity
in
devices
where
the
newly
launched
whitening
pen
is
our
first
foray
into
an
innovative
device
play ,
and
you
will
see
more
of
that
as
we
go
forward.
And
the
fourth
one,
of
course,
is
we
have

an underserved equity in our portfolio, which is Palmolive, we will use that to build and drive personal care. Underpinning all of our strategic pillars is really our key enablers. The first one, and I repeat the superior science-backed products because it is the heart of this organization, driving financial efficiency, that is something that this organization has been recognized for, as Jacob mentioned, it is

something
that
we
are
quite
good
at,
and
it
is
something
that
we
are
committed
to
continuing.
Digital
at
the
core.
This
has
been
a
journey .
We've
made
some
progress.
We
do
see
that
we
have
some
more
paths
to
traverse
like
every
organization
does.
And
once
again,
we
are
committed
to
travelling
that
path
to
make
sure
that
we
are
truly
an
organization
that
is

being
digital
rather
than
doing
digital.
Or ganization
and
people
capabilities.
Bala
talked
about
it,
this
is
what
powers
our
or ganization,
the
quality
of
people
and
how
we
provide
an
environment
that
allows
them
to
unleash
their
true
potential
and
bring
everything
to
work,
and
the
work
that's
being
done
in
that
space.
And
of
course,
we
started
the
journey
on
an
ESG
report
last
year ,
but

as
an
or ganization
has
been
committed
to
the
idea
of
ESG
for
longer
than
that,
and
that
commitment
continues
to
stay .
So
that's
really
our
strategy
in
action.
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And
with
that,
I'm
going
to
turn
it
over
to
the
section
on
Q&A.
Thank
you
very
much
for
your
attention.
Moderator:
Thank
you
very
much
Ma'am.
We

will
take
the
first
question
from
Mr .
Abneesh
Roy
of
Nuvama.
Abneesh
Roy:
Okay .
So
my
first
question
is
the
plateau
seen
in
naturals.
What
are
the
reasons?
And
do
you
see
this
as
a
near -term
trend
in
the
sector
or
because
it
is
now
30%
of
the
sector .
It's
a
very
lar ge
number .
For
the
next
two
years,
three
years,
non-natural
will
grow
faster .
So

what
would
be
your
view
on
this?
Prabha
Narasimhan:
Okay .
So
firstly ,
Abneesh,
thank
you
for
the
question.
I
think
our
belief
actually
is
that
there
is
no
segment
called
naturals
and
non-natural,
what
consumers
tend
to
buy
is
a
benefit.
What
they
want
is
stronger
teeth,
fresher
breath,
whiter
teeth,
gum
care,
protection
from
sensitivity
and
so
on
and
so
forth.
And
that
benefit
can

be
delivered
naturally ,
it
can
be
delivered
through
science.
And
the
question
is
that
the
consumer
will
buy
the
benefit,
the
brand
that
delivers
the
benefit
best.
And
therefore,
I
think
the
way
we
see
it
is
that
the
natural
segment
plateaus
because
the
brands
that
use
that
as
the
reason
to
believe
are
now
perhaps
being
perceived
as
not
offering
something
that's
good
enough
to

deliver
that
benefit.
And
maybe
there
is
an
opportunity
for
brands
that
offer
it
in
a
different
way
through
science
to
be
perceived
as
offering
that
benefit.
So
that
was
really
where
we
would
come
at
it
from
saying
that
it's
the
benefit
that
takes
primacy
and
then
the
reason
to
believe
whether
it
comes
from
nature
or
science
really
is
a
secondary
thing.
So
I

don't
want
to
hazard
a
guess
in
terms
of
what
will
happen
to
the
segment
as
it
goes
forward.
But
I
do
want
to
tell
you
that
our
understanding
of
consumers
is
that
benefit
delivery
is
paramount,
and
there
is
great
belief
in
science
in
oral
care.
Abneesh
Roy:
At
your
own
natural
segment,
say ,
V edshakti,
etc,
have
you
seen
plateau
there
also?
Or
because
you

have
been
a
bit
late
at
trend,
you
are
seeing
faster
growth
than
overall
naturals?
Prabha
Narasimhan:
So
I
think,
from
our
overall
naturals
play
in
which
we
include
the
active
naturals
that
we
have
of
Colgate
Active
Salt,
Charcoal,
V edshakti,
we
are
not
actually
seeing
a
plateauing.
These
brands
continue
to
grow
as
a
collective,
and
they
continue
to
do
well.
So
like
I
said,

I'm
not
sure
that
the
way
to
look
at
this
is
necessarily
naturals
and
non-naturals.
But
the
portfolio
of
active
naturals
that
we
have
continues
to
grow .
Abneesh
Roy:
Sure.
My
second
question
is
on
the
brushing
twice
a
day .
Y ou
said
Urban
India,
it's
around
20%.
So
in
this,
how
many
cities
are
you
considering?
So
it
seems
slightly
on
the
higher
side
to
me.

And
similarly ,
in
rural
India,
do
you
track
this
data?
Prabha
Narasimhan:
So
I'm
going
to
let
Swati
build
on
the
brushing
twice
a
day
comment
in
just
a
moment.
But
just
to
the
thing
on
the
numbers,
the
20%
number
that
we
quote
is
actually
all
Urban
India.
It's
a
derived
number
from
panel
and
per
capita
consumption.
So
it
could
wobble
here
and
there

a
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little
bit.

If
you
ask
consumers
claimed
brushing
twice

a
day ,
the
number
will
be
significantly
higher
than
the
20%
that
we
have
on
the
chart.

But
whichever
way

it
is,
whether
the
number

is
15%
or
the
number

is
20%,
the
bottom
line

is
that,
that
number

is
really
low .
And
like

I
said,

I'll
let
Swati
maybe
articulate
the
benefits
of
brushing
twice
a
day
and
go
to
your
point
on
rural.
We
don't
measure
brushing
twice
a
day
in
rural
areas
because
actually
55%
of
consumers
don't
brush
every
day .
And
really ,
our
first
port
of
call
is
to
get
them
to
brush
every
day
before
we
then
transition
to
a
brush
twice
a
day
message.
Swati,
do

you
want
to
talk
about
this?
Swati
Agarwal:
Y es.
Sure.
Thanks
a
lot,
Prabha.
I
think
it
is
a
great
point
when
we
say ,
see
the
numbers,
but
the
claimed
numbers
would
be
much
higher
because
consumers
do
believe,
I
mean,
we
all
believe
that
brushing
twice
does
help.
As
a
mother ,
they
always
want
their
children
to
brush
twice
because
we
do
see
benefits.
But

at
the
same
time,
what
happened
is
that
it's
a
habit
which
needs
to
be
built
in.
So
that's
where
probably
you
see
the
difference
in
the
numbers
now
coming
on
the
benefit
piece,
what
truly
brushing
twice
daily
can
help.
If
you
look
at,
we
consume
food
on
a
--
during
the
day .
And
when
we
consume
food,
our
lifestyle
actually
adds
a
lot
of

carbohydrates.

And
then
our
saliva
breaks
down
that
food
into
sugars
and
then
it
leads
to
the
acid
attack
on
our
teeth
enamel.

And
what
happens
when
you're
not
brushing
at
the
night
time,
you're
actually
more
susceptible
to
bacterial
attack
because
nothing
is
happening
in
the
mouth.

We
are
sleeping
at
that
time,
even
though
saliva's
generation
is
not
that
much,
which
is
a
natural

defense
mechanism
to
maintain
the
pH
of
the
mouth.
So
all
in
all,
during
the
day
also,
we
are
under
attack
with
the
--
because
we
are
consuming
food.
But
after
dinner ,
let's
say ,
if
we
are
not
brushing,
it
is
more
susceptible
to
tooth
decay ,
gum
problems
and
a
lot
of
other
oral
health
issues.
So
that's
where
I
think
it's
extremely
important
for
better

oral
health
to
continue
promoting
brushing
twice
a
day ,
which
will
improve
the
overall
oral
health
of
our
country .
Abneesh

Roy:
Sure.
My
next
question
is
on
the
overall
dentist
focus.

So
we
have
seen
in
the
past
few
quarters,
higher
focus
in
terms
of
B2B
towards
dentists
and
B2C
also.

So
I
wanted
to
understand
how
the
performance
has
been,
especially
the
B2B
part,
which

was
not,
I
think,
two
quarters
back.
And
on
the
overall
dentist
usage
in
India,
that's
quite
low .
So
what
is
Colgate
doing
to
really
increase
that
because
if
you
do
a
lot
of
activities
with
dentists
and
the
customer
doesn't
really
use
too
much
of
dentists
in
India,
then
you
may
not
get
that
commensurate
benefit.
So
what
is
Colgate
doing
on
that
part?
Prabha

Narasimhan:
So
firstly ,
to
answer
the
first
part
of
your
question,
we,
as
Colgate,
I
think,
cover
the
maximum
number
of
dentists
of
any
oral
care
brand
in
the
country .
We
cover
approximately
75,000
dentists.
Of
those
75,000
dentists,
we've
seen
a
really
positive
response
to
the
B2B
side
of
dentists
first.
We
have
about
20,000
registrations
of
dentists
on
that
site.
It
is
a
site

that's
meant
only
for
dentists.
And
you
will
recall
that
it
was
launched
only
about
three
months
ago.
So
we
are
very
encouraged
with
the
progress
of
what
is
happening
with
that
dentist's
first
site.
T o
the
second
comment
that
you
made
on
people
going
to
dentists
less
often.
That
is
absolutely
true.
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And
our
effort

is
actually
three-pronged
really .
Firstly ,
we
partner
with
the
IDA
to
make
sure
that
there
are
workshops
and
there
is
information
out
there
on
the
importance
of
going
to
the
dentist,
and
that's
something
that
we
share
across
various
platforms.
The
second
is,
of
course,
our
flagship
Bright
Smiles,
Bright
Future
program,
which
talks
about
healthy
habits
brushing
twice
a
day ,
regular
visits
to
the
dentists

and
dentist
checkups
and
that
has
tremendous
reach.
We
have
a
plan
like
we
showed
for
about
10
million.
And
then
the
third
one,
of
course,
is
for
us
to
have
this
partnership
with
dentists
where
we
continue
to
disseminate
oral
health
education.
So
with
all
of
this,
we
do
expect
that
as
the
country
evolves
and
access
to
dentists
improve,
this
is
something
that
will

continue
to
get
better
and
better .
Abneesh
Roy:
And
last
quick
question.
So
we
have
seen
under
your
leadership,
a
lot
of
steps
being
taken
in
terms
of
scaling
up
in
terms
of
growth.
This
quarter ,
in
fact,
the
toothpaste
part
of
the
business
has
done
reasonably
well.
So
FY
'24,
would
you
be
expecting
a
high
single-digit
kind
of
a
volume-led
sales
growth.
Overall
sales

growth
of,
say ,
high
single
digit
in
at
least
the
toothpaste
part
of
the
business.
Prabha
Narasimhan:

I
always
leave
these
kind
of
questions
to
Jacob,
so
I'm
going
to
look
at
him
for
this
one.

M.S

Jacob:

Y es.

I
mean,
our
endeavour
would
be
to
grow
ahead
of
the
market.

So
remember ,
in
the
strategic
pillars,
Prabha
called
out,
growing
the
category
is
a
priority

and
within
that
growing
shares
is
a
category .
So
a
lot
would
depend
on
how
the
category
was
because
these
things
do
take
time.
But
assuming
normal
levels
of
category ,
we
would
definitely
be
looking
at
that
level
of
sales
growth.
Abneesh
Roy:
So
just
one
follow-up
question
here.
Y ou
must
have
seen
the
results
of
other
companies
in
Q4.
So
when
you
compare
that
versus

oral
care,
on
paper ,
oral
care
always
looks
very
exciting
with
a
low
per
capita,
55%
of
the
rural
are
not
brushing
every
day .
When
you
match
up
both
the
things,
where
would
you
see
the
issues
in
toothpaste
in
terms
of
growth
because
it
looks
good
on
paper ,
but
then
we
see
a
lot
of
other
FMCG
categories
growing
faster .
So
where
is
the
issue?

Category
creation
is
the
issue,
or
because
in
India,
there
are
other
forms
of
oral
cleaning
that
remains
a
very
dif ficult
habit
to
change?
M.S
Jacob:
Y es.
I
mean
the
trigger
for
growth
has
to
be
rural
consumption.
And
we
haven't
seen
that
take
of f.
And
we
are
seeing
other
categories
like
food
are
doing
much
better .
So
we
do
have
a
job
to
do
there

in
terms
of
getting
more
and
more
people
to
brush
every
day
as
you
saw
only
55%
brush
every
day .
So
there
is
work
for
us
to
do
also
to
drive
more
regular
use
and
make
it
a
habit
for
the
rural
households.

Moderator:

We
will
now
take
the
next
question
that's
from
the
line
of
Percy
Panthaki
from
IIFL.

Percy
Panthaki:
Okay .

So
Yes,
my

question
is
basically
the
non-oral
care
portfolio.
If
you
can
give
some
idea
as
to
what
percentage
of
revenue
is
coming
from
the
non-oral
care?
And
how
that
has
evolved
over ,
let's
say ,
the
last
decade,
has
it
materially
shifted?
And
what's
your
view
in
the
future?
Do
you
expect
that
contribution
to
sort
of
go
up
materially?
And
if
so,
what
will
drive
it.
If

I
--
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correct
me
if
I'm
wrong,
but
I
believe
it
has
not
materially
changed
over
the
last
10
years
or
so.
So
what

--
if
you
want
to
increase
it,
what
do
you
plan
to
do,
which
will
be
different?

Prabha
Narasimhan:

So
firstly ,
Percy ,
it's
always
nice
to
hear
you,
even
if
we
can

see
you.
I
want
to
take
the
second
part
of
your
question
first,
and
then
I'll
let
Jacob
build
on
the
numbers
part
of
it.
I
think
what
we
have
with
Palmolive
really
is
underserved
equity ,
if
we
are
honest.
For
a
brand
to
exist
for
73
years,
have
60-plus
percent
awareness
in
such
a
fragmented
market
of
the
world
of
personal
care
is
really
unusual.

And
therefore,
the
onus
is
on
us
to
translate
this
very
high
level
of
latent
equity
into
actual
sales.
And
our
effort
in
this
area
is
really
going
to
be,
like
I
mentioned,
to
double
down
on
what
we
believe
is
the
heartland
category
of
Palmolive,
which
is
the
body
care
between
bodywash
and
hand
wash.
And
what
you
will
see,
if
you
haven't
seen
already ,

is
the
effect
that
goes
into
building
that
category .
And
body
wash
per
se
is
a
relatively
small
category
with
relatively
low
penetration
and
very ,
very
high
headroom
to
grow .
And
Palmolive
will
be
one
of
the
few
brands
that
actually
plays
in
body
wash,
not
in
soap,
giving
us
the
opportunity ,
hopefully ,
to
make
the
transition
from
soap
to
body
wash
that
much
faster
amongst

premium
consumers.

M.S

Jacob:

Y es.

In
terms

of

share

of

the

total

business,

you're

right,

it's

stayed

at

the

low

single

digits

over

time,

and

it's

not

more

material.

But

as

Prabha

said,

we

do

see

a

big

opportunity

in

Palmolive

as

the

country

gets

af fluent,

gets

more

urbanized

categories

like

shower

gel

have

a

big

headroom

to

grow .

And

we're

going

to

step

up

investment.

There's
going
to
be
more
innovation
here.
We're
going
to
leverage
our
distribution
muscle.
So
you'll
hear
a
lot
about
this.
And
we
do
expect
in
years
to
come
this
growth
will
inch
up
the
share
of
business
of
Personal
Care
to
the
company's
total
business.
Per cy
Panthaki:
Right.
Second
question
is
on
the
mar gins.
This
quarter ,
you've
done
fairly
high
mar gins
of
33%
plus.
So

is
there
any
phasing
issue
here?
Or
do
you
believe
that
with
the
benign
input
cost,
these
mar gins
are
sort
of
sustainable?
How
should
I
look
at
the
mar gins
for
the
full
year
FY
'24?
M.S
Jacob:
Y es.
I
would
just
ask
you
to
pay
attention
to
gross
mar gins
at
this
stage,
which
was
66.6%,
which
is
back
to
the
levels
we
were
a
year
earlier .

So
we
should
see
sequential
improvement,
although
it
would
be
moderate,
not
a
very
sharp
increase
based
on
what
we
are
seeing
right
now .
The
EBITDA,
of
course,
is
influenced
by
the
low
spend
on
advertising
at
10.7%.
And
so
we
kind
of
kept
the
powder
dry .
As
we
get
into
this
quarter ,
we
have
the
biggest
relaunch
we
have
in
the
year
of
Colgate
Strong

T eeth.
And
you
saw
the
new
campaign
we're
going
to
run.
And
so
it's
going
to
be
a
stepped-up
investment
and
you
would
see
much
higher
levels
of
spending
in
the
first
quarter
which
will
af fect
EBITDA.
But
for
us,
the
gross
mar gin
is
the
one
monitorable
on
a
quarter -on-quarter
basis.
On
a
full
year
basis,
the
EBITDA
is
a
more
relevant
one.
Per cy
Panthaki:
So

on
a
full
year
basis,
FY
'24
versus
FY
'23,
it
would
be
a
fair
assumption
to
build-in
some
EBITDA
margin
expansion,
right?
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M.S

Jacob:

At
this
stage,
we
would
believe,
yes,
there
is

opportunity
given
commodity
prices
are
turned
benign.
And
there
is
some
pricing
still
happening.

So

I
would
say
it's

a
fair
assumption.

But
we
will
continue
to
calibrate
with
the
media
investment
required.
If
there
are
opportunities
in,
say ,
spending
a
bit
more
in
the
shower
with
good
return
on
investment,
we
would
definitely
not
hesitate
to
go
into
that
space.
Per cy
Panthaki:
Got
it.
And
the
last
question
is
on
growth.
I
mean
this
quarter ,
the
growth
is
3.7%
on
sales.
I
don't
have
the
number ,
but

I would assume that volume growth would be flattish. Most companies which are reporting this quarter are showing some amount of volume growth like between 3% to 5%. I just wanted to understand in a very stable category like oral care, why should the growth be lagging other FMCG categories. And if the category has indeed grown in line with other FMCG then is it a

market
share
issue
for
us,
or
how
should
I
be
sort
of
interpreting
this
number?
M.S
Jacob:
Y es.
I
mean,
just
first
on
the
sales
number .
Although
we
reported
3.7%,
our
domestic
sales
were
up
5.4%,
and
the
export
piece
is
kind
of
a
bit
soft.
And
within
that,
toothpaste
grew
high
single
digit,
as
I
mentioned
in
my
presentation.
So
Percy ,
what's
really
happening
is

that
we
continue
to
see
pressure
on
volume
growth
in
the
category .
V olume
share
is
actually
up
YTD.
So
what's
happening
is
the
category
is
still
under
pressure.
And
it's
mainly
coming
from
rural.
W e're
still
seeing
declines,
although
the
level
of
decline
is
going
down.
So
it's
not
as
bad
as
it
was
in
the
prior
quarters.
And
so
we
stay
positive
that
in
quarters

to
come,
this
will
go
up
with
all
the
positivity
around.
Per cy
Panthaki:
And
what's
the
story
behind
toothbrushes?
If
you're
saying
toothpaste
has
done
high
single
digits
then
I'm
assuming
toothbrushes
are
in
decline.
So
what's
the
story
behind
that?
M.S
Jacob:
So
toothbrushes,
is
also
a
similar
story .
V olume
in
the
category
is
a
challenge.
And
with
pricing
being
less
of
an
opportunity
than

in
toothpaste
because
like,
Prabha
mentioned
the
Rs.20,
Rs.30
where
the
market
plays
and
those
are
kind
of
locked
in
terms
of
price
point.
We're
not
seeing
a
lot
of
pricing
action
also.
So
a
combination
of
that,
unlike
toothpaste
where
the
volume
softness
is
more
than
of fset
with
pricing,
we
still
don't
see
the
impact
here.
And
again,
going
back
to
the
presentation,
the
premiumization

is
a
big
opportunity
for
us
here.
So
while
we
work
on
the
consumption
piece,
we
also
would
take
enhanced
steps
to
drive
the
mix
towards
the
higher
price
brushes.
Per cy
Panthaki:
Okay ,
sir .
That' s
all
from
me.
Thanks
and
all
the
best.
M.S
Jacob:
W elcome.
Moderator:
Thank
you.
Our
Next
question
is
a
text
question
from
V arun
Singh
of
ICICI
Securities.
His
question
is,
four -year

revenue
CAGR
still
continues
to
be
4%.
How
should
we
look
at
this
number?
M.S
Jacob:
Yes.
As
again,
as
I
responded
to
Percy ,
we
do
see
signs
of
the
category
growth
coming
back.
To
add
to
that,
our
strategy
is
going
to
be
--
we're
going
to
double
down
on
driving
category
volume
growth
this
quarter ,
plus
all
the
stuff
we
have
in
armor ,
which

we're
going
to
launch
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like
the
CDC
re-launch,
and
you
will
see
more
innovation
coming
from
our
side.

So
we
do
expect
our
market
shares
to
inch
up
also.

So
a
combination
of
category
and
volume
growth
and
the
share
growth
should
get
us
to
a
respectable
place
I

would
expect.

Moderator:

Thank
you.

We
take

the
next
question
from
Richard
from
JM
Financial.
Richard:
I
just
want
to
ask
one
simple
question,
right?
I
mean
what
I
noticed
in
the
--
as
far
as
pricing
data
is
concerned,
is
that
very
recently ,
you
again
upped
prices.
What
I
can
see
is
that
Strong
Teeth
100
grams
is
up
from
Rs.63
to
Rs.69,
which
is
like
quite
a
reasonable
spike.
And
this

is
an
environment
where,
Jacob
said,
that
commodity
costs
are
falling.
And
we've
also
seen
across
the
board,
a
lot
of
other
companies
talking
about
price
cuts.
Here,
you
have
a
category
where
apparently
growth
is
getting
challenged.
And
there's
no
real
need
for
pricing,
but
you
are
still
choosing
to
do
so
despite
the
fact
that
growth
has
been
so
subdued.
And
given
that,
you

talked
about
large
opportunity
in
terms
of
growing
per
capita,
etcetera,
and
rural
being
the
main
problem.
Is
this
kind
of
a
pricing
growth?
I
mean,
was
it
really ,
really
necessary?
I
mean
I
guess
it
is,
but
just
want
to
understand
your
perspective
on
why
you
think
so?
Prabha
Narasimhan:
Okay .
So,
maybe
I'll
go
first
on
this
one
and
then
hand
it
over
to

Jacob.
I
think
firstly ,
our
pricing
moved
from
Rs.63
to
Rs.66
to
Rs.69
over
the
last,
I
think,
seven
months,
if
I'm
not
mistaken,
somewhere
in
the
seven
months,
eight
months
range,
not
Rs.63
to
Rs.69.
Equally ,
I
think
with
this
Colgate
Strong
T eeth
relaunch,
we
are
actually
delivering
a
better
product
that
has
the
best-in-class
science
with
this
whole
arginine
technology .
And
what
consumers
tend

to
look
at
is
the
value
of
what
is
being
delivered
to
them
more
than
what
is
the
price
of
what
is
being
delivered
to
them.
And
I
think
the
value
that
the
CST
mix
of fers
actually
is
worth
the
price.
And
this
is
why
CST
is
the
lar gest
brand
in
this
country .
So
I'm
not
worried
about
the
pricing
that
we
have
taken
because
I

do
believe
the
value
that
we're
delivering
is
commensurate.

On
the
comment
on
rural,
what
is
important
to
rural
is
actually
to
make
sure
that
we
have
access.

And
that
is
why
we
have
the
Rs.10
and
Rs.20
SKUs
for
rural,
both
of
which

--
certainly
the
Rs.20
SKU
doing
really
well
in
helping
us
to
drive
both
consumption
and
hopefully ,
usage.
What
we
have
to

get
right,
like
Jacob
said,
is
the
efforts
to
drive
up
everyday
usage
of
toothpaste.
And
as
you
would
know ,
any
kind
of
consumer
behaviour
change,
particularly
of
the
frequency
nature,
tends
to
be
a
long
haul,
slow
burn
and
something
that
you
need
to
stay
committed
to,
and
it
is
something
that
we
are
committed
to.
Jacob,
do
you
want
to
add?
M.S
Jacob:
Yes.

No,
nothing
to
add.
Richard:
Got
it.
Thanks
Prabha.
Wish
you
all
the
best.
Prabha
Narasimhan:
Thank
you
so
much.
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Moderator:

Thank
you.
We'll
take
the
next
question
from
Shirish
Pardehi
from
Centrum
Capital.
Please
go
ahead
with
your
question.
Shirish
Pardehi:
Yes.
So
three
questions.
Of
late,
we
have
been
seeing
most
of
the
leading

FMCG
companies
using
Nielsen
data,
which
is
as
fresh
as
trying
to
give
the
perspective
in
terms
of
urban
rural
consumption,
trying
to
give
the
category
volume
growth
and
value
growth.
I
see
that
you
are
not
using
any
of
those
slides.
I'm
not
sure
why ,
but
if
you
can
give
some
sense
in
January ,
February ,
March
quarter ,
what
is
the
category
per
se,
toothpaste
and

toothbrush
volume
value
growth?
And
maybe,
Jacob,
if
you
can
help
me
for
FY
'23,
what
is
the
full
year
volume
growth
for
toothpaste
in
India?
M.S
Jacob:
Y es.
I
mean
we've
stopped
talking
share.
So
that's
why
we
don't
quote
Nielsen
data
as
much.
But
I
can
say
the
category
volume
has
been
down
in
the
low
single
digits.
So,
and
especially ,
we've
seen
in

urban
areas,
urban
is
slightly
positive,
but
rural
is
in
the
mid-single
negative.
So
that's
the
kind
of
numbers
we
are
looking
at
overall
around
2%
to
3%
negative
volume.
Shirish
Pardeshi:
And
FY
'23,
you
were
saying
2%
to
3%
negative
volume,
full
year
'23?
M.S
Jacob:
So
I
was
saying
in
Q1,
that's
the
kind
of
negative
volume
we
are
seeing
in
the
category .

Shirish
Pardeshi:
So
for
us
--
for
a
full
year ,
what
will
be
the
volume?

M.S
Jacob:
So
it
will
be
slightly
better
than
the
category
decline.

Shirish
Pardeshi:
Okay .
My
second
question
on
the
toothbrush
slide.

The
market
has
always
remained
higher
in
terms
of
Rs.30
and
lower .
And
historically ,
we
have
done
a
lot
of
work
around
Super
Flexi.
However ,
now
we
are
seeing

the
premium
segment,
we
are
putting
a
lot
of
ener gy .
So
is
that
the
market
structure
is
unfavorable,
and
that's
why
the
toothbrush
decline
is
higher ,
or
generally ,
we
feel
that
we
are
underrepresented
into
the
premium
segment,
and
that's
why
we're
focusing
more
ener gy
on
the
premium
segment?
Prabha
Narasimhan:
Thank
you
for
the
question.
I
think
there
are
two
parts
to
the
answer .
The

first
part
is
that
actually
for
the
average
toothbrush
price
to
be
Rs.21,
we
think
it
is
not
commensurate
with
the
value
of
the
job
that
a
toothbrush
does.
And
I
want
to
reiterate
because
it's
a
fact
that
I
learned
only
after
joining
this
organization
that
a
new
toothbrush
cleans
90%
better
than
an
old
toothbrush.
So
we
definitely
think
that
there
is
an
opportunity

for
consumers
to
improve
their
usage
of
toothbrushes.
That's
the
first
thing.
The
second
is
that
we
are
definitely
seeing
a
trend
towards
softer
brushes
with
softer
bristles.
And
these
brushes
tend
to
be
at
a
premium.
So
we
are
seeing
a
marked
shift
in
that
direction
towards
softer
brushes
and
they
are
indeed
better
for
your
teeth,
the
softer
brushes.
And
that's
what's
driving
this

overall
more
premium,
call
it,
Rs.40
brush-plus.
The
other
thing
that
we
are
seeing
is
actually
the
fact
that
there
are
brushes
for
benefits.
So
there
is
a
whitening
brush.
There
is
a
brush
that's
better
for
your
gums
and
so
on.
And
these
brushes
are
also
seeing
tremendous
traction.
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So
as
we
talk
to
consumers

and
we
understand
what
their
needs
are,
we
are
seeing
that
there's
an
opportunity
for
us
to
move
in
this
direction,
and
that's
exactly
how
we
are
doing
it.
The
fact
that
we
are
driving
premiumization
doesn't
mean
that
we're
taking
away
focus
from
Super
Flexi
because
Super
Flexi
certainly
has
a
job
to
do
in
our
portfolio,
and
it
will
continue
to
do
that
job.

It
is
that
the
growth
potential
of
premiumization
is
really
staring
us
in
the
face.
Shirish
Pardeshi:
It's
coincided
because
now
I
see
even
Oral-B
is
--
very
aggressively
pushed
through
the
media
spends.
So
I
think
it
coincided.
The
other
question
I
had
was
in
terms
of
penetration
on
toothpaste.
Will
you
be
able
to
share
and
quantify
in
terms
of
absolute
grammage,
how
it

has
moved
between
2015
to
2020
because
in
the
past,
we
used
to
give
this
number .

I
think
for
a
long
time,
we
have
not
shared.

So
maybe
that's
why
I'm
pushing
you
if
you
can
share
that
number .

Prabha
Narasimhan:
So
penetration
of
the
toothpaste
category
is
now
near
universal.

So
there
is
not
a
home
in
this
country
that
doesn't
buy
toothpaste
at
least

once
a
year .
And
so
that's
not
a
number
that
can
be
moved
much
higher .
And
that's
why
the
comment
on
actually
average
per
capita
consumption,
which
you
saw
in
the
first
slide,
which
is
really
about
all
urban
households
brush
daily ,
20%
of
them
brush
twice
a
day ,
only
55%
of
rural
households
don't
brush
every
day ,
and
that's
how
the
volume
of
the
category

actually
adds
up,
and
that's
why
the
effort
to
drive
consumption
because
there
isn't
headroom
on
penetration.
Moderator:
Mr .
Pardeshi,
sorry
to
interrupt.
Maybe
request
you
to
return
to
the
queue...
Shirish
Pardeshi:
I
am
done.
I
just
wanted
to
thank
Prabha,
that
you
have
done
a
good
job
to
convince
the
division
to
give
35
million
samples
for
the
new
product.
So
all
the
best

to
you.
Prabha
Narasimhan:
Thank
you
very
much.
Moderator:
Thank
you.
We'll
take
a
last
question
from
our
audio
participant,
it's
from
Arnab
of
Goldman
Sachs.
Arnab,
please
go
ahead.
Arnab:
Hi,
Prabha
and
team.
My
first
question
was,
you
showed
the
major
volume
growth
opportunity
in
the
category
seems
to
be
recently
increase
urban
or
rural.
However ,
if
I
look
at
your
advertising
campaign,
they

seem
to
more
focus
on
the
value
addition
part
of
value
portfolio
Is
it
because
there
is
past
experience
in
the
company
that
advertising
cannot
increase
your
consumption,
or
is
there
any
other
reason
why
we
don't
see
a
at
least
in
India
some
efforts
from
the
market
leaders
price
increase
recently?
Thank
you.
Prabha
Narasimhan:
So
I
think,
again,
I'm
going
to
give
you
a

two-part
answer
to
this.
The
first
part
answers
being
that
consumers
buy
benefits
and
that's
what
actually
makes
them
use
more
of
a
category .
If
I
buy
into
the
benefit
that
a
category
is
giving
me,
I'm
likely
to
adopt
that
category
and
use
more
of
it.
And
we
do
believe
that
the
benefit
of
strong
teeth
of
freshness
or
the
protection
that
Colgate
Active
Salt

of fers
are
relevant
benefits
to
consumers.
And
that's
why
we're
doubling
down
on
the
communication
of
that
to
consumers.
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And
we
do
expect
that,
that
itself
will
move
the
needle
on
consumption
a
little
bit.
Having
said
that,
there
is
a
longer -term
action
for
us
to
do
to
convince
consumers
who
don't
brush
every
day
in

terms
of
the
benefit
of
brushing
your
teeth
every
day .

And
that's
a
piece
of
work
that's
in
the
pipeline.
That's
what
--

as
you
can
imagine,
moving
frequency
is
not
easy .
Moving
penetration
actually
is
relatively
simpler .

And
the
work
that
is
being
done
and
hopefully
just
watch
this
space
and
we
will
come
back
with
some
work
on
Part
2.
Though
I
do
think

that
Part
1
itself
will
move
the
consumption
needle.
Arnab:
Okay .
Thanks
a
lot.
And
my
last
question
was
on
the
chart
that
you
showed
on
the
value
of
the
category
by
55%
of
volume
sitting
in
the
Rs.90
to
Rs.1 10
price
index.
It's
also
interesting
to
note
that
there
is
almost
nothing
between
Rs.1 10
and
Rs.200.
Is
that
superior
to
this
category
for
some
reason

because
in
your
colored
categories,
we
see
quite
a
good
price
and
it's
for
the
consumer
to
premiumize
in
oral
care
and
this
is
going
to
be
a
big
jump
and
is
that
something
that
you
are
working
on?
Prabha
Narasimhan:
Can
I
say
yes
and
yes,
as
a
short
answer
to
your
question.
So
it
is
certainly
unusual
and
it
is
certainly
an
opportunity
for

us.
Arnab:
Okay .
Thank
you
so
much.
All
the
best.
Prabha
Narasimhan:
Thank
you.
Moderator:
Thank
you.
I
now
hand
the
conference
back
to
Ms.
Prabha
Narasimhan
for
closing
comments.
Over
to
you,
ma'am.
Prabha
Narasimhan:
Thank
you
very
much,
and
thank
you
once
again
for
--
to
all
of
you
who
have
joined
and
to
all
of
you
who
took
the
time
to
ask
us

the
questions.

I
know
we
probably
didn't
manage
to
get
to
all
of
the
questions.

But
I'm
sure
that
over
a
period
of
time,
we
will
give
you
the
answers
to
the
other
questions.

I
want
to
actually
end
with
two
points.

One,
that
we
are
very
clear
on
our
strategy ,
which
has
those
four
pillars
of
growth
in
the
category ,
drive
premiumization,
win
in
toothbrushes

and
build
personal
care.
And
equally ,
we
are
committed
to
our
mantra,
if
you
want
to
call
it,
for
this
year ,
which
is
really
about
growth,
strengthen
and
simplify .
And
between
these,
we
think
we
have
a
really
sharp
agenda.
So
thank
you
again
for
joining
us,
and
happy
weekend
to
all
of
you.
Moderator:
Thank
you
very
much,
members
of
the
management.
Ladies
and
gentlemen,

if
you
have
any
further
questions,
we
request
you
to
reach
out
to
the
Colgate-Palmolive
(India)
Limited
Investor
Relations
team.
We
now
conclude
today's
Colgate-Palmolive
analyst
conference
meet,
and
we
shall
thank
you
all
for
your
participation.
Goodbye.
Disclaimer:
This
transcript
has
been
edited
to
remove
any
grammatical
inaccuracies
or
inconsistencies
of
English
language
that
might
have
occurred
inadvertently
while
speaking
Page
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of
21

Call: Aug 2023

August 25, 2023

The Secretary

BSE Limited

P.J. Towers, 25th floor

Dalal Street Scrip Code: 500830

Mumbai-400001

The Manager – Listing Department

National Stock Exchange of India Limited Symbol: COLPAL

Exchange Plaza, C-1, Block – G Series: EQ

Bandra – Kurla Complex

Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript

This is further to our letter dated August 22, 2023, regarding an Investor/Analyst meet, please find enclosed herewith the transcript of the said investor/analyst meet held on August 22, 2023.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link-<https://www.colgateinvestors.co.in/presentation-to-analyst/presentation-details-2023>

Kindly take the same on record.

Thanking you,

Yours Sincerely,

For Colgate-Palmolive (India) Limited

Surender Sharma

Whole-time Director – Legal &

Company Secretary

DIN: 02731373

Encl: a/a

Colgate-Palmolive(India)LimitedAugust22,2023

"Colgate-Palmolive

Brand

Days

Analyst

Meet"

August

22,

2023

Management:

Ms.PrabhaNarasimhan–ManagingDirector&ChiefExecutiveOfficerMr.M.S.Jacob–Whole-TimeDirector&ChiefFinancialOfficerMr.SurenderSharma–Whole-TimeDirectorLegal&CompanySecretaryMs.SaralaMenon–ExecutiveVice-President-EndtoEndSupplyChainMr.BalajiSreenivasan–ExecutiveVice-President,HumanResourcesMr.GunjithJain–ExecutiveVice-President,MarketingMr.RuchirBhatnagar–ExecutiveVicePresident,CustomerDevelopmentMs.SwatiAgarwal–ExecutiveVicePresident,IGTCMs.SujataNairi–Director,CommercialFinance&InvestorRelations

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Colgate-Palmolive(India)LimitedAugust22,2023

Sujata Nairi: Hello, everyone. Good morning and welcome to the Colgate-Palmolive Brand Days Analyst Meet. I, Sujata along with the entire leadership team, would like to extend a warm welcome to all of you present here physically as well as those who have joined us virtually.

Happy to meet all of you in person again, and I hope you had a lovely time in the last one and a half hour on the walk around of our products, innovations and the technology behind it. The session today will be approximately 45 minutes with a brief presentation from Prabha and Jacob post that will have a Q&A session of 20 minutes in all.

So for those participants who have joined us physically, can raise their hands and those who have joined us virtually can please put their questions in the chat box and we'll be happy to answer as much as we can. I would now request Prabha to share her views. Prabha over to you, thank you.

Prabha Narasimhan: Good morning, everybody. Let me add my welcome to Sujata's and thank all of you for having made the trip to Powai, all of you who are in the room and to welcome everybody who's online. It's absolutely the LT and my privilege to be here this morning and take you through the entire Colgate-Palmolive story as part of our brand day event. And to start with the statement that all of you know, the Safe Harbour statement. So I am not going to dwell on it too much and crack straight on.

This is really what we're going to cover in the deck today, for those of you who are wondering that, apart from the walk around, what we're going to add, what we're going to talk about is really a recap of the opportunity that we see in the spaces in which we play, our current state of our business, what are our key growth pillars, and of course, the financial results for which I will hand it over to Jacob.

Starting with the opportunity, I'm sure you've heard this downstairs already, but it's certainly worth reiterating that the headroom opportunity in oral care, despite the fact that it is a category that's been around for a very, very long time and despite the fact that it is a category that has a sneer-universal penetration on both toothpaste and toothbrush, remains immense. Only 20% of urban households brush twice a day, which is the recommended level of brushing by your dentist and 55% of rural households don't brush daily. So the simple math will tell you that if we are able to move some of these numbers

sintoeitherdailybrushinginruralortwicedailybrushinginurban,thevolumeopportunitythatsitswithintheworldoftoothpas te.Andthen,ofcourse,whenyoulookatthepremiumizationopportunity ,alotofthestorywhichyouwouldhavehearddownstairs,86%ofthecategorysitsbelowthe110averagepriceindex. Soifyouaverageoutallthebrands thatsitinthecategory,86%ofthevalueofthecategorysitsbelow110index.Andsoagain,ifyouseecom petitivecategoriesinpersonalcare,likehairorpersonalwashorskinforthatmatter,thisnumberisinexcessof25%.Soagainsta14oddper centfororalcare,thenumberisinexcessof25forcomparablecategoriesandthereforeanopportunityforustobridgethataswell.

2

Colgate-Palmolive(India)LimitedAugust22,2023

Andifyoutakealookattoothbrushesinthesimilarway,replacemen

tinurbanisonceevery6monthsonaverage.Ofcourse,thefrequencydistributionofthatvariesandreplacemen tinruralisonceevery15 months.Again,yourdentistwouldrecommendthatyoureplaceyourtoothbrushonceevery3to4months.Therisdatathatanewtoothbr ushactuallycleans95%betterthananolddtoothbrushandtherefore,youknow,anexhortationtogetpeopletomovetheirtoothbrushpurc hasmoreoften.78%ofthecategorysitsbelowthe40rupeespricepoint,whereagain,themorepremiumofferingsintherangeandwewill talkaboutthemoffersignificantbenefitsasyougoupthepriceladder.So,wearetrulyinaspacewherethereisopportunityforthecategoryt ogrowandasmarketleadersinbothtoothpas teandtoothbrush,wedoseeitasourprimarytasktogrowtheentirecategory.

Fromanoralcareawarenessperspective,75%ofIndia'surbanpopulationbelievesthattheyhavegreatteeth,whichisgreat.However,8 9%actuallysufferfromsomeformoforalhealthissuesandthisdoesn'tmeanthattheyareinpainorthisdoesn'tmeantheirteetharegoingt ofallout,itjustmeansthatbetterdentalcarewouldtakecareoftheseoralhealthissues.Andtherefore,astheygetmoreawareoftheseoral healthissuesandastheyactupontheseoralhealthissues,wealsoseeanopportunityintermsofcategorygrowth.9%ofIndiavisitsadenti stleastannually ,usuallyforpain,notbecausethisisarecurringvisit.Thatpopulationtendstobesmallandthereis,ofcourse,anopportu nitytobuildthehabitofgoingtothedentistanddrivingbetteroralhygiene.Overthelasttwoslides,youprobablyheardmeusethe wordopp ortunityIthinkmustbehalfadozentimes.ButIthinkifcouldsumupwhatwethinkofthiscategory,thatwouldbetheoneword,whichistherei stremendousheadroomtogrowdespitethefactthatpenetrationisnearuniversal.

Solet'sthenswitchfromthecategorytothestateofourbusiness.Whatweareseeingfromanexternallens,whichisgreatandIthinkweare hearingthisacrossFMCGcompanies,isreallyarevivalincategoryvolumes.WeareseeingthisacrossurbanandruralandI'lltakeyourth oughsomedatainjustshortly.Andweareseeinggreenshootsinruralconsump tion,whichisgreatbecauseimmediatlyaftertheimpac tofCOVID,wesawitcomebackalittlebitandthendipquitesharply.Butwearenowseeingaresurgenceinthatandhopefullythiswillcontin ue.

Fromaninternalperspective,youwouldhaveheardalotaboutit,butourfocusisreallytoensurethatwedeliversuperiorsciencebackedpr oducts,putoutbestinclasscommunic ationtogetthebenefitofthesesciencebackedproductstoourconsumer

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tintothoseoutletsisalargepartofourstrategy.Doingthesethreethingswellisleadingtomomentumthatyou'reseeinginourresults.

Margins,whichhasalwaysbeenastrengthofthiscompany.Ithinkoverasfarbackaswehave lookedatdatacontinuestobeverystrong,he lpedbyverytightgovernanceofourinternalprocessesandofcoursetheexternalfactorofthesofteningofallofthecommoditypricesandv ariousotherpricesthatwearegettingthebenefitof.

3

Colgate-Palmolive(India)LimitedAugust22,2023AndwecontinuetostayfocusedondigitizationaswellasESG,whicharethetwo corepillars onwhichthisorganizationrests.

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Sothatbringsmereallytoourgrowthpillar,andforanyofyouwhohavebeenherebeforeinthisroomoronthecall,thiswillbeaslidethat'snot unfamiliar.IwanttoiterateourstrategyinColgate-Palmolive.Ourfirstleg,asI'vealreadymentioned,isreallytoleadcategorygrowthan dtoothpas tecategoryconsump tionledgrowth,andthatistodrivethevolumeofthecategory.Andsecondly,forustodoubledownonour threecorebrands,whichisColgateStrongTeeth,MaxFreshandColgateActiveSalttomakethemthebestinclassforthebenefitthattheyo ffer.

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trateoftoothbrushes.Andthenwehaveopportunitiesintermsofwhiteningdevices,oneofwhichyouwouldhaveseendownstairs.

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Thesecond,andwe'vediscussedthis,drivingfinancia efficiencybecauseasweareefficient,weunlockmoremoneywhichallowsustoin vesttodrivebrandgrowth.

Digitalatthecore,nocompanycansurvivewithoutbeingdigitalatthecore.AndIthinkwearemakingsomerapidstridesinthisspaceandw ewilltalk,youhaveheardaboutsomesofitalready.Smilestores,amazingdigitaltwinsinfactories,lotsoftheworkthat'sbeingdoneinthesu pplychainoutsideofthat.Butwewillrecapitagain.

4

Colgate-Palmolive (India) Limited August 22, 2023 And then of course, people, we are who we are and people are absolutely critical to our success. And the entire idea of how we manage talent and culture is really critical to us. And that becomes then the fourth enabler. And the last one is ESG. I hope all of you have had a chance to see the second ESG report that we just released along with our annual report this year. This is just a reaffirmation of our commitment to doing all the right things as far as environment and social impact is concerned and continuing the very, very strong work that we do on governance.

So with that, I'm going to move to talking just a little bit on a recap about our brands. Those of you who did the walk around this morning who are in this room will have heard a lot of this before, but there's never too many times that we feel we can say this or we're going to say it again, starting with Colgate Strong Teeth, the thing that is really to be noted about Colgate Strong Teeth is that it does have the best in class science on what is a market standard product. So the arginine technology is actually clinically proven best in class science for strong teeth and this is what we've put in our market standard product. And I say this because it just reaffirms our commitment to building oral health in this country. And this technology allows us to say, 2X remineralization of teeth or in consumer parlance, 2X stronger teeth. And I'm sure you saw it down stairs. Since we relaunched this product with a superior formulation, new communication, we have actually seen a tremendous uptake in this brand, which continues to grow now at double digit this year. And the great work on CDF Fundamentals has meant that we've added about 200,000 total distribution points. For those of you who don't know what a distribution point is, 1 SKU in the store is one distribution point. So 200,000 distribution points is 200,000 incremental touch points for some CTSKU into a store.

This is a new campaign. I hope you've seen it, which has very, very high reach. It has been the highest decibel level campaign that Colgate has ever done, I think, in its entire history, really well received. We have got a lot of positive feedback from both practitioner as well as consumer on the advertising which does go back to the roots of Colgate, of Colgate Strong Teeth, of being a family led brand that is warm and is really all about an elder or a mother's advice for how she builds strong teeth in her children. We have also taken this rural, 7000 plus villages, and have seen wall paintings where it's difficult for us to reach them through television. The exact same message of driving strong teeth is delivered in these wall paintings.

We then come to our second brand, which is Max Fresh, superior freshness technology. If there's one thing to remember about Max Fresh, that would be it. Our technology that delivers 10X cooling or 10X freshness has been our most successful brand over the last little while with a 470 basis point increase in household penetration.

So household penetration is measured by 100. If there are 100 households, what percentage of them use it? We've added 470 BP to that penetration. The brand grew two times as fast as the market and we're making sure that we are doubling down on the success to ensure that we get more and more money behind what is a truly winning mix.

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Colgate-Palmolive (India) Limited August 22, 2023 And then we come to the first leg of premiumization in the proactive health space, Colgate Total. It is the world's number one germ fighting toothpaste, world's number one which has actually been for quite a while, which just talks to the quality and the efficacy of this particular brand. In India, it used to be available in the advanced health and charcoal deep clean variants. We are very, very shortly, I think a week away from launching Colgate Total Sensitive as well. So that completes the portfolio of Colgate Total. It is I think our most patented awarded toothpaste with 125 patents, just as Colgate Total. This year as it did the last couple of years, growing at double digit and we are spending a lot of money behind driving Colgate Total as one of the face of our effort to premiumize.

If then come to what is a critical leg for us for a very, very long time or since its inception in this country actually, the Dentist profession and Colgate has had a symbiotic relationship. And what we are doing is to double down on this symbiotic relationship, to make sure that there is win-win. We have a portfolio that is designed specifically for dentists, for them to prescribe and for them to sell through their practices. This portfolio includes therapeutics as well as the space for oral beauty.

So within therapeutics, gum disease is actually one of the most prevalent causes of oral health issues in this country. And therefore the Perio Guard range, which is currently a mouthwash and toothpaste and will also have a toothbrush, is squarely targeted at taking on gum disease. And that's the range that was launched exclusively with dentist earlier this year. We also have a set of products for orthodontics and many of you who have children in this room, they probably have braces. I know even mine do. So you need a separate set of products for children with braces or even adults with braces. And there's a separate set of products for orthodontics. And then, of course, there is this entire world of oral beauty.

So oral beauty for us is a part of our premiumization strategy through the At Home, what we do and what we sell, which you have seen, which is the range of visible white toothpaste and Visible White O2 toothpaste. It is also an in-clinic or dentist assisted whitening, the first part of which you have seen launch, which is the Visible White overnight whitening pen.

More will come in this space as we double down on bridging the gap between our whatever 1% penetration and the U.S. is at 43% penetration. We see tremendous opportunity to drive oral beauty and we see tremendous opportunity for partnership with dentists in driving this oral beauty.

And one of the things that we have done for the very first time actually, to bring the idea of oral beauty to more dentists and to talk to them is our very first metaVERSE class for dentists. So a class that was run in the metaVERSE, I've never attended one. This was my first where a dentist takes a session on the idea of oral beauty in the metaVERSE being able for us to reach many, many more practitioners than what a room would allow us to do, really well received and something that we intend to do more of.

If then come to the pillar of devices or toothbrushes. I want to reiterate that Colgate is the number one toothbrush in this country. We are also the only company that has a portfolio that straddles the entry level brush, including kids all the way up to your orthodontic brush,

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Colgate-Palmolive (India) Limited August 22, 2023 when you have braces and everything in between. And as with toothpaste, it is this portfolio that gives us strength to say we have the right to win in toothbrushes.

And what we are doing is to make sure that we are spreading our toothbrushes and making the benefit delivery of each of these toothbrushes sharply positioned against what consumer eyes are looking for. So if you look at the middle brush, which is really our flagship brush, the Zig Zag, it is about interdental deep cleaning. That's the core benefit for which to buy the Zig Zag brush. And then the new relaunch just doubles down and calls out that benefit.

We then have a Gentle range of brushes, which, as the name suggests, and as you get more premium and want a softer brush does the job,

but in a manner that is softer and more gentle. And then we have to do as we do with toothpaste testing to make sure that our brush is on a like-for-like basis as a superior to eye ball competition. The fourth pillar is building personal care. I hope you were excited by the world of Palmolive downstairs. Truly an amazing brand, to have a brand that has 67% awareness is quite something in this country where you have so many brands and so many that are getting launched every day, sits in a category where the penetration of body wash is somewhere around the range of 3%. Our intention is to double down on our effort in the body wash and hand wash category, to grow this brand significantly faster than the rest of the company grows. And in the world we actually have a lot to choose from in terms of what we can do with this Palmolive brand. And the idea will be to bring the best of the globe into India as far as Palmolive is concerned.

In our move from the strategic pillar to just pointing out a couple of things about the enablers. We have covered it downstairs but a good idea is just to see some data against what was demonstrated. The first of course, is smile stores. Smile stores as a recap of our assortment algorithm that uses machine learning to tell us the right assortment in the right store basis where the store is, what the store does, what type of store it is, what is the surrounding environment of that store, and therefore what is the correct portfolio. We started off with an assortment of X in 2021 and we've now been able to take that in just about what, a year and a half to 1.3X and more than the 30% increase in the assortment. It's actually the quality of the assortment that goes into the store, which is what drives this algorithm and makes it so very valuable to this company. And then once you've got the right assortment in store in the stores where visible availability becomes an advantage, you need to make sure that you're visibly available in the right way, which is where the amazing app comes in. Allow us to see planogram right, you know, right SKUs on the shelf, right SKUs next to the right SKUs in the right quantity, allows us to measure secondary asset compliance and allows us to measure pricing as well. So again, a tech-based solution that does something that's fairly fundamental to our business, which is the right product on the right shelf, in the right store.

If then come to doubling down on our ESG strategy, this has always been a company that has been committed to Environmental, Social and Governance long before I think the ESG framework even came in.

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Colgate-Palmolive (India) Limited August 22, 2023 But the ESG framework is a great way for us to demonstrate our commitment against this very, very important space. Just a few highlights, to call out from a DEI perspective. We are ahead of four peer FMCG companies in women representation. Our board actually has more women than men, which I think is utterly unusual for most companies. We have a true waste zero certification for all of our plants.

We are water positive already in two of our plants and working on the rest, 80% of our packaging is recyclable. And the reason why we are quite proud of that is because toothpaste tube being recyclable is actually quite difficult, and that's a tech that Colgate has created, which I'm sure you've heard already, but we are quite proud of that tech and that's been made available now to all other companies and we intend to get to 100% very quickly. We have energy efficiency and we are committed, like I said, to get to 100% recyclable tubes by the exit of 2024. So that and that's really all that I had to say. As more of a recap of what you would have heard downstairs and what you've heard us say before, I'll hand it over to Jacob to talk about the financial results. Thanks for your attention.

M.S. Jacob: Thank you, Prabha. So I'll take you through the financials. This is the latest quarter financials. I am sure you know many of you have memorized it already, so we reported 12.3% growth, which was really good. Profit continues to be on a good trend or profitability growth 30% after tax with a ratio of sales of 20.8%. Gross margins, you would remember we had two years of decline and we have started building that back again, we reported 68.2% gross margin. Advertising investment, in the past we've cued that we will be upping spending as we get the quality of our communication right, there's more news to talk about the brand. So versus last year, we saw a steep increase compared to the last quarter of the previous year and we reported 13.8% to sales and overall overheads continue to be tightly controlled.

We have been quite pleased with the trajectory of our sales. So you would see coming out of the 5.4% of the last quarter of the previous year, we reported 12.3% domestic sales growth this quarter. This is the trend on margins. Prabha mentioned that as a company, we have done an excellent job in this area of help by funding the growth program, which looks to take calls out of the system and what we call our revenue growth management program, which is a combination of pricing and promo efficiencies.

So the latest quarter margin, 68.2 you can see it's trending higher than the prior two years and we expect it'll stay at current levels. EBITDA is a bit more variable, depending on the advertising spending. We expect this to move up and down.

In terms of balance sheet, one of the best balance sheets in the industry. Our working capital at -32 days is really the best in class in industry. We continue to convert the entire profit in the P&L to cash with tight control over working capital and return on capital employed again at 84% is industry leading. So the last point there on shareholder value. If one had invested in the Colgate shares when we went public in 1978, they would have reported 23% CAGR from 1978 to current prices. That's all I had on the financials and back to Prabha.

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Colgate-Palmolive (India) Limited August 22, 2023

Prabha Narasimhan: Thank you, Jacob. And I want to end just really as a recap summary of everything that we've said so far and what we believe powers this business. At the heart of our business are three things, there is Brand, which is, what we are really, really fortunate to be the stewards of. Then there is Technology or the Science that goes into our products and our formulations where the effort is to make sure I'm sure you heard already, but I'm going to repeat it anyway. We are the highest investors in oral care tech in the world, and this tech is brought to bear on all of our products. We are digitizing at a very, very rapid pace.

This is really the heart of our model. What this gives us is really a right to win, which allows us to invest to grow and have the confidence to invest to grow, which then makes sure that we are taking advantage of what is a huge opportunity in the oral care space, which then funnels back into, you know, increasing our right to win and so on and so forth, making that hopefully a virtuous cycle and underpinning all of this are really the four pillars of People, Sustainability, Governance and Values.

And that's really the model and that's how we look at our entire business and that's the focus of this entire team and the entire team in this building and beyond. So with that, we really come to the end of what we wanted to say. We're going to open it up for questions and I'm going to hand it over to Sujata to take us through it.

Thank You very much for your attention. Thank you for your presence either here or online.

Sujata Nairi: So, I'll request Jacob and Prabha to be on the dais. We will start with the Q&A. We will first begin with the questions in the room, and I would request the participants to raise their hand and someone in the team will pass on the mic, request you to please state your name and organization and for people who are joining virtually

, please type your questions in the chat box. I'll first give it to Abneesh, Abneesh Roy.

Abneesh Roy: Yeah, if you can stand up, it would be easier for them to locate you.

Abneesh Roy: Yeah, thanks, I have two quick questions. First is that Palmolive body wash and hand wash has a category in India, has been here for many years and Palmolive also has been present. Wanted to understand what you will be doing differently now when you said that the growth rate will be much faster than the company average, plus the global R&D also has been present. So what will be different? Will mass media come into play? Will kirana come into play? That's the first question.

Second one is on the premium part of the toothpaste. It is at 14% versus 25% for the other personal care. Again, here, what is the issue, because you come from a company which was very large, obviously India's largest personal care company and which also had oral care. So what is the issue with oral care, why the differentiation or the premiumization hasn't happened? And here again, what can't take it from 14 to 25 or 14 to 20? Thanks.

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Prabha Narasimhan: So thank you very much for both those questions. I'm going to take the oral care one first and then come to the one on Palmolive. I think what is going to be different is really the focus that we put on these segments that are premium. To give you an example, we have started investing significantly in whitening with the launch of O2 whitening and we are seeing the results of the growth that's giving us terms of how fast the whitening category is growing.

And we firmly believe that with a brand like Total or with a Periogard or with all of the other things that we are doing in the premium segment, as we do the fundamental blocks of getting the right product, building the awareness, making it available in the right channels, we will drive growth. And there, I guess the difference will be just the quantum of effort that goes behind these mixes.

Similarly, on Palmolive, you are absolutely right that the body wash category has existed for a while in India. There are some reasons for which the body wash category per se is relatively small and relatively underpenetrated in the country. But as far as Palmolive is concerned, I think we've had a little bit of a journey in terms of where we should invest and what is really the true heart of this brand.

Some recent work that's been done suggests that the heart of this brand sits in cleansing, whether it be body cleansing or hand cleansing and that's why we are doubling down on this piece and the effort that you will see, or more importantly, consumer will see, will be what makes the difference between our current growth rate and a future growth trajectory. Once again, you know, every time I talk about this, you have to assume that it is underpinned by best-in-class products.

Abneesh Roy: Soon, last very quick follow-up question on Palmolive, so when you say 67% awareness for the Palmolive brand in terms of body wash and hand wash in terms of the retail presence which India has. Currently, how much will be Palmolive in that subset only, I'm not asking about the 10 million kirana.

And second is in India because it's a value market. Powder to liquid has been pioneered by other players. Would you also need to do that or you want to be essentially in the more premium part of these segments?

Sol'm going to let Ruchi may be talk about the availability of Palmolive in just a minute, but on the second part, we see Palmolive as a premium high fragrance, high sensorial brand. And so our effort will be to stay in that space rather than in the space of making it, you know, permlcheaper.

Abneesh Roy: Thanks.

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Ruchi Bhatnagar: Yeah, and for the availability, I would just say that, you know, it's really about identifying the right set of stores and going to them with the right opportunity mix. As I explained to you earlier, we are really pushing the stores' boundaries in terms of the affluence levels in the localities, the kind of stuff that people are buying and then upgrading them slowly and steadily.

That's where Palmolive really comes into the picture. What we've realized is that a lot of these products, which are traditionally considered to be modern trade-centric products, are not really true. They have penetrated well into the general stores, medical stores and even the large kirana stores. So we are really trying to identify those stores, cross-ruff with our other categories that they buy, the kind of toothbrushes and the kind of toothpaste that they buy and the kind of neighbourhood affinity stores and then trying to push it in that direction. So certainly not going to the 1.6 million, but making rapid progress through this milestone algorithm.

Sujata Nair: Thank you Abneesh, these second questions from Vivek.

Vivek Maheshwari: Hi Good morning, this is Vivek from Jefferies. You know, when we look at the stats, firstly impressive analysts' meet, particularly what we saw down stairs. So thank you for that. When we look at, more than half of rural India doesn't brush on a regular basis, 20% or so of urban Indians don't brush twice a day. And when we look at the growth number for this industry, for you as a market leader, why is it taking so long for you, will there be an inflection point over here? Why is it that toothpaste volume growth somewhat lacks lustre, over the past few years? And what will lead to that inflection point at some point?

Prabha Narasimhan: Thanks for the question, Vivek. And I know that you follow a lot of FMCG, Sol'm going to tell you something that I'm sure you know already, but moving consumer behaviour is actually a slow and difficult process. It's not something that we're able to put out a piece of communication or take an action that then suddenly flips from being this kind of behaviour to that kind of behaviour.

The difference that we want to bring about is actually a consistent commitment to moving this behaviour and what we will do through the BSF program, which is the Bright Smiles, Bright Future program that runs in rural schools. We will do above the line communication that is targeted at both urban and rural consumer

and just watch this space for a little while and you'll see some of the actions that emerge from there.

But having said all of this, I think the understanding that we have and the one that I certainly want to communicate is that none of this is going to be a magic bullet for it to suddenly accelerate toothpaste consumption, to being really, really rapid, it will be slow, incremental progress, but it is progress that we are committed to.

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And once you start getting that progress, then you obviously keep that progress because built habits tend to stay. So that's really your commitment in that space.

Vivek Maheshwari: Okay. And just a thought, you know, when so your last slide, what you mentioned about, in a way of virtuous cycle of growth

owth and getting savings, ploughing it back in the form of investments. But, you know, that doesn't get corroborated with the kind of margin expansion that we have seen, right? So let's say, I think I recall correctly, between 2014 and 2023, what you showed there is 800 basis points on gross margin expansion and I think 1200-1300 basis points on EBITDA margins.

Do you not think Prabha that if you invest more, probably the growth accelerates rather than having, let's say, 30% plus kind of margins? If you said, maybe, 27 is the right number, 26 is the right number, I don't know.

But is there a potential to accelerate also because you are sitting on 30 days of working capital, your rights are best in class. So, I mean, ultimately margin doesn't mean anything, right? What matters is, the return on capital ultimately, right? Because telecom has brilliant EBITDA margins, but it doesn't have return on capital. What are your thoughts on that?

Prabha Narasimhan: So I am going to take one part of the question, then I'm going to hand it over to Jacob for the other part. I think I can rephrase your question of investment posture coming in the way of our growth, the answer is actually no. We are fully committed to driving growth. Growth is the fundamental of this business, and that's why everything that we talk about starts from there.

And we will put in the money that is required, whether it's in formulation terms, therefore impacting gross margin or it is in terms of the money that we spend above the line or below the line to advertise our products to drive growth. So that's a commitment and that's something that you will see as we progress down the line that any mix that we think deserves investment will get investment that is the growth driving.

On the second part, maybe I will let Jacob take that question.

M. S. Jacob: Yeah, on margin, I mean, we are extremely proud of what we accomplished in that area. And, high margins by itself is not an issue, as you will realize, right. We haven't taken price increases ahead of inflation or any of that stuff. We have done stuff very sensibly, we have taken costs out of the system. And as I mentioned we are just funding the growth program where we scour the world for the lower suppliers, the lower spec of packaging material, looking at formulation changes. So there are ways to get cost out of the system, which is, not visible and it's agnostic to the consumer.

So gross margin, we continue to expect that we will build on this as we go along, maybe a little bit more in a modest way than the recent few years trend. But for us, the important

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Colgate-Palmolive (India) Limited August 22, 2023 piece is, getting the right category, right products in, making sure that it is supported by the advertising levels. So those you will see continue to be something that will ramp up as we go ahead so the EBITDA may go up and down, but gross margin on its own, we expect to continue to modestly move up.

Prabha Narasimhan: And thank you for the comment on down stairs. We are very proud of our products and what we showed you.

Vivek Maheshwari: Thank you, one last question, if I may.

Sujata Menon: We'll take it back again.

Vivek Maheshwari: Sure, thank you very much. All the best.

Sujata Menon: The next one from Manoj.

Manoj Menon: Hi Prabha, Jacob, Sujata and team. Brilliant setup and thanks for all the insights. This is Manoj Menon, from ICICI Securities. I have a few questions, but it is building on the margin question, which Vivek asked. I look at margins by adding back royalty also. So if you actually do that, you're actually in the mid to late thirties, right? That's one.

These second aspect is that, have you done the research which actually tells you what is the price elasticity in the category?

M. S. Jacob: Yeah, I mean that's a fact. The margins are tied to royalties at a high level. But, I'll just have to repeat what I said. Gross margin on its own is not something that you should feel bad about, if you're doing well without consumer

saying that we are paying way more for toothpaste than we should, I think we have done a good job of that.

So, the thing would be to keep EBITDA up and make sure there's a good balance between growth and as we represented, India has a huge top line opportunity, and that would be the single big focus for the company going forward also. And we need to make sure the right level of investments are there to support that objective and that will be an endeavour going forward also.

Prabha Narasimhan: Just to answer your question on elasticity, I think the way we look at it is to say what is the benefit and then what is the price and therefore what's the value that's given to consumer.

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Colgate-Palmolive (India) Limited August 22, 2023 And the best way of judging that is are we growing and are more consumer substituting our products? And that's really the best assessment. And we think we are in a pretty good spot.

But on the flip side of this, how does drive affordability through the price point packs so the Rs. 10 and the Rs. 20 packs, which form a reasonable proportion of our business, stay at 10 and 20, they don't move as inflation moves, which makes sure that whatever be the benefit that we are offering is accessible even to consumer who perhaps don't have the extent of affordability that some other consumer have. So that's how we manage the two things.

Manoj Menon: Understood, thanks. When I look at the last, let's say 20 or 30 years of Colgate's performance itself, being the category leader now up to let's say 20 odd years back, you had this toothbrush bundling which kind of, propelled the growth of the category into, let's say, double digits in volume terms. Second, also by the price point rate and we should probably not date 30 or 40 years back. And these are actually affordability aspects at one level. These second is the habit aspect, right. The toothbrush bundling, I am sure it was an extra cost for the consumer. Is that intervention feasible, let's say to drive volumes, at this point? I heard about dephat change which you're working on, but are there any other interventions, let's say with a 3-5 year to process, which is feasible at this point?

Prabha Narasimhan: So I think if we were to bundle and sell or actually all we end up doing is just diluting the value of the category, because when you are asking the consumer to buy A+B, she's expecting that it will be a discount over A+B, and therefore diluting the value of the category is not, in our view, a great idea, which is why actually we are stepping out from a lot of these bundling activities that used to happen in the past.

The second thing that it does is, it devalues the toothbrush because the minute you start getting something free really often then you are thinking, Why should I ever pay for that something free? And what we want to do is to make sure, actually I've learned this over the last year, is that the toothbrush is a critical component of good oral care hygiene and allowing your toothbrush to flower or to have to be used for many, many months actually decreases its cleaning potential and decreases its efficacy.

So our effort will actually be to do the opposite, which is to build back this sense of a good toothbrush and a good toothpaste

tearebothessentialtogoodoralhygiene,andthatwillbetheeffortintermsofansweringtowhowwebuildvolumeandbuildhabit.

Manoj Menon: Secondly, when I look at Colgate Global portfolio, it's far bigger than, let's say, what you present in the oral care and Palmolive. You kind of have aspirations and execution happening there. How are you thinking about the rest of the portfolio of the parent in terms of relevance for India, in terms of let's say, I am sure that you have the right to win because, I still remember Axion and you had those products, you know, 20 or 30 years back.

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Colgate-Palmolive (India) Limited August 22, 2023 So let's stake a 5-10 year view, how are you prioritizing knowing those aspects? Let's say including pet care, etc.?

Prabha Narasimhan: So our current focus is oral care and Palmolive. But having said that, we are always on the watch for what of the global portfolio has relevance to India and there's always work happening in terms of what of that we could bring in. Of course, I'm not at liberty to say what is specific we're reconsidering, but very much on our radar.

Sujata Nair: I'll give it to Percy.

Percy Panthaki:

Yeah. Hi, Prabha. So I'm just building a mental model of what can be the volume growth over the next decade for the toothpaste industry in general. So if you look at rural, half of the consumer are brushing daily. Supposing, as you say, it takes time to build habits. So supposing over the next ten years that number goes to 80% brushing daily. That's 3% per year for 70% of the population.

But that's about a 2.1% volume growth contribution from that. If you look at urban, the number of people brushing twice daily, when I started looking at Colgate as an analyst about 15-16 years ago, that number was 7%. Today it is 20%, so it's roughly moving at about 100 basis points per year. Suppose if you take that kind of an advancement, it goes to 30% over a ten year period on a 30% of the population. So that's about another 0.3% per year. So you get about a 2.5% volume growth from these two factors.

So is this the potential of the toothpaste

industry with about a 2.5% to 3% kind of volume growth a year for the next decade? Or am I missing something in the equation?

Prabha Narasimhan: I think you could do any amount of math on this Percy honestly and all of those numbers could be right. And I'm not sure that necessarily we do a model that says it in this kind of structure. Our effort is to do what we said, which is firstly do it because it's the right thing and I think we lose track of that sometimes in these meetings, which is that oral health is critical. It has a connection to various other types of disease, which I will not bore you with at this moment, but Swati and team would be happy to talk to you about.

And therefore it's the right thing for us to do to move this behaviour. How quickly this behaviour moves is something that we will have to wait and see as we drive this behaviour. So it could be at the rate you're saying it may be slower, it may be faster. So I'm not sure that I'm in a position to comment, actually.

Percy Panthaki: Okay. Second question for Jacob basically, Q1 number says you say have gone up to 12%, which is a very, very sharp jump from what we have done in the past few quarters. Now, this is a very mature category, relatively in the context of India, very well penetrated, mature

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Colgate-Palmolive (India) Limited August 22, 2023 category, such kind of violent swings generally we have not seen in any other category. So how should we look at this number? Is there anything company specific or is there any pipeline aspect? Or if there isn't, then is the conclusion that this is the kind of growth that we can expect over the next few quarters?

M. S. Jacob: Yeah. So there are two pieces to that. One is, how we are doing as a company and you know, with all the launch activities that have happened, a few in the last few quarters, quality of communication, etc., we've seen that build up. But I must also call out that, there is a comparative period advantage. The Q1 of last year was a soft quarter. So there is, you know, wouldn't exactly call out how much it was, but that was also a chunk of. The reason why we reflected that kind of number

is. So there is a combination of these two. And I won't just say just purely performance that driving a part of 12%

Percy Panthaki: And is your market share stable or have you actually gained market share?

M. S. Jacob: I mean, it's stable, I would say

Percy Panthaki: Okay,

Sujata Nair: I will give it to Arnab.

Arnab Mitra: Yeah, my question was on premiumization. We saw a lot of the products, technologically superior products. In your opinion, is affordability an issue here? Because the price jump that a consumer needs to take to move from Strong Teeth to Total. Is that gap just too large where even despite communication and efforts, it's just too large a gap to bridge?

And that's where, a little bit, drill it back to the gross margin. Is there a case to be made that, you know, those gaps could be lower, it could affect gross margins, but could accelerate premiumization from a long term perspective? Any thoughts on affordability being an impediment to premiumization here?

Prabha Narasimhan: I have two parts to answer to this. One part is really, if you see the data of the consumer pyramid in India, you will see that now fully 52% of total India sits within the SECA B part of the pyramid. So that's one in every two consumer is either SECA A or B, and this, according to Kantar, is both urban plus rural, and therefore in sheer number terms, that's like what, 700 million individuals and whatever 120 million households or thereabouts.

So in terms of the audience for premiumization, there is enough and more audience that has the capacity to be. So that's, I think, one piece of data. I think the second piece of data is that we deliver value to that price that we are charging, which then allows us to drive the

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Colgate-Palmolive (India) Limited August 22, 2023 premiumization.

And that's why we were showcasing the tech and what the product does, etc. Our belief is, Yes.

And then the third thing is when I look at it in comparison to other personal care categories and their 140 above index, or even if you take the 200 index, that total is, for example, the percentage contribution in those categories is significantly higher than toothpaste. And therefore that's already a demonstration that there are enough consumers

who have both the ability and the propensity to pay. It's just up to us now to convince them that it's worth paying for.

Arnab Mitra: Just a follow on question on this. In other categories, we have seen companies use access price point to premiumize. Is it difficult in a category like Oral, given the nature of the category that people at the premium end would not want a small pack or would probably

of the family pack? And how do you solve for that lack of access point in a sense, for these premium things?

Pr abhaNar asimhan: Actually the learning over the last few decades in terms of when you introduce access in premium is when you have a certain scale. So when you've already tapped a reasonable proportion of the people who have the ability to outlay the absolute money for a mid-size pack and then you're looking to expand it beyond is when you can start looking at access packs because if you do access pack too early, then it doesn't really sit with the premiumization story and you have to build the idea of premiumization.

So our belief at the moment in the nascent stage at which we are with the 14% sitting above 140, is that it's perhaps a bit too early for access. But could we do access? Of course we could. I mean, we have a

10 CST, so you can have a

20 Total. There's no issue at all. And so it's not an inability to do access, just think it's a little bit early to do access.

Arnav Mitra: And just one last thing, like in consumption, you said it's a long haul, there's no silver bullet. Premiumization, can it be a much faster journey, in your view, with all the measures you're taking in terms of getting that number up from 14%?

Pr abhaNar asimhan: Someone answered that question, really by looking at what we've seen already as far as whitening is concerned, so as we have invested in whitening, we are seeing it grow significantly faster than triple digit actually last year. And so we do expect that as we get these mixes right and we take these mixes out to consumers,

their rate of growth will be faster than what we imagine it will be. So there's certainly an opportunity there.

Sujata Nairi: We will take the last question from Mihir.

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Colgate-Palmolive (India) Limited August 22, 2023 Mihir Shah: Hi Prabha, Thank you very much. This is Mihir Shah from Nomura. And thank you for the wonderful presentation below. You know, my question again is on premiumization. When we see, you know, the category and I mean a large part of the category is still getting consumed at the mass market pricing. We have the best in class technology Arginine into a market standard product.

Why not charge a premium given that the volume growth in the category is going to be slow and gradual? And as Percy calculated, you know, it can be very different as well. Why not have a premium premium pricing given that there is a lot of scope for affordability and affordability is not the hindrance for the category. You know, there's a perception that something is charged at a premium, it is supposed to be good, but when you're giving it the same price point, maybe the adoption is taking a back seat. Any thoughts on why not charge a premium to be best in class superior technology and charge at the market price? That's my question.

Pr abhaNar

asimhan: So I think two part answer to your question really. I think the first part is that I want to go back to what is the absolute commitment of this company, which is that we are here to improve the oral health of this country. And we believe that arginine and therefore the strong tee and the remineralization is critical to the oral health of this country.

And that's why we put that in our market standard product. And I think that philosophy is something that actually is quite critical to all of us. And therefore it is something that we don't consider is the wrong thing to do and in fact is the right thing to do.

Having said that, what we've done then is to say that if we've raised the floor and the floor technology has become this, what can we do to make sure that the premiumization technology is even better than that of the floor technology? And that's why we have the confidence that Totalasatech product is actually the best in the world.

And there are so many reasons to pay a premium for it exists completely in terms of the formulation reason to pay. Forget about the experiential reason to pay. So we do think that we can do both, which is to make sure that we are giving best in class tech for helping the oral health of this country and making sure that we have a premiumization offering that allows us to be significantly superior to the bundled net market standard price.

Mihir Shah: Thank you. And my final question is on ayurvedic toothpaste. You know, that has been absent completely in the presentation. There is not a talk about it, we are not even talking about it any longer. I know you've highlighted in the past that it is on a decline. However, the other brands that we spoke to, they are contesting that argument basically.

So what is the stand on ayurvedic toothpaste? I believe that, you know, we have already done Vedshakti and you know, with all the new innovative products that you have brought about, whether it is Visible Whitening or Gum Care or any of those, there is a strategy of chipping away, share from the ayurvedic toothpaste, which anyway is holding strong with

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Colgate-Palmolive (India) Limited August 22, 2023 the other strong ayurvedic players, and you may not have the very serious right to win in that category. So the strategy that you are doing is probably chipping away shares by introducing a lot of new niche offerings. Any comment on the ayurvedic toothpaste category?

Pr abhaNar

asimhan: Okay. I have three comments actually, most of which I've said before, so forgive me for the repetition. I think firstly, consumer buys benefits. Ayurveda is a reason to believe a given benefit. So consumer buys strong teeth, no cavities, fresh breath, white teeth, you know, freedom from gum disease, etc., etc. and therefore, those benefits can be offered through whatever technology or platform that you use, whether it be ayurveda or it be science. There are different ways to get to that benefit. So that's our first belief.

So when we say that the ayurvedic and natural market is plateauing, what we're seeing is that consumer who are buying a benefit which is delivered through this mechanism is plateauing, or the number of consumer who are doing that is plateauing. And that's really what the data is showing. And we firmly believe that as we talk about the efficacy of either arginine technology or the dual zinc technology that helps us to deliver these benefits, we do believe that we can continue to gain share with our core variants. So it's not a niche strategy of chipping away. So I think that's the first comment.

I think the second comment is that while we offer the core benefits of strong teeth, freshness and soon, there is also an opportunity for us to expand our repertoire of benefits to talk to more consumer who are seeing a need for different benefits, gum disease whitening. And that then becomes the strategy for the other products that you've seen. So that's really your thinking and that's why you don't see as much of ayurveda, because our effort there is to double down on science backed, technologically superior efficacy products.

Mihir Shah: That's all for my side.

Sujata Nairi: Sorry. So in the interest of time, we'll have to conclude the meeting now. Thanks again for your interactions and thank you out

the leadership team as well as everyone in the room. Very, very happy to host all of you here, and hoping for more such interactions in the future.

Thank you once again, when you guys leave from this room there is a smile hamper which is there for each one of you and would request you to give your feedback in the memory wall which is down there. Thank you once again and goodbye.

M.S. Jacob: Thank you.

Disclaimer: This transcript has been edited or modified in any way to ensure accuracy of the content of the English language. It may contain errors or omissions while speaking.

Call: May 2024

May 21, 2024

The Secretary
BSE Limited
P.J. Towers, 25th floor
Dalal Street Scrip Code: 500830
Mumbai-400001

The Manager – Listing Department
National Stock Exchange of India Limited Symbol: COLPAL
Exchange Plaza, C-1, Block – G Series: EQ
Bandra – Kurla Complex
Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript.

This is further to our letter dated May 15, 2024, regarding an Analyst Conference Call, please find enclosed herewith the transcript of Analyst Conference Call held on May 15, 2024.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link- <https://www.colgateinvestors.co.in/pdf/cp-analyst-transcript-15052024.pdf>

Kindly take the same on record.

Thanking you,
Yours Sincerely,
For Colgate-Palmolive (India) Limited

Surender Sharma
Whole-time Director – Legal & Company Secretary
DIN: 02731373

Encl: a/a

“Colgate -Palmolive (India) Limited Analyst Conference Q4 & FY'24 Earnings Call”

May 15, 2024

Management: Ms. Prabha Narasimhan – Managing Director and
Chief Executive Officer, Colgate -Palmolive (India)
Limited
Mr. M.S. Jacob – Whole -time Director & Chief

Financial Officer, Colgate -Palmolive (India) Limited
Ms. Sujata Nairi – Director, Commercial & Investor
Relations, Colgate -Palmolive (India) Limited

Moderator: Ladies and Gentlemen, Good Day and welcome to the Colgate -Palmolive (India) Limited Analyst Conference Call for the Financial Year 2023 -2024.

Please note that this conference call will include forward -looking statements and these statements are made on the basis of the Company's views and assumptions as of this time and are not the guarantees of future performance.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. At that time, participants on webcast may click on the "Ask a Video Question Tab," which is enabled below the media player. Alternatively, you may also post your text questions on the "Ask A Question Tab" available on your screen. Participants connected via telephone may enter "*" and "1" on their phone to ask a question.

Today's session will Begin with a Brief Presentation by the Management of the Company, Sharing their Views on the Overall Company's Performance and Strategy, and this will be followed by a Question -and-Answer Session.

I now hand over the proceedings to Ms. Sujata Nairi – Director, Commercial and Investor Relations at Colgate -Palmolive (India) Limited. Thank you and over to you.

Sujata Nairi: Good morning, everyone, and welcome to the Colgate Palmolive Analyst Meet for the Financial Year '23 -24. Very happy to have all of you here.

We will start this presentation with a Brief Presentation from Jacob and Prabha. This would then be followed by a Q&A Session.

Before we start, I'd just like to point out that the statements here may have some forward -looking statements and we have included the Safe Harbor about that in our presentation.

I will now hand over to Prabha for her Opening Remarks and Presentation. Thank you, Prabha and over to you.

Prabha Narasimhan: Thank you, Sujata. Good morning, everyone.

It's a pleasure to be here and thank you for joining us. It's been about I think since August of last year since we met at the brand days, Jacob and I are very excited to talk you through the results of this quarter.

This is the structure of what we're going to cover. Really, a Quick Update of our Performance. The important point of what is our view of oral care and the forward view of the category, what's our strategy to take on this category and lead it to the next level and then look at our financial performance.

So, diving straight in, the last time that we spoke, we had laid out the three principles on which we run our business, which is that our effort will be to grow our top line, strengthen the equity that we have, which is already exceedingly strong and to make that even better, and to take a simplification to the next level. As we go through this, we will talk through all three of these parameters.

Starting first with our performance, I'm very pleased to report that in the latest quarter, we have delivered a 10.7% domestic growth, a good double -digit growth in a good quarter for us, and this takes actually our full year performance to near double -digit, which is 9.5%, the highest performance that we've delivered in the last little while and really a testament to the strength of this organization. This comes along with an excellent performance on margin, EBITDA margin strengthening from the 29.8% levels of FY'23 to 33.7% margin of FY'24, and in the latest quarter we have delivered the highest margins ever at 35.9%. I know that we have a lot

of

discussion around margin in this Company and the way we look at margin is actually to see it as the ability of this Company to drive performance, which is linked to the strong equity that we have the privilege to run and linked also to the financial discipline and the rigor that we have on managing all lines of the P&L.

And starting of course, with the strong equity that I've already mentioned a couple of times in the very first few minutes of this call, this is the strength of the Colgate brand equity. The letters that you see in brackets indicate a significance over the previous time period. So, when you see the column 61% top of mind awareness in 2022, going to 64% top of mind awareness in 2023 and you see an 'A' next to it, it says that 64% is actually significantly better than the 61%, and similarly the 67% is significantly better than the 64% and the 61%.

And top of mind, of course, being the measure that is really critical to all FMCG brands, given that most FMCG purchase is a system one purchase in the moment. When you ask a consumer, when I say toothpaste, what is the first brand that comes to your mind? 67% of them say, "Colgate or a Brand of Colgate."

Commensurate with that increase in top -of-mind awareness, we also see an increase in the brand of first choice. So, the same question of what would be your first brand of choice, a little

bit more considered as the heading would suggest, a little bit more considered view of what you would buy in oral care and 61% of consumers say, that "They would buy Colgate." Again, significantly up over the previous couple of years.

And the last one, which is perhaps the most important functional measure of category performance. Oral care expertise is now at 78%, again, significantly up over the previous couple of years. And all of this culminates in a measure that we call, "North Star," it's a cumulative equity measure which measures equity on three parameters of how visible are you, how distinctive are you and what is your emotional bond and you can see that the strength of this brand is incredible, and what is really heartening to see is actually the movement even against a very, very strong start.

From a simplification lens, there have been really three areas that we focused on. One of course is the use of data to make sure that the decisions that we are taking are faster, are better, and are more in tune with what is happening in the market, and to that end, we have deployed an advanced marketing mix module that allows us to keep modifying how we spend our advertising money. Colgate is actually one of the, if not the most advertised FMCG brands in the country and making sure that we juice that expenditure to drive growth is critical to us, and this market mix modeling helps us to get better and better at doing that.

We now have an AI-led planogramming, which I've referenced before, but goes from strength-to-strength in terms of ensuring that our availability in stores, particularly self-service stores, is exactly as we believe it should be in that store in terms of share of shelf, in terms of ensuring full on shelf availability, in terms of assuring planogramming in terms of proximity of A2B, etc., And the measurement of that is really getting better and better and giving us significant insight which allows us to keep moving this forward at a rapid pace.

And, of course, simplifying supply chain is one of the reasons why we are able to continuously deliver continued margin improvement as we suck out every non-value adding cost in the system, allowing us to both invest back in product and packaging quality as well as invest back in significantly increased advertising. Advertising for the year has gone up by 20% and for the quarter has gone up by about 18%, and this is something that we're committed to doing once again linked back to the equity of this incredible brand.

Coming back to Oral Care and I want to step ba

ck for a moment and just remind you of the

context of Oral Care in India. The average toothpaste consumption in India continues to be under-indexed to any comparable country and we compare to Philippines as being the nearest perhaps to our market. And with that comparison, we are at 0.6 index on a total India level broken up as 0.7 in urban and 0.5 in rural. So, significant headroom opportunity for us even if we approach the consumption levels of Philippines.

And then if you take that to the extreme of the Brazil type consumption levels, then you're saying we are at about 0.33 index in India and so we could potentially have a toothpaste market that is 3X the volume size of the market that we have currently. And why is that? It's because of the two numbers that you see below. Only 20% of urban households brush twice a day. So, anytime you visit your dentist, they would tell you that you should minimum be brushing twice a day, and of course, 55% of rural households don't brush daily. And these two opportunities, moving them is actually a fundamental pillar of our strategy, which we'll talk about shortly.

When we take a look at the toothbrush category, two, there's one fact on the slide there, which is 78% of toothbrushes are sold below Rs.40. The other fact is that, on average, a toothbrush gets replaced every nine months whereas again, the dentist would have you believe that you need to replace your tooth brush ideally, every three months. And therefore, the opportunity to both move the frequency of replacement as well as driving up the premiumization or moving people to better quality toothbrushes, becomes a huge opportunity for the Company.

And why do we believe that we are the best placed to move all of these numbers, and why are these numbers important to us? Because of numerous set of facts. And I know that I labor the point on these facts, but these are good facts and so, I am going to labor the point on the fact that we are India's #1 oral Care Brand by far, we are the India's Most Loved Oral Care Brand again by far, we are the Most Penetrated Oral Care Brand existing in Nine out of 10 Households, we are the Most Recalled Oral Care Brand, we discussed that already and the Most Considered Oral Care Brand as well.

Also, our relative strength in the category is exceedingly high and we can look at this from three parameters: Firstly, what is our relative size versus the number two player in the category. So, in the toothpaste category, we are three times the number two player in the toothpaste category and in the toothbrush category we are 1.5X or near 1.5X the number two player.

Then, if we move our attention to a portfolio play and where does Colgate plays. The top line and the red dots really indicate that we play across every benefit segment that is important to consumers, whether it is strength of teeth, fresh breath, sensitivity, pain, gums, it really doesn't matter what the segment is. We play across all toothpaste segments, and you can link that back

to the oral care expertise that we've already looked at. And every other player in this category actually plays in one, maybe two segments.

When we then double click that into, do we play across price bands? The answer is also, yes, and we're the only Company that actually plays with our portfolio starting from a Rs.10 CST all the way up to our most premium brands, the most therapeutic brands that are available through the professional oral care channel, we play across all price points. So, this combination of starting size, a portfolio that plays across all categories and across all price points sets us up beautifully to make sure that we are driving this category forward.

So, that brings me really to our strategy and I've spent a lot of time talking about oral care and this is a strategy that I hope is very familiar, because we've now been talking about it for quite a few quarters, but I'll go through it once again

anyway. Our first critical job is to lead

toothpaste category growth. This is both our privilege and our responsibility with all of the data that we've discussed so far, to make sure that this category is growing faster and therefore 1A of our strategy is to grow toothpaste category volume.

The second within that 1B is really for us to grow to our core, within that which is the three brands of Colgate Strong Teeth, MaxFresh and Active Salt.

Our second job is to premiumize through science-based superior innovation, all the words being really important, and we'll talk about it how this comes to life through total through visible white and through thinking on therapeutics that we are now deploying.

Our third leg is to drive growth in toothbrushes and in devices. Like I said, we're about 1.5X the second player in the toothbrush category, getting ever stronger as we deploy some very exciting plans.

And the last leg, which allows us to say that, yes, we are an oral care Company and yes, we are the oral care expert, but there is opportunity for us in diversification and to leverage the great equities that we have outside of India, and of course the Palmolive equity in India.

And for a change today, I'm actually going to start by talking about personal care before I come back into the world of oral care, because we're quite excited about the work that's happening on Palmolive. A quick background on Palmolive. Before I go there, Palmolive's equity built over 73-years in India, 60% of our target audience is aware of the brand. This is something that with the plethora of new-age brands that are coming into categories, this is the kind of awareness that would be very, very coveted, and we are very lucky to have a brand that has such latent equity. Our strategy on Palmolive is to play in cleansing, body wash and hand wash and that's really the focus of where we play. The body wash category, sub-3% penetration all India but growing rapidly as consumers look to get better and better and more premium experiences. The category grows at a CAGR of anywhere between 30% to 40%, depending on when you look at it and presents a huge opportunity for us given that we start from a relatively small position. This is a category where growth is there for the taking.

And what we have in our arsenal is really a global portfolio and technology to support superior products delivered to consumers, delivering superior experiences.

Starting with what we've done just a few weeks ago, which is the launch of three new variants on Palmolive, we exceedingly well researched variants, which deliver a supreme sensorial experience communicated or backed now with brand new communication, which we'll just talk about in one moment.

(Video -15:15 -15:46)

So, the reason to be for Palmolive is really to encourage our consumers that in the stress and the hurry and the number of to-do-lists that we have and fighting of traffic and stress and pollutants to just maybe take a moment in that shower or bathing moment to slow down and to enjoy the sensorial experience that is Palmolive.

Within, this is what we have in play currently. Like I've mentioned before, we have the opportunity of a global portfolio to choose from and as we go forward in subsequent quarters, we will see new things coming in from our global portfolio and we always remain in conversation on relevant inorganic growth opportunities.

So, with that, I want to pivot back to the oral care category and talk about leading toothpaste category growth and really the focus is going to be on first on the first part of driving category growth, where our efforts have been in the area of moving that 20% number of urban brush twice a day to being higher than that and we'll show the communication and then talk about it.

Video -(16:55 -17:24)

Launched during Diwali last year, I hope most of you, if not all of you, have had a chance to see this campaign, very, very

simple insight, which is that as Indians, we love our sweets. A lot

of sweets get eaten after dinner. Then you go to sleep having eaten sweets without brushing your teeth, which is a surefire recipe for oral health issues and therefore, the exhortation to brush at night.

Of course, just moving consumer behavior, as we've discussed, is not easy, it takes time, and

it's also not about us just putting one piece of advertising on air and assuming that it's a magic bullet. So, it is about creating awareness as we have done here, ensuring that we're contextual in the moment of purchase. So, the things that you see on the left were all the activations that were done around Diwali in and around the suite locations and continue to be done now, and then to make sure that we continue to remind topically and there's an example here from the ad.

(Video -18:22 -18:54)

So, a contextual ad for every single match with every single combination of teams that has gone out and obviously at the appropriate moment, because this does play in the second match of IPL, which is usually about the time that dessert is being thought of. And all of this above the line activity is also supported by very strong on-ground activities, which include a strong home-to-home program.

And underpinning this and I keep coming back to this because it's really critical to the Colgate Company, is our mission of making sure that we are improving the oral health of everyone in this country and the flagship program that we have under that is really our bright smiles, bright futures program, which has been running now is in its fifth decade goes to schools at grassroots level and teaches the basics of oral care, the right way of brushing, brushing twice a day, saying no to tobacco, ensuring that you replace your toothbrush and making sure that you have the right nutrition, leads to right oral health. In its 50-plus years, it has reached 176 million children and is perhaps one of the large reasons why toothpaste and toothbrush in this country have universal penetration. In the last year we have added about 5.2 million children who have been reached through this program, and through the coming year we have a commitment to reach another 10 million children. Currently, operational in eight states along with partnership from various state governments and other organizations, we are looking to expand this program to closer to 10-12 states in this financial year. A critical program which has long-standing and consistent commitment, and this is the kind of commitment that we intend to put behind brushing at night in terms of the above the line activity that you just saw.

So, I move from 1A to 1B and talk from our flagship program to our flagship brand, which is Colgate Strong Teeth. We relaunched Colgate Strong Teeth with the superior formulation last year. This is the only market standard toothpaste which has the benefit of Arginine technology. And just for me to repeat myself, Arginine technology works towards working with the bacteria in your mouth to ensure that you can get stronger teeth. So, a technology that actually has been patented by Colgate and has been used and clinically proven to deliver stronger teeth. We've now taken that superior product and put it in the packaging that highlights the existence of Arginine and the role of Arginine, and we are taking this particular communication further and deeper into the rest of India.

Our second brand, MaxFresh, has also been the most successful brand in our portfolio over the last couple of years, again underpinned by proprietary Ultrafreeze technology, which is a flavor delivery system that delivers freshness like no other toothpaste does, again has been revamped with new packaging graphics as well as more premium packaging, which includes a standup pack.

Strong commercial support behind the key SKU of Rs.20 and continuous activation, this is focused on young adults' too

thpaste and therefore needs continuous engagement and excitement to keep it relevant and active, one example of which follows here.

(Video -22:27 -24:00)

Always brings back happy memories and I moved from Colgate MaxFresh to Colgate Active Salt, which is really the third part of our core portfolio. Once again, I'm going to sound a little bit like a stuck record, but this is really about the underpinning that we have that superior technology, and superior products are the way to go in this category. So, we have relaunched Colgate Active Salt with a superior technology that actually is better at fighting painful dental problems or fighting the dental niggles that various consumers have. Once again back to buy a new communication that has tested in the top 15% of advertising and once again supported by a very strong commercial investment.

(Video -24:44 -25:16)

Salt has great belief amongst consumers in terms of the efficacy of it to solve many, many oral care problems and this is salt technology that has been incorporated into our new formulation. And all of these efforts that have been going on with these brands for a while now have led once again to consideration for every one of our sub-brands going up. You saw the numbers for the overall Colgate brand. This is now broken up by sub-brands and consideration for every one of our key sub-brands continues to rise and obviously there is opportunity for us to do even more.

I move from this to the second pillar, which is really science-led premiumization and I want to start with Colgate, globally, #1 brand, which is Colgate Total. If you talk to any Colgate employee around the world and you ask them, "Which toothpaste is, do they think is the best?" The answer will most likely be Colgate Total. This is an equity that has a lot of room in India.

It used to be a larger brand and has opportunity now to restore some of that size or at least all of that size. In this brand, what we have done so far is to make sure that we are building accessibility and driving trials. We're sampling over 9 million units a year. We have launched an access pack which is 80 grams at Rs.80, which is at roughly about 45% to 50% premium to the market standard toothpaste pricing, which is really the sweet spot where we imagine that premiumization will take off, and early results on this brand have been great. So, in the channels of the future between MT and eCom, we are seeing market shares grow quite handsomely and the portfolio from an internal growth perspective grows at three times the rate of the rest of our portfolio. So, lots of things for us to be happy about as far as Colgate Total is concerned.

The second leg of our premiumization has been whitening. This is a segment that we have created and we almost entirely own, being by far the largest player in this segment. Our lead product here is a Whitening toothpaste, Colgate Visible White, a brand new media strategy on Visible White has just been rolled out, focusing really on ensuring that we use our very strong first party data, reach of influencers, high beauty affinity consumers because this is actually a product that sits in the space between oral care and beauty, because it is oral beauty. It is one of the first whitening products in the country and again doing exceedingly well. This month or well towards the back end of this month early in June, we will also launch a first to the world Whitening Booster in the Colgate franchise. This is akin to a gel that you put on your teeth, leave for a few moments, and then wash off for whiter teeth. It is in addition to adjunct to toothpaste, not a substitute to toothpaste, and therefore allows us to play in an opportunity which is beyond just the paste category and making sure that we continue to expand the portfolio of products that are available under Visible White. So, Visible White will have a premium toothpaste. It already has a device that is availa

ble in professional oral care channels.

It now will have a whitening booster gel and has a toothbrush. So, a full portfolio of products to ensure that for those who are desiring whiter teeth, there is something on offer for everyone. And I switch from oral beauty, maybe to the other end of the spectrum, which is really the Oral Therapeutic business that which your dentist recommends. 9% of Indians go to a dentist every year. The 9% number itself is quite small, but when you multiply that into the population, obviously, it's a very, very large number of people who go to dentists. Driving the professional oral care channel has actually been a strategic business pillar for us. We're extremely fortunate that in our 87-year history in this country, we've had the most tremendous relationships with the professional channel and continue to build on those relationships. We have about two and a half million plus annual touch points of contacts with dentists. We have the First Ever E - Platform of direct -to dentist which is the dentist first and have 100 plus tie -ups with dental colleges which is far in excess of any other competitor, and this continues to be an area of focus and continues to be an opportunity for us. It grows very rapidly, but the headroom on this is way more than the size that we are currently.

I move then to the Toothbrush Category. Big actions in the toothbrush category. Toothbrushes are a slightly different category from toothpaste in that it doesn't get a lot of advertising. There are some, but it doesn't get a lot of advertising. So, the heavy lifting on this category is done by having superior products with superior packaging that calls out on shelves. And whether that shelf is a modern trade shelf or a general trade shelf, therefore ensuring that we have taken one of our largest franchises, which is Zig Zag, relaunching it to go back to its core equity of Zig Zag Bristles for interdental cleaning, has led to some very stellar results. And of course, we have an opportunity to continue to upgrade our portfolio and it is our intention to make sure that we are borrowing the regimen story of a whitening toothpaste and a whitening toothbrush, a total toothpaste, and a total toothbrush, a PerioGard Toothpaste, and a PerioGard Toothbrush and so on and so forth. So, that the regimen idea of how you use a toothpaste, and a toothbrush continues to get built.

We're exceedingly happy with the results that we are seeing on toothbrush, and I want to talk about just one geography where we were losing to our competitors over the last little while over the last 2 -3-year period and with these actions that we have taken in a very, very large geography, restored market leadership, which I think is fantastic and we will only go from strength -to-strength from here.

I move now, having already covered personal care earlier, to just a few of the enablers that we've inputted. The first one, of course, starting with Shopper. One of the things about the oral care category is making it clearer to consumers, the ladder between good, better, and best. And I think there's opportunity for us to keep driving that ladder and to that end planogramming in modern trade and ensuring that there are some visible aids to help understand what is good, better, and best is something that we have now deployed in a few stores. We're doing a pilot with Reliance. Early results have been nothing short of spectacular. We're seeing a significant increase in premiumization and a significant average selling price growth on toothpaste, and this is something that we are committed to. We will learn from this test pilot, make sure that we continue to evolve those learnings into better and better planograms. And this is one more

area where we see this as being both a privilege and responsibility because it is up to us to move how oral care looks on the shelf and how oral care is shopped in. Now we're taking some very concrete steps to make that happen.

And that was in the brick-and-mortar universe in the e-universe or the e-com universe. E-com continues to be a channel that is margin accretive, growth accretive, premiumization accretive for us. A critical channel in which we are very happy with our progress. And the work that's being done in terms of the content creation as well as the product portfolio that we sell on e-com is getting better and better and there are lots of plans for us to continue to make this even more premium and even better as we pull apart the consumers who shop on e-commerce versus those who shop in brick-and-mortar.

Of course, nothing is possible without making sure that we have organization and people's priorities absolutely in the right place. They are the engines that drive this wonderful organization. We are doing a lot of effort both with our own people in terms of making sure that we have the structures and the capabilities to win and take this entire business forward, also, bringing in talent from the external market in select positions so that we get the learnings from the outside world to marry with our very strong understanding within the Company. Lots of effort is also being made, which is a core part of the DNA of this organization to make people feel cared for and include it. These are two critical caring and inclusion being two of the key values of the Colgate system and something that we hold very, very dear.

And of course, it's the end of the year. And so, as a responsible corporate, we do release an ESG report. Our ESG report will go out with our annual report in about a month. But lots of significant progress made on the key measures of waste on recyclability, water usage as well as BSBF.

And I want to talk here particularly about recyclability. We are already mostly in recyclable packaging. We have the tech for recyclable toothpaste tubes, which we are deploying, and we are in the process of looking at circularity for those toothpaste tubes to ensure that recyclable is also recycled. And as we exit this year, we hope to have some very interesting news to share in this space.

With that, I'm going to hand it over to Jacob to talk a little bit about the financial performance.

M.S. Jacob: Thank you, Prabha, and good morning, everybody. So, financial strategy stays consistent, driving sales volumes and if you go clockwise on that driving margin expansion, which allows us to invest behind superior products and increase in advertising, optimizing overheads, investing in brands as the advertising piece and then therefore further leading to increase in sales volume and therefore delivering operating profit increase.

We are very pleased with the results for the quarter. You saw the numbers earlier, 1,481 crores for the quarter, 10.7% domestic growth, margins continue to be very healthy ~250 bps expansion during the quarter to 35.9% and profitability up 20% for the quarter.

If you look at it a little bit longer-term, you can clearly see the momentum, 9.5% for the full year '24 with toothpaste double-digit in that 9.5%, and you can see quarter-on-quarter, we are accelerating the growth. The gross margin and EBITDA trends continue to be quite increasing. This is one question we've always been asked is the Company so obsessed with driving margins? So, there are different ways to look at it. One way is of course there is a pricing piece of it, which we normally calibrate with the inflation and the increase in input cost. But we also have what we call a very robust funding the growth program, where everybody in the Company has got targets to deliver cost savings. And examples are savings from global synergies, packaging savings, optimizing plant allocations between our four plants, automation at the plants, favorable product mix, import substitution. These are some examples of how we drive margin. This is unrelated to the pricing piece and is a big

pillar on which our margin expansion rests.

But we also use some of it to invest back in the products through product superiority. Prabha talked about that. We virtually relaunched and upgraded almost 100% of our portfolio. The packaging innovations you will continue to see. On tubes next year we will be on 100% recyclable tubes, and we are transitioning as we speak and further investing to enhance the brand experience. So, the 400-bps increase that you saw during the year is a combination of this, plus, of course, our pricing.

In terms of investing behind the brands, advertising continues to be a key pillar. We've increased the advertising 20% year-on-year, 125 bps to 13.5% levels, that's 760 crores in advertising that we spent during the year. And importantly, the split of advertising, while we continue to support our brands, but we've also spent a sizable proportion of this on the brushing at night campaign that you saw earlier in the presentation. And of course, funding the strategy, strengthening core, driving premiumization, building personal care, these are the traditional areas where we continue to support.

Cash generation continues to be a very good story. So, 1,263 crores, going up to 1,567 adjusted

for the bank balances, and our return on capital employed is almost at the three -digit numbers. Value creation over time. Dividend, we saw yesterday, we announced the additional dividend of 10, what we call special dividend on top of the Rs.26, second interim dividend, that takes it to Rs.58 for the year.

And our share price continues on an upward trajectory, and I hope some of you have personally gained from this movement. We've gone up 87% over the last one year, reflecting the strength of our performance.

With that, I hand it back to Prabha.

Prabha Narasimhan: So, in conclusion, I just want to say that we had laid out a strategy about 18, 20 months ago. We do believe that is the right strategy for this Company and we have deployed and executed that strategy quite well. We see results being delivered against that strategy and are quite happy with the progress of each of those pillars, and we can also see significant headroom of what more we can do to juice each of those pillars.

And I want to end really with a two -part thought. The first part on oral care, which is that we are the leaders of the oral care category by far. And like I've said numerous times during this presentation, that's both the privilege and the responsibility for us to take this very important category forward in this country. We believe we have tremendous headroom to accelerate growth in this category, even despite the universal penetration of the core formats of toothpaste and toothbrush.

Diversification for us is currently small and therefore represents a significant headroom opportunity for growth for the Company as we look to take on some of the other categories that we believe we have a right to win.

And we continue to be committed to the three things that really guide everything that we do, which is to drive top line growth, ahead competitive top line growth, strengthen what is already a very strong Company and a very strong brand and make sure that in this process we continue to simplify to set ourselves up for future growth. Thank you again for your attention.

Moderator: Ladies and gentlemen. We will now begin the question -and-answer session. We'll take our first question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on personal care. So, slide #19 mentions Protex and Sanex. So, is that an indication that these two brands have been kind of shortlisted and if any timeframe? And second related question on personal care is on Palmolive. So, we have seen the three new variants being launched, we have seen mass media also. So, my specific questions are there. Are you focusing essentially on modern trade and e -commerce for Palmolive b

ecause you have

mentioned that 1.2X growth in share of mind is there in modern trade. So, is modern trade and e-commerce going to be the focus in the next two years here? Second is the category seeing huge disruption. It's a very low penetration, 3% penetration, but we are also seeing one player come with powder to liquid and they have done generally quite well in powder to liquid. So, given that disruption, focusing on premium, does it make sense? And last is your domestic sales growth was around 9.5% as a Company in FY'24. Would Palmolive have grown at least 2x, 3X of that in FY'24?

Prabha Narasimhan: So, good morning, Abneesh. It's nice to hear from you again. And I'm going to take maybe the first two questions and leave the third one to Jacob. On the Palmolive brand, our focus is not only modern trade actually and I didn't touch upon this milestones algorithm that we have which tells us what kind of assortment, in what kind of stores in general trade and that is something that we will use to make sure that Palmolive is available in the right type of stores in general trade. With the 3% category penetration, we do need to be careful as to where we place the product and so our intention will be to be modern trade, e -commerce, and judicious general trade. The reason for putting the market shares in e -commerce and modern trade is obviously because they respond faster to any action and this is an action that is only about six - odd weeks old, and we're already seeing some green shoot. And we're committed to building Palmolive across all the relevant channels in the relevant stores over the next foreseeable future and we think we have tremendous opportunity over there. The second part of your question on disruption in body wash. I think the lovely thing about having a category which is sub-3% penetration is that there is enough opportunity for everybody to grow in different spaces. So, there is an opportunity of cost at the bottom of the pyramid by offering value and there is equal if not larger opportunity at the top of the pyramid, which is convincing consumers who have money dealing with Palmolive is indeed a superior experience to what they currently experience. So, I think there's enough room and enough opportunity for everybody to grow and so less worried about what other people are doing in this segment in terms of disruption. We're also very, very confident about the technology that we have on Palmolive, and therefore the ability to deliver an end experience which is truly superior. On the first question on Protex and Sanex, I should have put on the image there, "For presentation only". We have a short form in Colgate which is called FPO and that is exactly what that is. It's not an indication of us doing Protex and/or Sanex, but I can only say that watch this space and then we will have some news in terms of what we believe is the right thing for us to borrow

from our global portfolio and into India. And to the question on growth, I'm going to leave it to Jacob.

M.S. Jacob: So, on growth, personal care is growing at a faster clip than oral care, and we continue to expect the growth to further accelerate and widen the growth difference as we go into the following quarters.

Abneesh Roy: Just one small follow up on the Palmolive mass media advertising. Would you have a benchmark in terms of what kind of share of voice, etc., you would like to target because this is an under-invested brand for almost 2-3 decades. So, upfront advertising will be needed. So, in the channels where you are focusing initially, will you have a significant kind of a number in terms of share of voice?

Prabha Narasimhan: So, I think the way we measure these kind of campaigns is really what is the reach that we wish to deliver and what is the best way to deliver that reach. So, what you see as the mass media advertising is the only the tip of the iceberg in terms of what we are spending on Pal

molive. A lot of it is actually going behind influencer marketing, digital campaigns and in store, which is really the bulk of our spends on Palmolive. So, what you see on mass media and multiply it by a few, that is the expenditure on Palmolive, and like I said, we are fully and utterly committed to driving Palmolive and the joy of having a P&L shape like the kind that we do is that we have the wherewithal to be able to do this.

Moderator: We'll take our next question from Amit Sachdeva.

Amit Sachdeva: The question obviously an analyst asks is, how to look into the future? You know it has been a great year. So, with that, I just want to ask a couple of questions there. I assumed that last year was a lot of pricing and obviously initiative of premiumization, but also simultaneously developing the market. Could you help us understand nearly double-digit full year growth, what has been the volume mix and pricing element? And as we go into the next year, right, how do you see these elements shaping up?

Prabha Narasimhan: So, I think I want to maybe break up your question into two parts in terms of do we see potential for this category to grow and for us to grow within this category and what will make that happen because that's really your question saying, how are we going to sustain this kind of 9.5% growth. And I think the answer to that actually lies in the fact that if you expand the category, the greatest gains will come to the category leader and that is really why 1A of our strategy is to focus on expanding the category, and that's one of the reasons why we are very, very optimistic that we can grow this category. And as we grow this category, we will be able to grow our volumes as well and our value as well. And of course, we haven't even begun to scratch the surface in terms of what we do on premiumization. I didn't talk about it because I've said it before, but just to remind you of some of the numbers, only 12% of this category sits above the 140 index, that number for other personal care categories is already 30% -plus, and even amongst SCCA, the penetration of a premium toothpaste and I'm calling anything above 140 index a premium toothpaste is only at 28%. So, even amongst those who have money, only one in four buy a premium toothpaste. So, the opportunity to then convince them of the superior offerings that exist in our portfolio is exceedingly high. So, very optimistic about our ability to grow this category and therefore continue to grow our volumes and our value. To the second part of your question of, "Do we want to break it up?" We tend not to break up the number just in terms of what we're looking at though is a balanced growth between price and volume as we go forward. So, price, volume, and mix, these are the three things that obviously go into it, and we'd look at roughly a balanced growth between all of them. And to the underlying question of, "Do we have the ability to take more pricing?" Actually, price is always an outcome of what is the value that you're delivering or what is the benefit that the consumer sees, and therefore, what is she willing to pay? And as long as we keep enhancing the benefit that we're delivering to consumers, I think this brand has potential to take pricing. I think actually all of the vectors, our ability to take pricing, ability to expand the market and ability to drive premiumization, I'm quite confident about all three of them.

Amit Sachdeva: Obviously without any guidance I can sort of see that where you are alluding to will make our own sense of it. Just to follow up a bit, you mentioned that there's a large space in premium, but then if you map the price curve of mostly consumer categories, there's a prestige price point and premium. Oral care has not yet the prestige part of it. I'm sure there's a consumer ready for the best-in-class and nothing can be better in the world kind of pricing as well, but no brand has a

at least in oral care, has attempted that the prestige part of oral care. Do you think about developing that market as well or it's too early for India to sort of get into that zone? So, I was just very curious.

Prabha Narasimhan: Amit, I must tell you that there is nothing about oral care that we don't think about. And so, I think from a perspective of, is there opportunity and if we were to put some numbers to where prestige which fit. So, in skin care obviously the numbers are extremely high, but if we were to say 400, 500 index even that would be considered as prestige in the toothpaste category. Yes,

there is most certainly an opportunity in this country, and there is an opportunity that exists already, and I think that we are in a position to start looking at these kind of opportunities, but the large bulk of premiumization will continue to come from 50% to 100% premium kind of range rather than us stretching it all the way out to 400, 500 because that then becomes a very small audience. So, opportunity exists. I think the larger opportunity exists at the more traditional definition of premiumization.

Moderator: We'll take our next question from Jay Doshi from Kotak Securities. Please go ahead.

Jay Doshi: I have a request and a one question. The request is I heard your response earlier, but if you could introduce either volume growth or UVG in your quarterly disclosures, and the reason for this request is first of all, all other FMCG share that metric, even Colgate Global does share that metric. So, I feel that is an important metric for investors and analysts to evaluate the progress in terms of volume growth and the results of the efforts that you are making this year. So, that's a request. And secondly, even if you don't disclose, the problem is that there is a lot of noise in the media and wrong numbers get circulated within the community. So, it creates more confusion. So, that's my request. Now my question is on Colgate Total. I think you mentioned that the brand was much larger earlier and you're hoping that it restores back to the earlier level. So, could you elaborate a little bit on it in terms of what was the size of the brand or what was its salience in overall Colgate sales earlier, what is it right now and some additional color if you can provide?

Prabha Narasimhan: Thanks, Jay. Firstly, on your request, let me just take it back and we'll come back to you, but at the moment, we tend not to provide that and so I'm going to move on from there so as to not repeat myself. On Colgate Total, this brand has existed in the country for quite a while and about a decade ago it actually used to be a double -digit share player in modern trade, albeit in a smaller modern trade category and therefore had significant salience to premium consumers. And it will be our effort to take it back into that kind of space where at least in the channels of the future and in select general trade stores, it continues to start edging towards that kind of level. So, that would really be where our planning and our thinking is. And why we believe we can do that is for me to just... since you've given me the opportunity to talk about Total to just spend a little bit of time on the technology on Total, which is this combination of Dual Zinc Plus Arginine which actually delivers best -in-class 12 -hour antibacterial protection and all of us know that actually bacteria is at the root of all oral health issues. And this particular product of ours has backed by 125 patents, which is more than I think any toothpaste in the world that any Company offers and therefore very confident about the technology that this toothpaste offers, the benefit that it offers to consumers, and why it is the flagship of our premiumization strategy.

Jay Doshi: Where is Total today in terms of salience at the end of FY'24?

M.S. Jacob: As Prabha mentioned we were double -digit in modern trade when we were big on Total

a few

years back. But since then, modern trade is low single digit. But eCom has been a big story and eCom is the fastest moving in terms of premiumization for us and their Total is a sizeable player already.

Moderator: We'll read a text question from Percy Panthaki from IIFL. Can you please break up your sales growth for Q4 into volume, mix and price same for FY'24 full year? Also, given that pricing will anniversary soon, how should we look at your sales growth over the next few quarters?

M.S. Jacob: Prabha mentioned on the volume piece, we are not splitting volume and pricing and so we won't comment on that as of now. Going forward, you're right, as inflation moderates, pricing will be an important discussion, but we do expect the category growth, consumption growth activities that we have initiated along with positive macros in rural that we're seeing, rural grew faster than urban and we continue to see green shoots there. So, combination of that along with premiumization would be key for us to continue to deliver the current level of growth.

Moderator: We'll take a video question from Mihir Shah.

Mihir Shah: Prabha, my first question is on margins actually. Apart from pricing and better mix, you mentioned there is a continuous cost -saving initiative that is improving the margins both on gross and on EBITDA level. How much more juice do you think we have that we can take out from the cost side which can keep taking these margin profiles higher? I'm sure we are quite an efficient Company and I'm sure there is a lot of zero -base budgeting that you guys will do. But for us to understand where the gross margins can really stack at somewhere from 69%, 70% levels maybe in the next few years' time, where can it really settle down only from the costing side? I understand the premiumization side, but from that side maybe you can help us understand.

Prabha Narasimhan: So, I think firstly, I don't think it is our effort to massively expand margins as we go forward.

Like I said, our focus is really on looking at our cost lines with a view to saying what is non -value adding cost and can we suck that non -value adding cost out of the system. And yes, we are an exceedingly efficient Company. But there is always room for more efficiency. Things evolve, technologies evolve, markets evolve, thinking evolve, lots of India's capability evolves,

many, many things move, which allow us every year to have new opportunities to suck out non-value adding cost. So, I think this ability to generate around 4 -5% of net sales as gross saving is something that I think we can continue into the foreseeable future given that things will keep moving. The question of how much of that becomes a margin expansion and how much of that we use to funnel back into driving better quality products, better packaging, I think that's really the key question for us and our effort will be to make sure that we are judiciously using the sources of funds into uses that allow us to drive our top line up. So, if you are looking for a perspective on our margins going to continue to expand at the rate that they have between last year and this year, the answer is most definitely not. I think that is more a one-off expansion that you're seeing. Our effort will be to be in and around the ballpark of where we are currently.

Mihir Shah: Second question, Prabha. I just want a clarification. You mentioned that 9.5% growth rate is a sustainable growth rate that we should assume on overall basis. Is that a correct understanding?

Prabha Narasimhan: I don't recall mentioning that. I do recall mentioning that I think there is tremendous growth opportunity in this category and that will be our focus, but I am certainly not giving a guidance on the numbers.

Mihir Shah: I understand you're not breaking the price and the volume, but maybe you can give some sense on the mix that we are seeing, is there a mix improvement... I'm sure

there is a mix

improvement that is a part of this. Would it be in low single digit, can that inch up to higher single digits later on, or do you think this mix improvement of low single digits of couple of percentage points will continue here, just a clarification on that also please?

Prabha Narasimhan: So, I think the way we look at it is to have a growth rate target for our premium portfolio relative to our core portfolio and at this moment, our target would be to be at least 2.5X, 3X faster with our premium portfolio than our base portfolio and at this time we're exceeding that target. And really given the plans that we have line of sight for the rest of this year, we can see that continuing to be the case. So, whether it is Colgate Total or it is Visible White with its innovations and the work that has been done on communications or it is the push into therapeutics that is gaining momentum, we do see an opportunity for this 3X growth rate at least of the rest of the portfolio to continue and that will keep adding to mix and that's really what we're focused on rather than a measure of what percentage of the mix is it.

Moderator: We'll take a last question from the line of Vishal Punmiya from YES SECURITIES. Please go ahead.

Vishal Punmiya: My only question is on rural markets. The first time that we had highlighted green shoots, so was in August last year. Now, this quarter, almost every Company is kind of calling out the improvement in rural markets. The question is, is it just because of base effect or is there any major improvement that you are seeing in consumption for your category? And with this improvement, with rural picking up, do we expect the premiumization -led growth to be slightly slower in FY'25 versus FY'24 while volume growth improves for you?

Prabha Narasimhan: So, thank you. That's a great question, Vishal, for us to end this session with. So, what we are seeing in this quarter is rural is outpacing urban growth by close to 200 basis points, which is great news for us, because there is so much opportunity to grow this category. The reasons behind that and we are I guess in the same boat as everybody else as we give this reason saying that there are macroeconomic indicators that rural is coming back, lots of categories are coming back as are we. From a more internal perspective of what we have done, we have doubled down on our execution and communication in rural. So, we have gone deeper and wider with the communication that we have and obviously this supported by the increase in product quality and packaging quality of our flagship brand, which is the largest brand in rural which is Colgate Strong Teeth really does help our rural growth. So, that's kind of what is happening as far as the rural market is concerned and obviously all of the indicators, the macro indicators that we are hearing in terms of what the monsoon will be like, a general feeling of optimism in the rural markets suggests to us that this is something that is sustainable along with the stabilization of inflation that this is a sustainable growth at least for the foreseeable future. On your second piece on, "Will the rural growth preclude the premiumization growth?" I don't think so, because these are actually quite independent, and therefore in the way that we look at it, it is more an "and thought" than an "or thought" that where we had already a premiumization engine as we discussed that was working and driving towards greater growth being driven largely by better off consumers in urban India. The rural growth will now become an "and" on top of it. So, we will see a combination of A+B which should certainly help growth going forward.

Moderator: I now have the conference back to Ms. Sujata Nairi for closing comments. Over to you.

Sujata Nairi: Thank you, Yashashri. Thank you, Prabha and Jacob for your thoughts and insights and thank you everyone for joining us. We are very excited

for the year coming by and looking forward

to hosting all of you again. Thank you once again on behalf of the entire Colgate team and let's

close the analyst call now.

Moderator: We now conclude today's Colgate -Palmolive Analyst Conference Meet and we thank you all for your participation.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking

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Ms. Sujata Nairi: Hello, everyone. Good morning, and welcome to the Colgate-Palmolive Investor Meet for 2024. I, Sujata Nairi along with the entire Colgate leadership team, would like to extend a very warm welcome to all of you present here physically and those who have joined us virtually. This session today will be approximately 90 minutes with the presentation from Prabha and Jacob, which will be approximately 45 minutes and post that we will have a Q&A session for almost 45 minutes. For people in the room, obviously they can raise their hands and people who are joining us virtually request you to kindly put your questions in the chat box, and we will try to address as much as we can during the meeting.

Please note that today's presentation may contain some forward-looking statements. These statements are made on the basis of our company's views and assumptions at this point in time, and do not guarantee any future performance.

I would now like to invite Prabha on the stage to share her views.

Ms. Prabha Narasimhan: Good morning everyone. It's a pleasure to have all of you here in our wonderful office and to all those who have joined online, thank you for taking the time to come to this analyst's meeting. Sujata has already covered the safe harbour statement, so I'm not going to spend any time on it. I'm sure you guys see it more often than I do. What we are going to cover today is really three big things: (1) a performance update of how the company is doing (2) what's our strategy and how do we intend to take that strategy forward, and (3) what is our financial performance, which Jacob will continue.

As my team and I talked about this analyst meet and what should be our theme, we had many what we thought were exceptionally clever ideas of what should be the theme for this meet. And then we said, let's just go back to what this organization really fundamentally stands for. And this is the thing that we want to communicate in substance, today. What we want to deliver is a consistent performance that works with what are the market conditions. We want to be competitive. We want to grow ahead of the market consistently.

These two things that we have an exceptionally strong foundation driven by the Colgate brand, driven by the people capabilities that we have, driven by the science and the agenda that we have on superiority and we will talk about that as well. And of course, none of this would matter if we didn't have the fundamental, excellent execution capabilities which this company has always been known for and continue to be known for and we've talked about how tech and the advancement that we've made have actually made this entire execution even more robust.

So starting with the performance, I think it would be fair to say that we've had a decent year so far. This is now our seventh quarter of above 5% growth. The last three quarters have been at double-digit growth. Market conditions over the last little while, as we did call out at the end of last quarter, have been difficult and in the face of that, I think I'm quite pleased with this performance and the step up that you are seeing growth in our near-term. The blue bar that you see as X is the top 12 FMCG companies in India, their growth rate. In the

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2024 financial year 23-24, we are at 1.6 times the average FMCG growth of the 12 combined. And this is stepped up further to being 2.4 times in the first half of this financial year. And again, this is something that makes us quite happy because not only are we growing faster than the overall FMCG market, we are also growing faster than the listed FMCG players in the category in which we operate. And it goes back, and I want to keep going back to the fact that what we intend to do is to deliver consistent, competitive performance.

Gross margin has always been an area of strength for us, continuing to be very, very strong, in the range of the 68% to 70%. You will see that we had a significant step up in gross margin last year, and a significant step up in EBITDA margins. We do think that that is perhaps the absolute outside of the range of the EBITDA margin that we would operate at and probably likely to moderate to the level that we see and bear in mind in that space. I know EBITDA and gross margin are often a topic of the questions that we get at the end of this session and therefore, good for us to just contextualize what we are thinking. We're an exceptionally strong company with an exceptionally strong P&L. And this is really the area in which we intend to continue to operate.

So what underpins this robust performance that we are feeling quite happy about? Firstly, it's our brand. The Colgate brand, as you would know, is the largest brand in oral care. It exists in nine out of ten consumer homes in the country. It is the single largest, I think, most advertised brand, if not the single largest, right up there. And what we have managed to do over the last little while is to take a strong brand and make it even

enstronger. So the number that you see there are top of mind number

s. And for those of you not fully familiar with the way this is measured, if I was to go to a consumer and ask you when I say toothpaste, what is the first brand that comes to your mind? That brand is top of mind and as a result, the sum total is 100. So out of 100 consumer snow in Q3, 70 consumer will say Colgate as the top of mind brand for them. In oral care, if you see the brand of first choice, that number is now moving up from the 56 that we were at in 2022, to 63.

The other measure that are really critical to us is oral care expertise, and expertise is something that is closely linked to what happens to your market share and what happens to purchase. And as an important measure for us, and we are feeling particularly happy with the progress that we've made on an exceptionally strong base, going from 73 to 82.

The number that you see, sorry the letter that you see next to the number really indicates the significance over the previous period. So 75 is significantly superior to 73, and 80 is significantly superior to both 73 as well as 75. The other measure that we have of the strength of our brand is what we call the North Star. It measures three parameters of visibility, distinctiveness, and emotional bond, number in brackets indicate where we were in the previous period and where we are now in Jan to September, and again on a very high basis, all these numbers move forward. So, are reasonably happy position to be in.

It then comes to the last part of what we wanted to talk about, which is really consistent performance. Then we come to why that consistent performance gets delivered, which is the idea of robust, everyday execution. Our first pillar is superiority. And I'm not going to labour the point just there, because I am going to labour the point shortly in the deck. But superiority is really something that underpins everything that we do.

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Thesecond is for us to elevate the shopper experience, and we'll talk about why that's important in the context of expanding the category and growing it, and premiumizing it. And of course, digitization, which we spent a lot of effort, and energy on through this year.

So that really brings me to our strategy. But before I go to the strategy, just an indication of what is happening to the market. As you talk, as you saw companies talk about the Q2 performance of the financial year, you would have seen that a lot of them talked about a general market slowdown, particularly in urban India. You can see that in toothpaste as well. The blue line is the urban volume growth of the market, which was rising till about the first quarter of this year. This is rolled data and started to slow down as we get into the first calendar quarter of this year, and have started to slow down as we get into the backend, into Q2 of the financial year. Whereas when we look at rural that continues to sustain, but also plateauing not continuing to rise, and therefore the sum total you will see is not growing as fast as it was earlier. Different story in toothbrushes where both urban and rural continue to grow. And after a long time, actually, we are now seeing rural markets starting to slow you pace urban markets, even as far as toothbrush volume growth is concerned.

That brings me to the strategy for any of you. And most of you have heard me say this before, boring consistency. But that is really what execution of strategy is all about. It stays consistent. It doesn't move when we execute this strategy every single day. Our strategy has four pillars. Our first pillar is really first and foremost we must grow the oral care category. So driving oral care category growth is our first 1A of four strategy. 1B is for us to be competitive with our three core brands, which are Colgate Strong Teeth, Colgate Max Fresh and Colgate Active Salt. That's the first pillar. The second one is for us to premiumize through superior science and technology, and we will talk about the actions that have happened there, lots of energy and excitement in that space. The third one is for us to lead growth in toothbrushes and devices. And the last one is for us to diversify or build our personal care business. And we will also today spend a little bit of time on what enables these four pillars, which is really superiority, financial efficiency, how we are driving this company to be at the cutting edge of digital, making sure that we are leveraging the fantastic capability that is this organization and its people. And of course, our continued commitment to ESG.

So going into each of the pillars, one by one and starting with leading toothpaste category growth.

Again, data that is familiar but worth reiterating. Toothpaste category growth.

Penetration in this country is now near universal. I could say actually absolutely universal. However, toothpaste consumption remains exceptionally low even when we compare it to countries that are comparable to India. So India, at 220 g per year, is among the lowest, in a similar peer set, Malaysia at 380 Thailand at 440.

And why is this? It's because only 20% of urban Indians brush twice a day, and only one out of two rural consumer

brush every day. And therefore moving these two numbers,

which is urban brushing twice a day and rural daily brushing is the key to our moving consumption

of this category and making the size of pie larger. Toothbrush consumption follows a similar pattern. We have 2 handles per capita per year in Thailand versus India at 1.2. And we'll also talk about the fact that most of these handles are

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actually very cheap handles, in India. Again, so there is an opportunity to both upsize, I mean, up-price as well as drive the replacement of toothbrush handles.

And that brings me to what a lot of this does to the general oral health in this country? Is that nine out of ten Indians, unfortunately, have an oral health issue, and later on in life only one out of ten Indians go to a dentist. And, half of those visits to a dentist lead to an extraction of a tooth. Which is a real pity, because it means that they've gone to the dentist so late that there was nothing that could be done to save the tooth. And I think our effort as a company really needs to be to reposition the dentist as an aid to preventive health, rather than the person whose solves your problem, unfortunately quite often by extracting your tooth. And that is at the core of our mission to help every single Indian improve their oral health and beauty, ideally every single day. And which brings me to what is perhaps our biggest initiative of this year, and which will be our biggest ongoing initiative, which is the Oral Health Movement. For those of you who have followed this company for a while and longer than I've been a part of this company, you will know that Colgate used to do what was called an Oral Health month. Prior to Covid, it used to be that you

we would give a missed call to a number, they would connect you to a dentist, and you would then go visit that dentist for a free checkup, where we evolved that model and we will talk about it and how we've evolved it. So what we want to do is to make dentists screening universal through an AI dental model. And we'll talk about it in a minute. And this goes to the point that I was talking about moving the dentist to be an aid to preventive health, rather than the problem solver who extracts your teeth.

The second, of course, is the Bright Smiles, Bright Future program, which is our flagship CSR and mission program that has been running now for five decades. And the third is the communication that we do on driving brushing twice a day.

So oral health in India is unfortunately not spoken of a lot. I think 2% of India's GDP gets invested in health. And if I'm not mistaken, 0.4% of that gets invested in oral health. So there's not a lot of conversation around oral health, but there is a problem in oral health, 55% of people have some form of gum disease. Only 13% actually realize that they do. Cavities, 80% of people have some kind of cavity, 10% realize it. 100% should go to the dentist twice a year. Only 9% actually go. And like I mentioned earlier, most of the time they go when the problem is so severe that the only solution is to extract the tooth.

And why is this important? This is a lot of literature coming out of the Colgate world, but you will see a lot of literature outside of the Colgate world as well, which talks about how your mouth is actually the gateway to your total health. So whether it be blood pressure, cardiovascular disease, diabetes, a lot of these have a direct link with your oral health. And oral health is actually a relatively easy way for us to make positive changes. And that's really the effort that we want to push, with consumers.

And so what makes this effort at the oral health movement different from what we've done in the past? We have in India, roughly one dentist per about 10,000, maybe 12,000 people. So reaching everybody to a dentist all the time is not easy.

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2024 However, 700 or 800 million Indians have a smartphone. So how can we marry technology, the phone and WhatsApp to give you an AI-powered dental screening in your hand. Let's see how we can do that. - Colgate eOral Health Movement AI Video And it really is that simple. To get an assessment of your oral health, scan the code, get the report, and then put in your pin code and we can direct you to the nearest dentist for your free dental screening. And here's the communication that supports it on television. - Colgate eOral Health Movement Films

So, what are we going to do with this? We're going to take this to market as a scale never seen before. 800 million packs will have the QR code, across both toothpaste and toothbrush. We will have a campaign reach of 550 million across many touchpoints. It was launched about a week ago and I hope most of you, if not all of you, have seen it already. And this covers television, outdoor, print. You name the medium, we will be on it. And 500 on-ground locations so that we are able to actually aid in this screening and teach people how to take these three photos and get them the dental report, which then hopefully they can pass on to other people. And these locations will be in our modern trade stores, in colleges, in corporate offices, and wherever else we think we can find a crowd to help us to be able to do this. There's one set up, just outside, if you would like to try it after this event. We launched this campaign two weeks ago, and this is really a pin code wise map, every dot represents a pin code from which we have received, somebody who has taken the test, sent us the photos, put in their pin code with a view to going to the dentist. This is really the map. And, and I think we are feeling really optimistic that this is so pan-India, it's not concentrated in any geography. And the early results, as I said the campaign is ten days old, have really been exceptionally positive and we are feeling quite happy about it. Eventually that's the outcome that you will get a free AI dental score, which will tell you your propensity for cavities, your current level of staining, and the potential for gum issues, along with recommendations of what you can do to make sure that this can get better. And of course, linking you to your nearest dentist.

So that's really the AI-powered dental score. But our oral health movement goes beyond just the AI-powered dental score. Our Bright Smiles, Bright Future program, like I mentioned in its fifth decade, scaling up to being an even bigger force than it was. We now have partnerships with three state governments, which represent 24% of India's population, which is UP, Goa and AP. We have an agreement for access to their schools, as well as the, putting dental health into the curriculum and teaching how dental health is really important. The scale of touching consumers with this program is moving from 5 million to 10 million this year, from 10,000 schools to 23,000 schools and the expansion to over 200 cities. And this is a program that we've been committed to for five decades. I fully trust that we will be committed to it for the next five decades. And we look for more and more partnerships as we go forward.

And then the last leg of this, which is really behaviour change through communication and nudging consumers to brush twice a day. There are ten pole moments. Our link or our insight in this is that a lot of Indians go to bed at night having eaten sweets. And if you could forgive me, newly found evangelizing on this terrible thing to do, because saliva activity in your mouth drops at night. If you have just eaten sweets before you sleep, that is perhaps the worst thing that you can do for your oral health. So in ten pole moments of sweets

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2024 eating, which is largely cantered around festivals and moments where you're rewatching things like IPL, this is where we intend to be much more active on, the brushing twice a day.

I move then from what was 1A of our pillar, which is driving category consumption to 1B, which is accelerating our core by your superiority, starting with our flagship brand, which is Colgate Strong Teeth. We have a new piece of communication, which I will show you. The insight here is that at any given moment in time, 46% of Indians are eating something. It doesn't matter what time of the day it is, one out of two people are eating something and I can see many of you smile. So I hope that this kind of fits with your sense of how we behave and this incessant snacking actually erodes your enamel. So constant eating leads to constant enamel erosion, and therefore the need for strengthening your enamel becomes even more important. And that's really the insight that the daily grind talks about. And we'll see it in a minute. We have through this year enhanced the packaging of Colgate Strong Teeth. We continue to drive this deeper and deeper into rural, particularly with new, covering now about 70,000 plus villages with wall paintings which talk about the price point pack. So we're trying to push this deeper into rural

I want to remind you that Colgate is obviously the most distributed toothpaste brand. We cover 1.7 million outlets directly, 7 million outlets through direct and indirect. And reaching mental availability into deep rural becomes a real growth opportunity for us. - Colgate Strong Teeth Films

Move from Colgate Strong Teeth to our second brand, which is Colgate Max Fresh. The freshness plays in our portfolio. This has been our fastest growing brand over the last three years, and has seen significant expansion of its distribution. And we are lucky that we have both the red variant as well as a blue variant. And what we are doing is to take the blue variant because blue equals freshness, to many more geographies and expanding its availability. And the work that we've done across these core brands actually has led to significant increase in consideration across each of these three brands. And the format is exactly the same as what was presented.

That moves me then from the first pillar into the second pillar of science-led premiumization, and our flagship brand in the premium portfolio is Colgate Total. It's just gone into the market with a brand new packaging. We are among the first countries in the world to roll out this brand new packaging, which focuses on the science behind Colgate Total and the benefits that total offers, as the name suggests, of total protection. Our current growth and we are feeling quite happy about this since we've started this fairly recently, are 3 times the growth of the overall toothpaste category. We've done some tremendous work to drive both access and availability of this mix. The cheapest you could buy Colgate total till earlier this year was about

■ 170, you can now buy Colgate total for

■ 80, which we believe is the right access point. And we are expanding this brand into relevant benefits. We already have an advanced health sensitive charcoal variant, and we're now adding an anti-tartar variant, which is actually one of our biggest variants globally.

Again, new communication on this brand, the insight is that you when I was giving you the statistics about, you know, eight out of ten people have cavities and so many people have gum disease and so on and so forth. I'm sure many of us actually feel like we don't have a problem, but unconsciously you are making adjustments. So if you're on one tooth hurting your chewing from the other side of your mouth, if something is hot, you're waiting for it to cool

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2024 down before you drink it. So you're making these small adjustments because your oral health is not as good as it should be. And that's the insight of which Colgate Total operates - Colgate Total of a Video

So that's Colgate total. The second pillar of our premiumization strategy is Whitening. I have said this before, but just to repeat the data point, whitening penetration in this country is very low, single digits, actually some 2%. This segment is 25% in other markets, like the US, for example. This presents a tremendous opportunity for growth to marry oral health and beauty. We are seeing strong double-digit growth in this portfolio. What we have done throughout this year is over the time that we have activated this mix, we have found the people who have a greater affinity for oral beauty and whitening. We are able to then narrow our focus into targeting these people at a much higher frequency

. So we've gone from a 70% reach at ten frequency to a 60% reach at 16 frequency, which is a much tighter audience and the one that we want to talk to. And we've enhanced the packaging experience of the base visible white. But what makes this category particularly interesting and exciting, because it is a beauty category, is the opportunity for innovation. And in that is the launch of Colgate Purple, which is visible white purple, which has now been in the market for two months.

Tremendous early response. It's nothing like what you imagine toothpaste to look like. And the kind of feedback that we are getting is that, if I find it easy to get my child to brush, it is so much more exciting, it just wakes me up in the morning as I look at this purple stripe, as opposed to a regular toothpaste. Lots of excitement around the product, which has underpinning it real science, because the science here is the colour technology or the colour theory, which says that purple is at the opposite end of the spectrum to yellow. So when you apply purple on top of yellow, you cancel it out and you get white. And therefore when you brush your teeth with visible white purple, you get an instant feeling of whiter teeth and the technology is working in the background to make sure that you use this continuously and it will continuously whiten your teeth. We've taken this to market in a very different way. It was actually launched by Rashmi Kamanna, before we launched it as a company, in a video that has become reasonably viral, 44 million views, 250,000 likes and close to 20,000 shares. You can see the joy of using this purple toothpaste. It's already three share one.com. Like I said, it's just been a couple of months since we've been in the market, and we are now available across most of the modern trade chains as well. And feeling quite optimistic about this mix.

Move then from science-led premiumisation

into the toothbrush category. Just reminding you quickly of the 1.2 handles per year, 78% of toothbrushes in India are sold below

■ 40, which is 50 US cents. This is perhaps among the lowest, in the country. On average, an urban consumer replaces their toothbrush every 6 to 7 months. A rural consumer replaces their toothbrush every 15 months or so. And there is enough science to say that a new toothbrush cleans nearly 100% better than an old toothbrush. So every reason why a simple change can actually lead to significantly better oral health.

What we've done in this category, we are doing really well this year. This has been our best year on toothbrushes in a long time. We are growing at 1.4 times the rate of the category

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2024 growth. Our lead equity here, which is the

■ 30 Zig-Zag, has gained market share, through this year on the back of a relaunch that some of you would recall we talked about in earlier analyst meetings. I think it was September last year, and we have now taken leadership in the super premium segment, expanding our portfolio to actually be very regime focused. So for every toothpaste of ours, there is a corresponding toothbrush that works

ksbestforthatbenefit. Soourwhiteningportfoliohasawhiteningbrush. OurPerioGardportfoliohasaPerioGardbrushdesignedtodothejobforwhichthetoothpaste washired. Andtherefore, asaregimeworksinconsonance.

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2024 I don't think there is a company on this planet that invests more money behind oral care technology and understanding how to make better oral care products. We do a lot of clinical trials, so everything that we put out as a claim is backed by enough data and enough proof that it actually works. And then we marry this with our understanding of what consumer want, what consumer need, and how best we can deliver that using both the consumer insighting work at scale, as well as using data and predictive models to ensure that we can predict what will work in terms of, for product output.

And allof this leads to the fact that now we are at 100% of our products being either parity or superior, mostly superior to eyeball competition. 90% of our packaging portfolio has an upgrade. We've moved from the first cap. So the smaller cap to stand up caps, we've moved from stand up caps to flip top caps. The most premium range, have double walled acrylic caps. The tube art work has been enhanced and this is supported by very high quality advertising. We test every piece of advertising before it goes on air, and 90% of our advertising is actually in the top quartile of FMCG advertising. So if you're hearing, and I hope you are, more buzz about the Colgate brand as you go out and talk to people, it is because of the quality of the advertising and product that's going behind it.

So this is what our portfolio used to look like. This is what it looks like now. You can also start seeing the good, better, best ladder that we are trying to build into the portfolio that allows us to start giving consumer cues to say what is indeed a superior toothpaste visually, and that then supports ed with elevating the shopping experience. I personally am very proud of the work that the team has done in bringing purple to market. It is not an area that we've operated in before, this kind of high beauty space. And I think from a slightly biased point of view, I think we've done a really good job. What makes it exciting to execute in either modern trade or direct trade is the fact that it is obviously skewed, skewed to premium. And this channel for us is margin accretive, growth accretive, share accretive. And so a great place for us to invest to build premium products.

I touched briefly upon the fact that digital is at the heart of what we are doing and digitization is at the heart of what we're redoing. OHM is one kind of pinnacle of leveraging technology to get to our strategic intent.

The second, of course, is the work that's being done to make sure that our content on e-commerce, which is so critical, is actually technologically the best that it can be. So it's constantly tested to get constantly better. So we moved from what you see on the left to what you see on the right, which is 50% better. And there is already work to make that 1.5X even better. We use tech to decide what is the assortment that goes to the 1.7 million stores. So briefly, we take a look at what are the macro conditions, what is the history of the store, therefore, what is the right assortment for everyone of those 1.7 million stores, which then gets fed to the hand held of the distributor sales representative. So his job is then to just sell what is there on that hand held without having to apply thought on, should I be adding this SKU here or should I not? This has led to a 15% assortment increase. And on a base of 1.7 million stores and the assortment that we had, this is quite a substantial increase.

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2024 We use image recognition technology. The lovely thing about the toothpaste shelf is that it is quite homogenous. Lots of cartons, lot of brands with lots of benefits. We are able to very, very well take images of our shelves to then check out of stock, share of shelf, pricing, and then correlate that with the growth of the store and make adjustments and see what are the patterns emerging in terms of how we can leverage

age that. And it's not a surprise that the stores that have this tech enablement grow twice as fast as the stores that don't. In the supply chain, AI/ML demand forecasting is now a way of life for us. It was new to us about a year ago now, a way of life. We have now not only quality checks in a lot of our plants. So a lot of the stuff that was human visually enabled has now become camera visually enabled. And we have digital twins running in our plants that allow us to predict before something goes wrong, and also to take a look at what's happening in the speeds and what's happening to efficiency and just run all together as significantly tighter ship in terms of output as well as energy consumption.

And all of this, of course, underpinned by the fact that we have tremendous quality of talent. We have a very strong management training program that builds a lot of our future leaders, a lot of our leadership team actually comes from this program, learning and development, in partnership with universities like Stanford, INSEAD, etc., becomes a large part of what the HR team focuses on to make sure that we are constantly upskilling. And it is a workplace for all, which allows us to give career to different types of people in different ways. And one of the things that always surprises me is that 10% of our people go abroad and come back, to, to work in Colgate India which is really great because they learn and they come back and they contribute both in India, and outside.

And then environment at our core, I want to talk about one thing that's really important to us, which is recyclability. Some of you will recall that I had mentioned that we, Colgate, had pioneered the technology for recyclable toothpaste tubes way back in 2019 or not so way back actually in this world. We started in India in 2022 with a journey towards moving to recyclable tubes between 22 and the exit of FY25. So in the first calendar quarter of next year, we will be the first and only toothpaste company in this country to have 100% of our tubes in recyclable format. And the lovely thing about this is that the tech has been open sourced, and we hope that everybody else will use this tech so that our 2 billion plus how ever many toothpaste tubes that they sell can all become recyclable and start getting recycled.

With that, I'm going to hand it over to Jacob to take you through the financial performance. Thank you for your attention.

Mr. M.S. Jacob: Thank you Prabha. Good morning everybody.

So, delivering sustainable financial, profitable growth has been a cornerstone of strategy. And we continue on this path. You've seen a margin trend. We've gone to an exceptional level of, margins, for the, more recent years. We've seen sharp spikes. So what we are looking to do is leverage that, along with the efficiencies from areas like overheads to invest behind our brand. And really, the focus is going to be how do we leverage the strength of our P&L to

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2024 accelerate our top line growth. And that's what you've been seeing in the last little while. And this will continue to be the model we will follow going forward. You've seen these results. We have had an excellent first half, top line growing 11.4%, gross margin EBITDA margin, both heading in the right direction.

Advertising, we've seen this increase as we continue to fund programs like our consumption building program, the oral health movement, and we will continue to invest behind the innovation that we are bringing to the market. Profit growth at 24% - Of course, this includes some one-time items. But even without this, it's no doubt a very healthy performance in the first half. Strong margin - So we've seen our margins have gone up sharply. And it's a tribute to all the work that we do in the organization to find efficiencies on costs, on pricing and at the same time, how we are looking to deploy our investments in the right places as we drive mix.

Revenue growth management is a process that is well embedded in the organization. And this is about growing the topline. And how do we do that? Driving volume growth, identifying the levers that will accelerate volume growth momentum. Strategic pricing, so that means not just pure price increases, but also having a clear strategy on the pricing between different SKUs, between different subbrands and, looking at the overall portfolio and seeing how you ladder it so that you optimize your realization. Accelerating premiumization is one of the strategic pillars as we accelerate our effort to move people into subbrands like Total, Visible White, etc.

And then last and not the least, competitive promotional spending. This spending we've upped over the last few years and we are deploying a lot of tools to collect data from the 1.7 million, distributor stores we cover and also from direct trade, e-com, etc to make sure we are spending in the right places at the right level and we are getting the right returns. And returns may not always be profit, it is what we call return on our objectives which could be share growth, top line growth, etc. and as a result of the strong revenue growth management process in the company. We've grown our ASP by 13% over the last two years, which is ahead of the MRP changes we've done.

The other area that we really do well as a company is on driving efficiency and effectiveness. We have this program called the Funding the Growth Program. This is a program that is considered best in class in India and has been cascaded to the rest of the Colgate world. For example, in the calendar year 24, we are looking to generate about 5.8% of the topline in terms of efficiencies in the P&L. But what this also enables us to do is reinvest, you saw all the superiority stuff that Prabha mentioned. More than 90% of our portfolio now has enhanced formulations, better packaging, etc. So, it's about \$11 million we've spent in just the last two years on improving the profile, efficacy, aesthetics of the products. And on the left side, if you see, those are some of the areas we tackle such as continuously looking for procurement efficiencies, localization of material which was otherwise imported, including finished goods. For example, over the last couple of years, we moved all or most of our personal care products from import to locally sourced. We also moved products like mouthwash to India. So that is a continuous endeavour. As we build scale for some of these products, we continue to look for opportunities to bring it in-house. Automation initiatives

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2024 at the plant is another area which we are investing in. And of course, continuing to look for design and manufacturing efficiencies. So in terms of investment, we believe, the quality of advertising and the level of advertising is critical for us to drive topline. And we've done a lot of stuff in the area of enhancing the products, packaging, etc., and we need to make sure people are aware of what's out there. The kind of innovation we are bringing to the market populace, and excellent innovation.

And similarly, the other new products that we are bringing to the market. So this is an area we will continue to support. So, consumption

tion building ,which you saw in the oral health movement, the brushing twice a day campaign and the BSBF program. So we will continue to drive consumption. We believe as the leader, we owe it to build consumption in this category. And also at the same time, you saw some of the information on how the state of oral health is linked directly to the level of your health. So that's something we plan to continue to spend behind accelerating the core, strong teeth advertising, premiumization which will continue to be a big focus, mainly through visible white, total and there will be more coming. And, of course building a second pillar in the form of personal care, Palmolive.

Operating profits- while gross margins have been at this level, EBITDA also continues to trend well. We think we are at very good levels of margin. This is a great opportunity for us to leverage this and invest to drive the topline, which will be a continuing focus going forward.

The hygiene in the system is another area that receives a lot of focus in the company. So distributor inventory is at healthy levels and we've actually bought it down a notch below where we were a couple of years ago as we look to improve their return on investment. It enables us to push products through the system faster and this is an area we continue to monitor very closely, but I would say that it's at very healthy levels and will continue to be a focus going forward.

And enhancing shareholder value- The net result of all we are doing is to deliver shareholder value. Soon cash gen, we've always been very efficient in converting all the profits we generated into cash. And, last year was no different. We generated almost 1,600 crore in cash gen ahead of our profit numbers.

Return on capital employed among the highest. It's close to 100%. EPS

49 p per share and last year we paid a dividend of 58, including a

10 one time dividend. So, our strategy has been to generate cash and be efficient while we push our working capital from the current negative levels to further improve it. And, if we don't have big requirements in the terms of CapEx or any other programs, we return cash back to shareholders because we believe they know how to make a better use of this cash than we can. We are quite conservative in terms of our surplus fund investments.

So to end, lead category consumption

will continue to be a focus going forward. We will strive towards driving consistent growth despite some macro challenges, continuing emphasis on innovation and brand investments. As I mentioned, purple is a good one. The work we are doing on Colgate Total different variants coming to the market, we will continue

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2024 on this path to help our premiumization agenda. And underpinning all this is the strong governance, the quality of all levels of governance here is quite high. It's an area that is non-negotiable. And we will continue to maintain it at that level while we work on the value creation.

So to summarize, consistent performance, strong foundation and robust execution would be the theme for us going forward.

Thank you. And with that, I hand it over to Sujata to take up the Q&A.

Ms. Sujata Nairi: Thank you Jacob. We will now start with the Q&A. Request Prabha and Jacob, to just come on the dias.

So we will begin with the Q&A in the room presently. So, request people who want to ask questions to raise your hand. And, we will have someone from our team to come and give them mic. For the people who have joined us virtually, request you to kindly please type your questions in the chat box and we will give you a chance, request the people who are raising their hand to please stand up to ask the question, and then give your name and organization name.

I know Vivek your hand is up, but we have Abneesh here, so we'll just give it to him and then we can start. Abneesh.

Mr. Abnish Roy, Nuvama: Thanks for the presentation. My first question will be on the dental screening program. How exactly does this benefit, Colgate? Because when an Indian customer gets anything for free, he's very happy to take that. When he goes to the dentist, the dentist will sell his different kind of business making opportunities. So do you see this as a P2P equipment sale to the dentist? Do we see this as a marketing campaign for Colgate, or do we see this eventually replacing cost for Colgate from a physical event led activation cost towards more Al enabled? And second related question is near term 500 events on ground for this, obviously dentist in India don't come free when you are aligned with them for 50,000 dental. Obviously there could be some cost. So initially, could there be a cost shock in the quarterly results? That is the first question.

Ms. Prabha Narasimhan: So I think firstly good morning and it's nice to see you. Abneesh, please have a seat. Thank you for your question. I think underpinning the oral health movement and the AI dental screening that we are doing is firstly your mission. It is our job to move oral health in this country. And to that extent, moving oral health is the first step of making you aware of what your oral health is and what we want to do to stop that in the hands of consumer

so say, you can now assess what your oral health is. After that, there is an opportunity for you to do what we are recommending, which is to go to our dentist partners and get a checkup and get an assessment of what else you need to do or at least get your teeth cleaned and scan and that would be the advice. So, that's the first level which is the link to our mission.

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2024 These second level is that we firmly believe that as awareness increases of the fact that you need to do more for your oral health, we will get the behaviours that we want, brushing twice a day, use of adjunct products, replacing your toothbrush. This kind of thing which will lead to a knock on effect of the market size growing. And that is the first part of the pillar of our strategy. So that's really an answer to why we are doing the oral health movement equal parts mission and equal part desire to grow the overall oral care category. To your question on cost, there is no cost to us sending people to the dentist because of two reasons. One, we are very lucky over the 87 years that we've existed in this country to have a very strong relationship with dentists and the Indian Dental Association. So the dentists have been kind enough to offer these

heckups free. And these second, of course, allied to that, because nothing is ever utterly altruistic. This is market development for the dentist. So if I get more people to come to me for a checkup, there will be people who will come back to me when they have a problem and there will also be people who need something then in there, which will lead to business. So they do see the business avenue of that. So there is no cost attached to that for Colgate, we see this as win-win for the consumer because they hopefully will get better overall health outcomes, win for the dentist because it allows them a bigger catchment area and win for us because it allows us to deliver more substantially on our mission.

Mr. Abneesh Roy: And on the 500 on-ground events?

Ms. Prabha Narasimhan: The 500 on-ground event, we do a lot of on-ground events as a company and, you know, 14% at our scale, invested behind a single brand is a lot of money. So a part of that money will get channelised into these on-ground events so I can specifically answer that. There will not be a cost shock to those 500 events.

Mr. Abneesh Roy: My second question is on the pricing architecture. In the Colgate Total ad, you mentioned that pricing has been reduced 23% to 0.77x. Just wanted to understand how you arrived at that number. Could there be some more price correction in any of the premium brands? Second, we have seen competitive intensity in toothpaste increases suddenly in the last few months. Is that because there is a rural slowdown? So the good growth of all three companies is a bit more temporary measure at least in the urban, if you could comment on that. And in terms of, last year strategy, you had said balance growth will be the mantra going ahead. Now, will it be largely volume-led growth going ahead? Is that, right understanding?

Ms. Prabha Narasimhan: So let me answer the last question first maybe. Balanced growth continues to be our mantra. A mix between price, volume and mix, is what we strive to get and what we will continue to strive to get for the foreseeable future. To your question on the pricing, our understanding is that the sweet spot of driving rapid premiumization in this country is anywhere between 140 to 170 kind of index pricing. And that's what leads to faster adoption. And we look at it in other categories, like for example, the other categories, which have a larger share of premium products tend to have work in that range. And so our effort is really to bring our

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2024 products into that range over the market standard. And that's show we arrived at the pricing. But this is dynamic, for the moment, it's working well for us. We've seen the growth that we are delivering on premium. So for the moment it is working well for us. But this is dynamic and always open to more interpretation. Let me put it that way. As we go forward. I'm sorry I missed your middle point.

Mr. Abneesh Roy: Competitive scenario increase.

Ms. Prabha Narasimhan: Yeah. I'm not sure that there's necessarily a competitive scenario increase. I mean, the players that exist have always wanted to win. And as you go to multiple analysts meet, I'm sure you hear everybody saying we want to deliver competitive growth. Obviously that's a 100% game. And some people will win and some will lose. So I'm not sure that necessarily we are seeing a tremendous difference from what we've seen in the past.

Ms. Sujata Nairi: We'll take the next question from Vivek. Vivek if you could just raise your hands and thank you.

Mr. Vivek Maheshwari, Jefferies: Thank you very much for a very impressive presentation. I must say, you have built upon what you articulated last year. I would say a couple of things. First, on the consumption or per capita consumption. You know, you mentioned about 1 in 2 rural, rural folks do not brush on a daily basis. 20% of urban Indians brush twice a day. Do you think Prabha, at some point of time there can be an inflection because supply creates demand. And in this case, while you are fully penetrated, but just sheerly by communicating, bringing more awareness. I think the number of times you have used the word night brushing is, I think all the analysts put together today, what you have done is like 10X more than ever, all put together. So how do you think about if awareness goes up, does this lead to an inflection at some point?

Ms. Prabha Narasimhan: So firstly good morning Vivek. It's very nice to have you here. I think, you know, I would love to believe that by saying night brushing repeatedly that we would move consumer behaviour. I would say all the time, if that was the case, I think the thing is that moving consumer behaviour, we realize, is something that is slow and will take significant investment at many different touchpoints. So if you were to take, for example, this dental screening, the AI-powered dental screening, night brushing would be one of the things that we recommend going into the outcome of that report. So our belief is that if we keep at it, we are already seeing movement. We are seeing volume growths come back in the toothpaste category. I don't want to attribute it to the fact that we've done this campaign and we started talking about it, but we do believe that staying at it, being consistent, doing it over the long term is really the only way to do it. And if I may use the parallel of penetration, I don't think it would be too much of a stretch to say. The reason why India has 100% penetration of oral care is partly awareness and a large amount of the work that Colgate has done at grassroot level in schools to teach people brush and paste, and the habit that goes with brushing toothpaste. So we want to replicate

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2024 that's something over the next coming year on consumption.

But I don't expect that it will move dramatically overnight. So steady state consistent increase is really what we are aiming to drive.

Mr. Vivek Maheshwari: Got it. Beyond oral two parts to these second question. The first is on Palmolive. You mentioned 60% awareness, if I recall correctly, but, and doubled digit growth. But Prabha, do you think, you know, in the world where, let's say, quick commerce, entry barriers, all of those things are, you know, changing dramatically, do you think there is a case to go much more aggressively on the positive side? That's the first part. And the second part is you just hinted about, you know, white portfolio to choose from the parent stable without mentioning divulging anything. So can you just answer both the parts? Thank you.

Ms. Prabha Narasimhan: So I think the first part of the answer is yes. For once I have a short answer to your long question. Can we be more aggressive? Yes, we can. But I think the trick is for us to make sure that we are seeing results from the investment and the effort that we are putting in, and then we can double down on it. So, absolutely Yes. Expect that we will be more aggressive on Palmolive as we go forward and hop

efully aswedobetter, that aggression will continue.

On the piece and diversification, the only thing I want to add is that we are committed to doing it, the when and where of it unfortunately, I am not obligatory to share at this moment.

Ms. Sujata Nairi: We'll ask people to raise, Mihir from Nomura. Can we get someone to get the mic?

Mr. Mihir Shah, Nomura: Good morning, thank you very much for giving me this opportunity. Maybe we can talk on the volume growth because, you know, that was absent. You know, over the past 2 to 3 years, you know, in FY23 volume growths were largely in a decline phase of 2 to 3%. Then 24 we had, except for one quarter volume growths were flattish. You know, Q1 was 6% growth. And then in the first half, you've done a very sharp, you know, growth of 7 to 8% volumes. What has really changed out there? I understand all the activities that you've spoken about the promotion, maybe rural is coming back, maybe just coincidentally, night brushing. But maybe if you can, you know, point out what has really changed, in, you know, volume growth, and, how should we think about it going forward? Can this be a new normal, at least for the near term, near to medium term, maybe about 6 to 12 months? So that's my first question.

Mr. M. S. Jacob: Yeah. So we've seen FY growth has been predominantly volume growth as you probably inferred from the number and the interactions we've had. So the multiple pieces to this one is the category itself. And, we've been trying to build the category into the volume, but we're not attributing it yet. We've started on this path a year before. So there is a bit of that happening. So, the category itself is driven by volume. There's also pricing that has been a

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2024 bit more benign in the last year or so. That could be another factor. So, some of it we are kind of speculating. But going forward, we would most likely be seeing more balanced growth between volume and pricing. I don't see we will be seeing predominantly volume led topline growth going forward and we look to see more balances. As you know, we've seen inflation creep up, some commodity prices have been going up and the category needs to keep growing at the healthy levels. So we do see more balance going forward.

Mr. Mihir Shah: Second question maybe on, I was wanting to check on your pricing strategy. You know, if you, you know, you've taken about mid-single-digit pricing in FY23, you know, RM, raw material costs were quite benign. Oh sorry, that point of time they were inflationary. And later in 24 when they were quite benign. You continue to take high single digit pricing. And that is at least what we saw in the numbers. How should one and now there is an anniversary of pricing that is happening. And I understand that your ASPs have improved by 13% while your price increases have been lower. What ladder of changes have you done in your portfolio, which is driving higher ASP and how is the pricing strategy? You know, turning about basically?

Mr. M. S. Jacob: I would talk about the revenue growth management process that we have in place which is about driving average selling price per ton. And there are multiple levers we work on. In this one is the peer pricing as we said, we are continuously looking for positive to take price increases depending on actual commodity scenario, the superiority of the product, the communication, and a lot of other stuff. But also, there is opportunity premiumization. We are growing Total by 3X, for example, or a visible white is at least 1.5x, in terms of pricing versus the rest of the category so, that's one lever we have. Also, within SKUs, you can move them to the next level, which is move 20, moving to 100, etc. could also be ASP accretive. So those are some of the levers we have. The new products we are launching are all at higher price levels. You saw visible white purple launch and more of the action you will see the innovation space will also be in that area. So, there are a lot of levers to drive prices.

It's not just taking the price up for 100g,

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72. So we are looking at it very holistically. One thing we are clear about is that the ASP of this category needs to grow up. It is among the lowest ASP in the world. In the ASP per ton of toothpaste and mix of premiumization and the mix piece, the pure price increase piece would need to do the work for us.

Ms. Sujata Nairi: Thank you. So while we have people raising questions, this is just one from the chats so, Prabha this is for you. What would be the top three priorities of the management for the next three years?

Ms. Prabha Narasimhan: Aml allowed four because they were there and, on the chart, and I'm only going to repeat myself. There are four priorities that remain - driving our four strategic pillars. Since I love to repeat myself, I am going to repeat myself, which is the first will be to lead category growth. The second one will be to drive premiumization through science, to win in

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2024 toothbrushes will be the third, and the last one will be to ensure that we see through the opportunity of diversification starting with Palmolive.

Ms. Sujata Nairi: Thank you. We can see Percy raising the hand, and then we'll give someone out there as well.

Mr. Percy Panthaki, IIFL: Hi. Good morning Prabha, Percy here from IIFL. My question is on how you look at your market share, among the different subsegments. So while, at an overall country level, you're definitely the largest by far. But, if I look at the natural segment, that segment is about, I think somewhere in the 25 to 30% of the overall volume of toothpaste. And here I'm talking about the red or brown colour ayurvedic tasting kind of segment, and you're significantly under-indexed in market share there. So isn't there some way, this is a preference of the consumer that he wants this kind of taste. He wants this kind of a colour and I don't even know why we should try and change that preference. Isn't there some way we can offer all the benefits of science of our products, but also give the sensorial to the consumer in terms of the taste and colour that he prefers to use, and therefore increase our market share in this segment.

Ms. Prabha Narasimhan: So I think, firstly, Percy, you don't need any introduction and it's nice to see you. Good morning. I think my answer to this is two parts that I've said both of them before. But I'll say it again. Consumer sbuy benefits. They want their child to be cavity free. They want to have fresh breath. They want to be free from sensitivity. They don't want to have gum problems. They want white teeth. Whatever it is, they buy benefits. So my first thought as I go out there is which brand is going to offer me the best solution for the benefit that I'm seeking? Under that comes what is the reason to believe that benefit? Is that benefit coming because it has arginine? Is that benefit coming because it has some other system of delivering that benefit, but that is secondary. So our strong belief is that if we are able to convince consumer sthat the science that we offer leads to better delivery against the benefit that they are looking for, we will win. And that's an unshakable and a foundational belief. I think the second part is that sensorial, there is no consumer who is a consumer of a single toothpaste in this country. So there is no consumer who buys the same toothpaste again and again for, you know, 12 months in the year. And by no, I mean a very small number. I hope some of you in this room buy only Colgate total. But, it is a repeat category and therefore I look for sensorial in different ways. So for example, if I go to a Mexican restaurant, I want good Mexican food. I don't want that restaurant necessarily serve me the best dosa. So what we need to do is to make sure that what we are offering in it is sensorial is superior to what competition is offering. And that's where all the effort on product development and taste and flavour and all of that effort that's gone behind developing superior sensorial in the family in which we operate and not moving to a family that other people operate. So that's really your principle. And so far, the principle seems to work for us.

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2024 Mr. Percy Panthaki: just to take this point forward since, you're largely present only in one category, wouldn't it be restricting your self too much to say that even within this category, we will sort of operate in so-and-so family? Why not just broaden the horizons and try and win in all the subcategories of oral care?

Ms. Prabha Narasimhan: Because I don't think that there is a subcategory called natural. There is a subcategory called family health, which is the reason for which a lot of toothpastes are bought. And in that subcategory, we are still the market leader with enough headroom to grow. So it's a difference in perspective of how you label these segments. Which leads to the response that we give. We label these segments on the basis of the benefit that the consumer is seeking.

Mr. Percy Panthaki: All right. Just one question for Jacob. This 13%, ASP growth, would you be able to tell me how much is the pure pricing into that?

Mr. M. S. Jacob: No, I won't be able to split it down for you. But I can say in the last one year it's mainly been driven by the mix and less MRP changes.

Ms. Sujata Nairi: Thank you Percy, I will take a question from the room. If you can just say your name and organization.

Mr. Priyank Chheda, Vallum: Yeah. Hi, this is Priyank from Vallum Capital. My question is on the premium portfolio when it comes to FMCG as a category, the size and the opportunity in the premium, premium side, beats, skincare or other categories is very large, when it comes to oral care category. What is the size of opportunity available? We would be somewhere around 13-14% of this category as a revenue share. Where can it go? And on the other side, there are many such other different categories within this in the global portfolio, be it therapeutics, be it sensitivities, whitening is one of the categories. So there are many more. How many of them are the categories where Colgate India is not present? While our parent has such a large bouquet of categories within the premium share.

Ms. Prabha Narasimhan: So I think to your first question, if we take above 140 index to market as the premium range, 12-13% of total oral care sits in that space. Comparable categories, which is shampoo, personal wash, those kind of other personal care products, anywhere between 25 to 30% of the category sits in that space. So straight we have an opportunity to take this 12-13% to the 25-30%. And I think that's really the headroom opportunity that we see. And therefore this three times faster growth of premium that we are seeing versus the base, is something that can sustainably continue for a while. As long as we get our act together and continue to

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2024 offers something that the consumer sees value in paying for. So that is the answer to the first question.

To answer the second question. I don't think there are a lot of segments in which Colgate India does not play. As far as oral care is concerned, it's a question of saying strategically, where do we put our money and what are the choices that we make. Just because we exist in a segment doesn't mean that we necessarily need to support that segment.

And so if I had to make the choice, and the choice that we have made is that we have three callouts for premiumization, which is total, which is overall family health or advanced premium family health. Whitening, because we see significant opportunity with the growing younger generation and the focus on being Instagram ready. And the third is gum disease because like you could see the prevalence of gum disease being undetected is very high in this country. And if we can move the needle on managing that, that would be really helpful. So that's our choice and it's more a strategic focus than not having the portfolio.

Ms. Sujata Nairi: Thank you. We'll give it to Fatima, if you can just.

Ms. Fatema Pacha, Mahindra Mutual Fund: Ma'am, just taking on from where Percy left on the natural segment, like pre-2000, pre-COVID. Rather, it was a very strong segment

and it was doing very well. And Colgate was having their struggles. But are you seeing that that segment is the leading player in that segment has lost market share or that entire category has dwindled along with the rural not doing well, and that is why the top three players in the country have actually had a very good ride in the oral care? That's the first question.

These second question on the toothbrush side, we see the other competitor, which is Oral B struggling. Is there something that we have done that we have taken back that market share from the toothbrush side? And third, on quick commerce, ma'am, a lot of companies are hav

ing this DT-MT versus quick commerce inventory issues and stuff like that. Are you facing anything on that? And when a customer is asking for a product on a Blinkit or Zepto, do you have any data on whether that person just types toothpaste or whether that person types Colgate? Because, I'm just trying to figure out that it is how easy it is now to create a brand on quick commerce that people want to buy something in minutes. Are they, like if they put a toothpaste, then you can put the whole list. If they type Colgate then automatically there is no option. So just wanting to get your thoughts on these three questions.

Ms. Prabha Narasimhan: Okay, so I think starting with your question on naturals. The good thing about this category, like I keep saying, is that a lot of the market is actually listed players, and you can see the relative growth of the listed players. So maybe I will leave you out to draw your own conclusion on the relative rate of growth. But I do want to reiterate that we continuously make a mistake by calling naturals a segment. There are very few consumer segments. There are some, but there are very few consumer segments who go out there and say, I'm going to buy a natural toothpaste. And then I will think about what is the benefit. Consumer is thinking flip, and if you think to yourself in terms of how you shop, you will shop for a benefit followed by what is the reason to

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2024 believe in that benefit, and you will buy the benefit of whatever in your consideration set you believe delivers that benefit the best. So I want to just keep reiterating that, because sometimes we get confused between these two. And it could lead us to do very different things, which perhaps is not playing to our strengths and certainly not playing to what the consumer wants.

On the piece on the toothbrush, actually your toothbrush story and our toothpaste stories have very similar patterns. And I've said this before, that FMCG is a relatively simple business. It is about making sure that you give superior products at the right price in the place that the consumer wants to buy it. And if in the case of a toothbrush, there is no advertising, but otherwise making her aware of it becomes the fourth lever.

What we have done well, I think in toothbrushes is to get these three right, price point to price point, we have benchmarked to make sure that our toothbrush in its physicality and its delivery is better than or equal to competition. We've made sure it's at the right price for both trade and consumer, and we've expanded availability.

And we are lucky that as a company, because of the portfolio that we have, we play across the entire spectrum of price segments. So as consumer moves up trade, we have a full portfolio, in case they are feeling pressure and they move down trade, we have a full portfolio and that helps us as well. To the last question on quick commerce, I've said this before, I'll say it again. We are actually finding quick commerce is growth accretive, margin accretive, share accretive for us. It grows eight times as fast as the rest of four businesses at the moment. And the reason why it does that is quick commerce by definition is advantage to incumbents, because the assortment tends to be limited. They can't in their dark stores keep a plethora of assortment and hope that it sells. They need to sell whatever has the highest velocity and they tend to keep what has the highest velocity. And then when you are the market leader, you get an advantage there. The second thing is our understanding of what sells by geography in oral care, in terms of the benefit segments, in terms of the price points, tends to be quite good. Therefore, we are able to partner in terms of making the right assortment available in the right place. And therefore whether you search, we would love for people to search for Colgate. But the consumer answer is they search for Colgate to search for toothpaste. But either way your share of what appears above the fold or within two scrolls tends to be very, very good. Which is why the outcome of share accretive, growth accretive, margin accretive.

Ms. Sujata Nairi: Thank you, Prabha. The next question from Latika.

Ms. Latika Chopra, JPMorgan: Hi Prabha and Jacob, my first question was actually on near term. You know, I saw the chart on urban and rural, and I think I've heard you saying that rural is plateauing. Could you comment on what you are sensing? Because most of the other FMCG companies are talking about growth revival. So what are you noticing on rural? And a lot of, you know, discussion today was on, you know, premiumization, of course. And you know, what is happening with

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2024 this oral health, you know, mission in the urban areas. But I wanted to, you know, get some more colour on, what are the critical steps you're taking to drive this rural, frequency of consumption? You know, if you could elaborate a little bit on that, that's the first question. And the second is on market shares. I understand you don't want to share the aggregate market shares, but some flavour on general trade market shares, for some of your larger brands, you know, how are they trending? And I'm just saying general trade, because we all know that on-commerce and quick commerce and modern trade, you're growing well. Thank you.

Ms. Prabha Narasimhan: You want to take the question Jacob?

Mr. M.S. Jacob: The first one on the rural one, where we are seeing rural has been growing a head of urban in the last few quarters at least. And we are finding it's still growing, but you know the acceleration of growth is kind of tapering off. So, we're not seeing that trajectory further going up. Urban continues to be challenged as you saw, so that is something that's worrying near-term at least. And that's something we are keeping an eye on. So, in short, urban has been a concern, rural still growing well, but not at the increasing levels it was growing in the past.

Ms. Prabha Narasimhan: I think to your second question Latika, and they are perhaps linked because the focus on competitive growth and the fabulous thing about this category is that everybody is listed. So you're able to see, relatively speaking, how competitive performance plays out. And it's very rare that competitive performance plays out massively differently in one category versus another category. Because consumer is omnichannel shopper. Rare again is the consumer who only and only shops in one channel, at all. So if you're doing well in one channel, you tend to be doing well in the other channels as well, with degrees of difference. But you tend to be doing well, particularly for a company like ours that has a reasonable reach across all of the channels. And it's not that availability is constrained anywhere. I think we are doing reasonably well competitively across all channels as well, and overall growth anyway you guys are better at computing than I am.

Ms. Sujata Nairi: I know there are a lot of questions. So we'll take the last one from Arnab. And the rest we will try to answer later.

Mr. Arnab Mitra, Goldman Sachs: Hi, Arnab from Goldman Sachs. Actually, one question related to market share. I mean, you've done so much work on brand, advertising, innovation, and it's showing in the brand metrics distribution. Why is it not showing up in a similar pace in market share? Is there any other impediment in terms of pricing or anything else which would need to change for much stronger market share gains, which you are seeing in toothbrush, for example. But in toothpaste, it seems it's a bit more flatish, is my understanding. So any comments on what you think needs to happen more on that?

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2024 Ms. Prabha Narasimhan: Actually, if I can maybe take the question away from market share to relative market performance. I just want to reiterate, maybe what I said earlier is that if we take a look at the results that we can see of the players and we can see our results, we can see that we are growing competitively and that really remains our focus. So this year, I can tell you that we are quite happy with our relative performance, relative to competition without getting into the market share piece, because we tend not to comment on it. And then it's easy to comment when it goes up and then not when it goes down. I'd rather not comment at all on market shares.

Mr. Arnab Mitra: Sure and one last question again on the new segment on the brands that Colgate globally has. So what is the reason for the caution in bringing some of these brands in India? Is it to do with the P&L constraints that you do not want to incur a certain amount of loss, which may be required in some of these categories? Or is it something to do with the fact that India's market is not ready for some of these brands? What would be the main reasons why you're cautious?

Ms. Prabha Narasimhan: Actually, I must confess from where I sit, it doesn't seem like caution, but prudence. But, I think our priority really over the last couple of years has been that we were coming off a fairly difficult phase. Our first job was to steady and grow our core business, which I think we are now in a very good place and we've done a reasonable job. It just gives us that much more confidence and ability to do new things. So, I think you will see an accelerated pace of change as we go forward on this. But, having taken the time over the last couple of years to get to where we are is perhaps the right approach, or at least we feel it's the right approach, so that's one.

Thesecond it does take time to do new things because you have to get in there and find a point of difference. There's no point in coming in and doing something in a category that already exists, and doing something that is metoo in that category. To find that point of difference and to be able to, to a certain extent, disrupt that category is important. And that's really where a lot of our effort goes into as we think about this.

Ms. Sujata Nairi: Thank you Prabha. We will close the Q&A with this one. Prabha, if you have any last comments.

Ms. Prabha Narasimhan: Yes. So I want to once again, thank you all for coming and just maybe reiterate the three points that we made, which I'm sure all of you remember, which is all about us making sure that we keep our fundamental

tal together to deliver consistent performance and do it with a high level of governance and execution.

Thank you again for your time and thank you Sujata and thank you team.

Ms. Sujata Nairi:

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2024 Thank you Jacob, Prabha and the entire team. And thank you to all of you for coming here and taking time out. Thank you to the people who have joined us virtually. Request you to please pick up your smile hamper as you move out of the office. There's also an OHM kiosk out there where you can actually do your AI screening, the one which Prabha spoke about and request you to please do that.

Thank you once again.

Call: May 2025

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Moder ator:

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I now hand over the proceedings to Ms. Neethi Nair – Director (Commer cial, Finance & Investor

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Thank

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Neethi

Nair:

Thank you, Michelle. Good morning , everyone. And welcome to the Colg ate-Palmoliv e
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We

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Prabha

Narasimhan:

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Rs.

822

crores

being

spen t

on

the

Colg ate

brand.

And

with

this,

it

would

be

among ,

if

not

the

largest

advertised

FMC G

brand

in

the

country.

And

net,

that

ended

us

with
an
NPAT
of
24%.

Diving once more into the margin profile, you can see that over the last four years our margins

stepped
up
in
the
Financial
Year
'24,
and
it's
held
at
that
level.

And
our
EBITD A
margins
also
hover
around
the
32%
to
34%
range,
and

that
is
kind
of
the
range
at
which
we
will
operate.
And
you
can
see
most
of
our
quarters
operate
at
that
level
as
well.
This
is
despite,
as
we
have
already
discussed,

a
step
up
in
brand
investments.

Underpinning all of this is the single thing that we value the most in this organization after our

mission
of
developing
oral
health
in
the
country,
which
is
the
strength
of
the
brand
Colgate.

And
as
you
can
see,
this
brand
continues
to
take

strides

forward.

Our

top

of

mind

now

at

69%

for

2024

continues

to

hold

through

Q1

of

2025.

It

continues

to

be

the

brand

of

first

choice

for

62%

of

the

people

surveyed.

And what's really heartening for us, given that we always talk about science-backed expertise,

is

the

rating

on

oral

care

expertise,

which

continues

to

rise,

starting

at

73%

in

2022,

and

climbing

all

the

way

in

Q1

'25

to

83%.

Just

to

put

this

in

context,

this

means

that

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as we go out and survey people, for every 100 people, when asked who is the oral care expert

in

the

country,

83%

of

the

people

return

Colgate

as

an

answer.

This financial year has also been a year where we have stepped up the amount of launches that

we

have

done.

And
most
of
these
launches
sit
in
the
premium
category
or
in
personal
care,
two
very
critical
pillars
of
our
strategic
growth
impetus.

Starting with Whitening , we launched Purple which has been a runaway success. It is actually

our
most
successful
innovation
in
the
last
decade.
We

have
also
premiumiz ed
freshness,
adding
a
second
tier
to
a
bene fit
that
is
hugely
sough t
after
in
the
category,
with
both
the
Max
Fresh
Sensorials
range
as
well
as
the
revamped
Lemon
Fresh.

Colgate

Total

brand

has

got

an

uplift

and

a

full

relaunch

and

recently

a

new

variant,

which

we

will

talk

about

shortly .

And

the

toothbrush

portfolio

continues

to

drive

into

the

premium

and

super

premium

categories.

And

we

are

seeing

movemen t

both

in

the

average

price

paid

per

handle

as

well

as

in

the

replacemen t

rate

of

toothbrushes.

And

our

Palmoliv e

brand

in

personal

care

continues

to

innovate

in

body

washes.

But the big news last year and the big change that we made doubling down on our mission to

improve

the

oral

health

of

everybody

in

this

country

was

really

the

oral

health

movement.

Launched

in

November

of

last

year,

this

went

out

across

the

whole
country.
And
in
terms
of
results,
which
we
will
start
with
and
then
look
at
the
input
that
went
into
those
results,
has
led
to
4.5
million
consumer s
screening
their
dental
health,

either

through

the

AI-po wered

app

or

through

an

oral

care

ques tionnair e.

With

this

4.5

million

data

poin ts,

we

actually

have

the

largest

reposit ory

of

oral

care

under standing

in

this

country.

Let's take a quick look at wha t all happened through the oral health movemen t. Colgat e Oral Health

Movemen t

video.

We are indeed just getting started. And what's important is what have we learnt so far? I think

the

first

thing

that

we

have

learnt

is

that

India

has

an

oral

care

score

of

2.5

out

of

5.

I

am

sure

a

lot

of

you

on

the

call

are

parents

and

if

your

child

returned

a

score

of

50%

in

their

exams

you

would

be

concerned

as

we

are

with

this

oral

health

score.

And

why

is

this

score

at

2.5

and

what
is
the
dispersion
of
this
score?

24% of India's population actually has a score of 1 out of 5 which suggests that they have fairly

severe
oral
health
issues.

A
full
third
or
almost
30%
of
the
population
actually
has
the
warning
signs
of
oral
health
issues.
And
then

it
gets
progressiv ely
better
from
there.
In
terms
of
wha t
are
the
issues
-
46%
have
gum
issues,
42%
have
the
existence
or
the
risk
of
cavities
and
17%
have
the
risk
or

have

stains.

But what does it take on the flip end to actually have a good oral health score? And as we have

been

suggesting

and

as

dentists

have

been

telling

us

for

many,

many

years,

there

are

a

couple

of

key

habits

that

truly

help

you

to

have

a

good

oral

health

score

and

man y

of

you

would

now

have

read

the

link

betwee

n

oral

health

and

systemic

health

making

this

much

larger

than

just

having

nice

teeth

and

a

nice

smile.

The two big indic ators that we are finding is:



First,
the
propensity
to
brush
twice
a
day.



The
second
is
to
avoid
all
tobacco
and
tobacco-related
products.

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The combination of these two coupled with the idea of replacing your toothbrush every
three
months
which
we

did
not
put
into
the
scorecard,
but
we
know
also
help s
for
better
cleaning
is
really
the
answer
to
getting
people
to
5
on
5.
And
our
commitmen t,
as
it
has
always
been,

is
to
continue
to
drive
this
score
upwards.

Moving now from what's happening to the oral health movement to what's happening to category

growth
and
coming
closer
to
the
business.

What
we
are
seeing
is
a
significant
softening
of
category
growth
in
urban
India.
And
even

within

urban

India,

there

is

a

two

part

story

where

premiumization

continues

and

continues

at

great

speed,

whereas

the

rest

of

the

category

has

seen

a

significant

slowdown.

Rural

continues

to

be

resilient

and
we
are
seeing
that
our
rural
growth
continues
now
for
the
3rd
Quarter
in
a
row
to
outpace
urban
growth.

Coming to the Q4 Results, Rs. 1,452 crores represents a minus 1.9% growth over year-on-year.

Margins
continue
to
be
resilient,
not
because
of
price
increase,
but

actually
because
of
extensiv e
and
very
sharp
cost
manag emen t.
And
this
gross
margin
increase
comes
on
the
back
of
signific ant
investmen t
that
we
have
made
into
formula tion
and
product
quality ,
which
we
will

talk

about

in

just

a

second.

Advertising

continues

to

be

about

7%

higher

than

last

year,

actually

reinforcing

our

faith

in

the

strength

of

this

brand

and

the

need

for

this

brand

to

actually

drive

growth

and

communicate

the

message

of

science-backed

superiority.

Moving to our Strategy, this is a slide that I am sure is familiar to all of you, but I am going to spend

30

seconds

to

just

go

over

it

once

again.

We

have

a

four-pronged

strategy.

The

first

one

is

our

largest

pillar,

which

is

really

our

job

to

lead

toothpaste

category

growth

and

drive

volume

and

actions

like

brushing

at

night

and

the

oral

health

movement

all

sit

under

this

pillar .

We

then

have

three

exceptionally

strong

core

brands,

which

are

Colgate

Strong

Teeth,

Max

Fresh,

and

Colgate

Active

Salt,

and

driving

their

growth

is

the

first

pillar .

The

second

one

is

premiumization

through

science-based

superior

innovation.

The

third
one,
to
continue
for
us
to
win
in
toothbrushes
and
devices.
And
of
course,
we
have
a
relatively
small
personal
care
business,
which
represents
a
tremendous
opportunity
to
grow
with
the
Palmolive

brand.

Starting with the first one, what we have done in the 1st Quarter of the calendar year, Q4 of the

financial

year,

is

to

relaunch

Colgate

Strong

Teeth.

This

is

our

flagship

brand.

It

has

a

technology

that

is

best-in-class,

which

includes

arginine

that

works

along

with

the

formula tion

to

impr ove

and
strengthen
your
teeth.
We
have
relaunched
this
now
with
a
product
that
is
superior
to
compe tition
and
superior
to
ourselves.
And
really
the
advertising
then
talking
about
the
fact
that
it
also

has
a
fresher
and
more
refreshing
taste
that
is
preferred
by
consumers.

And this brand obviously has a very significant rural footprint, and as such, for us to drive rural

reach
and
reach
the
consumers
who
are
not
reachable
e
through
television
becomes
really
important.
And
we
have
doubled
down

on
the
actions
to
get
to
2x
the
number
of
villag es
that
we
got
to
last
year.

From the early results that we have, we relaunched this in Februar y, sending it into mark et,
and

we
have
done
some
early
testing
in
the
mon ths
of
April
and
May
from

consumer s

who

have

bough t

the

product

versus

the

ones

who

were

buying

the

earlier

CST.

And

we

are

very,

very

heart ened

to

see

that

at

a

signific ant

level

on

whe ther

it's

overall

or

its

taste

or

its

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freshness, which are the key measures of in-mouth impact of the product, we are seeing significant

superiority ,

both

in

urban

as

well

as

in

rural.

Colgate

Strong

Teeth

Film.

I move from Colgate Strong Teeth to our second biggest franchise, which is the Colgate Max Fresh

franchise.

You

will

recall
that
in
the
past
we
have
talked
about
how
this
is
the
franchise
that
has
been
driving
growth
over
the
last
couple
of
years.
It
is
our
fastest
growing
brand,
and
continues

to
be
a
sour ce
of
tremendous
focus
for
us.
Again,
on
the
vectors
of
creating
and
driving
a
superior
mix.
And
its
compe titive
growth
continues
in
Q4
of
this
year
as
well.
Wha t

we

have

also

realiz ed

is

that

we

have

a

jewel,

an

under

leveraged

perhap s

jewel

in

the

crown,

which

is

Max

Fresh

Blue.

Blue

instinctiv ely

very,

very

close

to

the

freshness

category.

And

in
internal
testing,
we
find
that
our
red
is
superior
to
competition
red
gels,
and
the
blue
is
superior
to
red.
And
therefore,
a
significant
opportunity
for
us
to
drive
blue,
which
is

exactly

wha t

we

have

done.

Colgat e

Maxfresh

Film.

Starting from the South, we are seeing a lot of growth that is coming to us incremen tally on the

back

of

Max

Fresh

Blue.

And

if

we

take

a

look

at

wha t

happens

to

the

sub-br and

equities,

we

can

see,

as

with

master
brand,
and
of
course,
the
master
brand
is
an
agglomer ation
of
the
sub-br ands,
we
can
see
that
consider ation
for
all
our
core
sub-br ands
continues
to
be
on
the
increase.

Moving now to our second pillar , which is driving science-led premiumiz ation. This, as
always,

is
driven

by
us
premiumizing
across
all
benefit
segments.
I
will
start
with
what's
the
newest
buzz
in
town,
which
is
Max
Fresh
Sensorials.
For
the
first
time,
we
have
taken
a
premium
position
on

the
freshness
platform.
These
are
two
new
variants,
Watermelon
and
Rainbow,
they
are
interesting,
they
are
different,
they
are
very
Gen
Z.
And
it's
not
something
that
you
have
seen
in
the
toothpaste

category.

Currently

launched

in

e-commerce,

we

are

seeing

great

results.

And

these

two

brands

come

at

a

40%

premium

versus

the

Max

Fresh

base,

which

itself

is

at

a

premium

to

the

overall

freshness

category.

So

a

tremendous

opportunity

for

us

to

continue

to

drive

people

up

the

price

ladder .

I move from Max Fresh to a more familiar slide on premiumization, which is Colgate Total.
This

is

our

flagship

product

to

drive

premiumization.

It

is

the

family

health

product

that

we

expect

most

consumers

to

move

to

because

it

is

simply

superior.

We

are

seeing

tremendous

growth

in

Colgate

Total.

It

grows

at

about

over

4x

market

growth.

And

we

are

committed

to

driving
both
access
and
availability .
In
Q4
of
the
calendar
year
last
year,
so
in
November
last
year,
we
had
corrected
the
pricing
of
Colgate
Total
relative
to
the
base
of
the
market,

reducing

its

price

to

make

it

much

more

accessible

and

much

more

affordable.

And

that

action

is

giving

us

tremendous

results

as

we

see

volume

growth

far

ahead

of

this

4x

category

value

growth

that

we

are

driving.

We

also

have

a

large

consis tent

direct-to-home

or

direct

contact

program

that's

leading

to

signific ant

conversions

and

a

signific ant

increase

in

overall

household

pene tration

in

this

brand.

And the big news that came again in Q4 of last year which I briefly referenced is Colgate Visible

White

Purple.

We

have

talked

about

the

Whitening

segment

in

India.

We

have

talked

about

the

fact

that

the

whitening

segment

in

India

has

very

low

penetration,

sub-2%

penetration,

a

rapidly

growing

segment.

In

other

countries

of

the

world

the

contribution

of

whitening

to

the

category

tends

to

be

in

excess

of

20%,

so

we

have

a

huge

headroom

opportunity

for

this

brand

to

grow.

We
had
an
exceptionally
strong
Visible
Whit e
portf olio
that
was
growing
in
strong
double-digits.

To
that
portf olio,
we
have
added
Visible
Whit e

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Purple. Simple, simple premise of color theor y that says a purple toothpas te when used

cancels
the
yellow,
giving
you
teeth
that
appear
whit er
and
brigh ter.
Again,
we
have
seen
tremendous
traction
on
this
from
both
modern
trade
and
e-commer ce.
It's
adding
almos t
about
25%,
30%
delta
to

our

existing

Visible

Whit e

business.

Continues

to

have

very,

very

strong

digit al

investmen t

through

to

this

time.

And

this

year,

our

intention

is

to

take

it

much

larger,

much

wider

and

put

purple

actually

on

TV.

Colgate

Visible

White

Purple

Film.

So that's Visible White Purple. We are very excited by both Visible White Purple as well as Max

Fresh

Sensorials

because

I

am

sure,

as

you

can

see,

they

are

fundamentally

different

from

what

you

know

and

understand

of

the

toothpaste

category.

And
the
feedback
that
we
are
getting,
particularly
from
Gen
Z
consumer s,
is
that
they
are
excited
by
this,
this
is
fun,
and
this
mak es
oral
care
more
interesting,
which
is
great.

And at the other end of the spectrum, of course, you have seen the 2.5 out of 5 oral care

score

in

the

country.

Oral

health

in

this

country

is

not

great.

And

therefore,

making

sure

that

we

build

a

strong

problem-solution

therapeutic

credentials

portfolio

is

critical

to

us.

Our

focus

is

on

driving
the
entire
gums
portf olio.
It
continues
to,
on
a
very
small
base,
do
exceptionally
well.
And
for
the
87
years
that
we
have
been
in
this
country,
we
have
had
the
privileg e

of
partnering
with
the
dentist
fraternity .

We continue to do that. They have been unstinting in their support and the time that they give

us,
including
over
50,000
of
them
offering
their
time
free
as
part
of
the
oral
health
movement
to
drive
dental
check ups.

And
we
leverage
this

partner ship

and

relationship

that

we

have

to

ensur e

that

we

are

giving

the

right

range

of

these

therapeutic

and

problem

solution

products,

driving

them

through

our

professional

oral

health

channel.

And

of

course,

all
of
this
eventually
needs
to
come
together
in
terms
of
wha t
the
shopper
sees
in
the
mark et.
This
is
not
an
AI
gener ated
imag e,
this
is
a
real
store
in
India.
It

is
the
Lulu
store
in
Kollam.
And
this
is
really
the
future
of
oral
care.
Strong
shelves
which
have
an
entire
range
beautifully
presented.
And
of
course,
aided
by
our
outstanding
promoters
who

can
help
you
to
choose
exactly
wha t
you
need
to
drive
up
your
oral
health
score.

I move now from toothpas te into the toothbrush, which is the third pillar of the category.
You

will
recall
that
when
we
have
presen ted
these
slides
before,
we
have
said
that
on
average,

people

buy

1.2

handles

per

year.

That

number

has

now

moved

to

1.3

handles

per

year.

And

you

will

recall

that

the

number

of

the

category

below

Rs.

40

was

78%.

That

has

now

moved

to

76%.

And

while

these

number s

in

and

of

themselv es

migh t

seem

small,

you

have

to

remember

that

we

are

averaging

these

over

a

very,

very

large

base.

So

wha t

we

are

definitely

seeing

is

the

increase

in

volume

growth

of

the

toothbrush

category,

our

increase

in

our

growth

in

the

toothbrush

category

as

well.

And

a

significant

and

rapid

premiumization

is

happening

as

people
realiz e
that
the
toothbrush
is
not
just
some thing
that
you
use
to
put
the
toothpas te
on
but
is
actually
critic al
to
your
overall
oral
health.

Wha t we have done here is to do some tremendous work in modern trade, ensuring that we have

the
full
range
visibly
available

with
the
guidance
of
good,
better,
best
so
that
the
navigation
of
the
category
that
other wise
was
a
little
bit
difficult
has
become
much
easier .
We
have
done
a
series
of
new
launches

and
relaunches.

You
can
see
a
couple
of
them
on
the
screen.

And
we
are
realizing
that
consumer s
are
now
under standing
the
bene fit
of
a
regime.

So
a
visible
whit e
toothpas te
with
a

visible

white

toothbrush.

And

therefore,

driving

on

that

learning ,

we

are

now

launching

or

have

just

launched

the

Colgate

Total

Toothbrush,

which

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will obviously sit as the regime with Colgate Total Toothpaste. Over the last year, we have now

taken
leader ship
in
the
super
premium
segmen t
wher e
we
were
not
the
leader s
and
driven
that
category
to
strong
double-digit
growth.
The
headr oom
opportunity
here
continues
to
be
really ,
really
large.

And I come to the last pillar , which is personal care, driven by our brand, Palmoliv e. You will recall

that
we
had
said
that
Palmolive
would
focus
on
the
body
and
hand-cleansing
categories.
That's
our
right-to-win
category,
and
that's
where
we
continue
to
play.
We
have,
over
the
last
year,
launched
a

range
of
new
products
that
have
done
exceptionally
well
and
added
incremental,
particularly
in
e-commerce.
And
we
have
now
new
channels
which
are
targeting
the
high-in tent
audiences,
and
we
are
finding
that
our

conversion

impr oves

quite

drama tically.

You have seen this slide before. Work continues apace on us getting into categories outside of

the

ones

that

we

sit

in

currently,

as

has

been

poin ted

out

man y

times

and

is

being

reiterated

here.

Our

global

compan y

has

an

enormous

portf olio

from

which

we
can
choose,
and
a
lot
of
expertise
there
as
well.
We
are
looking
at
this
portfolio
very
actively
to
see
what
we
will
bring
into
India,
and
if
it's
more
a
question

of

when.

I then hand it over now to Jacob to talk us through the financial performance.
M.S.

Jacob:

Thank you, Prabha. And good morning , everybody .
In terms of our financial strategy, it remains unchanged, delivering sustainable, profitable growth.

The

key

objective

is

driving

revenue,

sales,

and

volumes,

and

finding

the

right

level

of

investment

to

support

the

growth

through

leveraging

our

margin

profile

and

optimizing

our

overheads.

You saw the results, Rs. 1,452 crores top-line, 1.9% decline versus last quarter, and full year close

to

Rs.

6,000

crores,

6.3%.

Margins

continue

to

be

a

good

story,

both

at

the

quarter

level

and

the

full

year

level,

it's

up.

Advertising

at

healthy

levels,

13.7%

for

the

full

year.

And

profit

after

tax,

while

down

for

the

quarter,

full

year

is

up

a

healthy

8.5%.

In terms of margins, they continue to be very strong. Full year, we finished at 69.7%, 20 bps higher

than

the

prior

year,

and

on

a

quarter

basis,

70.4%.

And
wha t
was
different
this
year
was
that
mos t
of
this
margin,
almos t
all
of
it
was
driven
by
efficiencies
we
found
in
our
cost
structur e,
no
pricing
driven
margin
here.
Part
of

it
was
wha t
we
call
a
funding
the
growth
program,
which
is
about
finding
efficiencies
in
every
cost
line
in
the
P&L,
along
with
the
cost
inflation,
which
was
modes t.

Wha t we have also done is, we have reinvested a big chunk of it back into deliv ering superior products.

Over

the
last
little
while,
we
have
upgr aded
virtually
our
entire
portf olio.
And
you
hear d
about
Strong
Teeth
just
now
and
you
have
hear d
about
Max
Fresh
in
the
past,
and
we
continue
to

enhance

the

efficacy

of

our

products.

What we have also done is increased our trade and consumer spends to be more competitive

with

what's

happening

in

the

market.

And

all

this

has

been

funded

through

our

cost

savings.

So,

while

we

have

done

is

this,

we

have

also

deliv ered
the
impr ovemen t
in
the
margins.

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In terms of investmen t behind brands, advertising continues to be at very health y levels. We have

taken

it

up

to

Rs.

822

crores

as

a

13.8%

increase

and

wha t

are

we

spending

behind?

A

good

chunk

goes

into

driving

consump tion.

As

the

category

leader ,

we

take

responsibility

for

this

piece.

You

hear d

about

the

oral

health

movemen t,

driving

awareness

on

oral

health,

and

this

followed

the

brushing

twice

a

day,

brushing

at

nigh t

campaign

that

you

have

seen

in

the

past

and

that

continues.

This

process

of

driving

consump tion

through

driving

higher

investmen t

continues.

At the same time, we are acceler ating core, the relaunch of Strong Teeth continues to get the

right

level

of

investmen t.

On

the

right,

premiumiz ation

is

one

of

our

key

pillar s

and

we

continue

to

invest

dispr oportiona tely

behind

that.

And

personal

care

continues

to

grow

as

we

build

our

second

leg

to
our
business.

EBITDA margin, best-in-class in the industry, full year at 32.6% and the latest quarter at 34.3%.

While
the
P&L
continues
to
be
quite
healthy,
we
are
definitely
focusing
on
the
balance
sheet
as
well.

So,
we
continue
to
convert
all
our
profits
into
cash.

So,
our
cash
from
oper ations
has
gone
up
from
Rs.
1,085
crores
in
Financial
Year
2022
to
close
to
Rs.
1,400
crores,
and
return
on
capital
emplo yed
is
now
at
the
121%
levels.

In terms of enhancing shareholder value, EPS continues to go up. So we were at Rs. 40 per share

Financial

Year

'22,

we

are

at

Rs.

53

right

now.

And

we

are

kind

of

giving

it

back

in

the

form

of

dividends.

So

after

the

Rs.

58

per

share

dividend

last
year,
which
included
the
Rs.
10
per
share
special
dividend,
this
year
we
have
gone
to
Rs.
41.
So
effectively,
we
have
gone
from
Rs.
48
to
Rs.
51
this
year.

In terms of ESG, in terms of plastic recyclability , our internal goal is to be at 100%. So FY '25

we
finished
at
80%,
but
we
are
pleased
to
report
that
as
of
this
mon th
we
are
100%
on
recyclable
tubes
on
a
full
portf olio
of
toothpas te.

Product pack aging , our goal is to be 100% reusable, recyclable, compos table pack aging by the

end
of
2025.

We
are

at
91%
levels
currently
and
we
continue
to
work
towards
our
goal.

Waste management, our goal is to maintain true certification for zero waste for all Colgate plants.

We
have
done
that.
On
top
of
it,
as
part
of
our
CSR
program,
we
have
disposed
of
134

tonnes

of

dry

waste

in

different

communities

around

the

country.

Water stewardship, our goal is to achieve net zero water at our water stress sites. So 75% of the

Colgate

plants,

that's

three

out

of

four

are

water-positive.

At

an

aggregate

level,

at

all

the

four

plants

we

exceed

100%.

And
on
top
of
this,
as
part
of
our
CSR
commitmen t,
we
have
replenished
430
million
liters
of
water.

And the “Brigh t Smiles, Brigh t Future”, as part of that, we targeted 10 million childr en
additionally

between
2020
and
2025.

We
have
already
exceeded
that
number .

And
on

top
of
it,
we
have
now
got
tie-up s
with
the
governmen ts
of
UP,
Goa,
AP
and
Assam
to
further
push
this
program
in
schools
and
drive
oral
health
awareness.

With that, I hand it over back to Prabh

a.
Prabha

Narasimhan:

Thank you, Jacob. So in summar y, I think the messag es we would like to leave you with are -

Firstly,
we
believe
that
the
strategy
that
we
have,
which
is
to
drive
category
consumption,
grow
our
core,
build
through
science-backed
premiumization,
drive
growth
in
the

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toothbrush category and build the Palmolive brand by way of diversification is the right strategy.

It's

working

for

us

and

we

will

continue

to

execute

against

this

strategy.

Execution

has

always

been

our

strength

and

we

will

continue

to

double

down

to

make

sure

that
the
in-market
execution
continues
to
be
absolutely
best-in-class.

Our brand equity remains strong. This is the critical part of our portfolio to ensure that the exceptionally

strong
brand
that
all
of
us
have
had
the
privilege
to
inherit
only
goes
from
strength-to-strength.

We
will
continue
to
make
it

strong
on
the
pillar
of
making
sure
that
we
have
adequate
science
behind
our
portfolio
to
make
sure
that
our
products
truly
deliver
against
the
promise
that
we
make,
to
ensure
that
we

have

innovation

that

keeps

up

with

what

consumers

are

looking

for

from

the

oral

care

category

and

often

leading

consumers

in

the

direction

that

we

think

that

they

need

to

travel.

And

making

sure

that

we

will

keep

investmen t

behind

this

brand

really

strong

so

that

we

continue

to

build

on

both

the

imag ery

measur es

as

well

as

our

top-of -mind

awareness

and

consider ation.

From a demand perspectiv e, like we have said, over the last couple of quart ers we have seen soft

demand

in
urban
India,
particularly
the
bottom
half
or
the
bottom
70%
of
urban
India,
while
premiumization
continues
to
be
very
robust
and
very
strong.
We
do
see
this
continuing
in
the
near-term
future

and

recovering

towards

the

back

half

of

this

financial

year.

And

that's

our

projection

as

we

look

to

market

and

macro-dynamics

as

we

see

it

in

oral

health.

The one big change that we have driven over last year or the big step up that we have driven over

last

year

is

to
use
new
innovation
as
opposed
to
renovation
only
to
drive
growth.
We
have
seen
tremendous
success
with
this.
Like
I
already
told
you,
Visible
White
is
all
purple,
and
is
already
about

25%
of
the
overall
Visible
White
franchise.
We
have
seen
a
tremendous
response
to
Max
Fresh
Sensorials,
which
currently
is
only
available
in
e-commerce
but
will
now
travel
across
different
channels.
And
we

have
a
slew
of
inno vation
that
has
already
gone
into
mark et
in
the
1st
Quart er
and
first
four
mon ths
of
this
year.

And I want to leave you with wha t's been done on inno vation, starting with plaque release.
Plaque

Release
is
the
gold
standar d
varian t
of
Colg ate
Total.

It
is
superior
even
to
Colgate
Total
in
terms
of
its
delivery
on
reducing
dental
plaque,
which
is
actually
the
original
source
of
most
of
your
dental
problems.
We
have
also
diversified
into

things

like

whitening

pens,

which

give

a

heightened

and

immediate

whitening.

This

is

done,

again,

in

partnership

with

dentists

and

the

professionals.

We see tremendous opportunity in kids. We already have two ranges of kids' products. At the

base,

we

have

Batman

and

Barbie.

We

also

have

a
0%
range.
And
now
we
have
this
inno vative
new
forma t,
which
is
the
kids
squee zy
in
a
couple
of
flavors.
We
see
an
opportunity
for
on-the-g o
freshness,
which
Max
Fresh
is
now

tapping

through

t

he

stick

forma t

mouth wash

tubes,

mouth wash

sache ts,

which

have

just

gone

into

the

mark et.

And

we

think

that

there

is

much

more

to

come,

or

at

least

we

can

see

much

more

to

come.

And that's the last that I wanted to leave you with. I am going to now hand it over to all of you

for

any

ques tions

that

you

may

have.

Thank

you

and

over

to

you.

Moder ator: Thank you very much, ma'am. Ladies and gentlemen, we will now begin the ques tion-and-ans wer

session.

We

will

take

the

first

video

ques tion

from

Abneesh.

Kindly

accep t

the

prompt
on
your
screen,
introduce
yourself,
unmute
your
audio/video ,
and
proceed
with
your
question.

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Abneesh
Roy:

Thank you. Good morning. My two questions. First question is on the sensitive segment. So we
have
seen
another
company,
another

brand
being
the
leader
for
man y
years,
and
you
said
that
you
have
become
the
mark et
leader
here.
So
if
you
could
tell
us,
was
there
some
promotion-led
intensity
which
has
helped?
So

is

this

sustainable?

Second, the other leader was very strong in the chemistry channel, and they had a very strong relationship

with

the

doctors

and

the

decision

makers.

So

because

you

are

ramped

up

on

the

oral

campaign

in

terms

of

dentists,

has

that

helped?

And

last

sub-question

to

this

first
ques tion
is,
because
you
have
launched
so
man y
products
and
the
compe titor
in
sensitiv e
does
not
have
so
man y
products
is
that
helping
you
in
some
way
that
you
are
able
to

capture

the

overall

mindshare

in

terms

of

being

a

more

effective

toothpaste?

That

is

the

first

question.

Prabha

Narasimhan:

Do

you

want

to

tell

me

your

second

question

as

well,

Abneesh,

or

do

you

want

to

--?

Abneesh

Roy:

Yes,

second

ques tion,

I

think

everyone

will

be

having

that

at

the

top

of

the

mind.

Compe titive

intensity

in

toothpas te

is

very

high,

you

have

taken

the

MRP
price
hikes,
but
still
at
the
net
pricing
that
is
almost
going
away.
And
we
have
seen
other
company's
also
comment
in
Q4
call
that
promotional
intensity
is
very
high.
With
promotional

intensity
being
so
high,
the
only
winner
is
the
customer ,
while
all
our
companies
are
losing
out
in
terms
of
volumes,
pricing ,
and
even
margins.
Who
will
blink
first
and
when
does
it

happen?

You

being

the

mark et

leader

have

had

that

kind

of

a

burden

on

the

shoulder s,

so

when

do

you

see

the

promotional

intensity

coming

back

to

normal

levels?

Prabha

Narasimhan:

Okay.

Maybe

I
will

take

the

first

one

and

I
will

let

Jacob

handle

the

second

one.

So

on

the

first

one,

I
think
my

comment

was

really

in

the

space

of,

given

that

the

oral
health
of
this
country
is
a
little
bit
challeng ed,
there
is
opportunity
for
us
to
build
a
therapeutic
segmen t,
actually .
So
it
was
more
than
sensitivity ,
it
was
more
about
all
the

various
oral
care
problems
that
people
could
have
and
the
solutions
that
are
being
built
for
them.
Our
focus
in
this
area
is
actually
to
drive
gum
health.
And
it
goes
back
to

the
fact
that
of
the
people
who
have
oral
health
issues,
46%
of
them
are
actually
led
by
gum
health
issues.
And
our
effort
here
will
be
to
have
a
full
portf olio
that

is
across
toothpaste,
mouth wash,
toothbrush,
and
any
other
adjuncts
that
may
be
relevant
at
a
slightly
future
point
in
time
that
will
allow
us
to
have
a
full
portfolio
to
address
this
concern.

From a partnership with the profession perspective, we have been in this country for 87 years.

They

have

been

staunchly

our

partners

for

87

years.

I

sincerely

hope

that

it

will

continue

for

the

next

87

years.

I

think

initiatives

like

the

oral

health

movement

only

go

further
in
cemen ting
that
partner ship.
We
are
exceptionally
grateful

to
them
for
giving
their
time
so
unstintingly
across
50,000-plus
dentists
to
do
these
oral
health
check ups.

We also have a very strong partner ship with the IDA, that has been a longs tanding
partner ship.

And
they
continue
to
partner

with

us

as

far

as

this

whole

oral

health

movemen t

and

our

compan y

is

concerned.

And

we

have

a

very

strong

professional

oral

health

team

that

actually

goes

out

into

the

mark et

every

day
to
ensur e
that
we
once
again
keep
building
on
this
relationship.
So
my
confidence
in
our
ability
to
main tain,
sustain,
and
build
this
partner ship
actually
is
exceptionally
high
regardless
of
wha t
other

brands
and
other
companies
are
doing
in
the
market.

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Abneesh
Roy:

Yes, a very quick follow-up on what Prabha said. So in terms of the oral health campaign, this is

something
which
Colgate
has
been
doing
for
many
years,
this

time

we

saw

a

much

more

aggressiv e

avatar

of

that.

Given

the

number s

are

muted,

how

do

we

measur e

that

it

has

worked?

Because

you

have

done

this

earlier

man y

years,

but

this

time

the

Dentist

Connect

and

QR

code,

all

those

were

there.

As

an

analy st,

how

do

we

judg e

it

has

worked?

Prabha

Narasimhan:

So, I think you need to take a look at wha t is the intent of the compan y, because we could be here

for

the

immedia te

short -term

gain

of

some

of

these
actions
and
perhaps
we
would
drive
them
differently.
I
think
the
difference
for
us
is
that
when
we
say
our
mission
is
to
improve
the
oral
health
of
the
country,
we
genuinely

mean

it.

And

that

is

for

us

a

much

long er-term,

much

more

consis tent,

and

much

more

commit ted

effort

than

the

in-be tween

a

quart er

here

or

there

kind

of

activity .

So

the

way

I

judg e
success
of
this
activity ,
and
I
then
leave
it
to
you
how
you
judg e
the
success
of
the
activity ,
is
for
us
to
see
wha t's
the
level
of
traction
that
we
are

getting
from
consumer s
in
terms
of
are
they
interested
in
knowing
about
their
oral
health?
Wha t
are
the
follow-up
ques tions
that
we
are
getting?
Wha t's
the
engagemen t
that
we
are
getting?
And
we

have
been
actually
very
positiv ely
surprised
by
the
interest.

I
mean,
4.5
million
is
the
number .

Behind
that
4.5
million
is
an
awful
lot
of
interest
that
sits
under
it.

And then the second judg e is, for me, are they willing to take action to help themselv es to
get
to

better

oral

health?

And

again,

we

are

seeing

green

shoots

there.

Do

I

expect

that

the

oral

health

movemen t

will

move

quart erly

number s

in

the

short

run?

The

answer

is

no.

But

equally ,

is
it
the
right
thing
for
us
to
do
to
deliv er
our
mission?
100%
yes.
Abneesh

Roy:

Thank s. We can move to the second ques tion in terms of promotional intensity .
M.S. Jacob:
Yes. So we did increase our promotional spending during the last FY. We do have specific
objectiv es

when
we
increase
our
promotional
spending ,
it
could
be
tied
to
driving
distribution,

it
could
be
sales
gain,
and
that's
net
incremental
net
of
cannibalization.

So,
we
do
track
all
this
closely .

We
believe,
temporarily,
there
could
be
a
bit
of
up
and
down.

But
in

the
long er
run,
this
would
be
about
the
brand.

The
consumer
needs
to
come
to
a
store,
ask
for
your
specific
brands.

And
it's
for
us
to
mak e
sure
we
are
offering
the

innovation

they

are

looking

for,

our

communication

is

superior ,

our

product

is

superior .

So

as

you

heard

in

the

last

little

while,

we

are

investing

behind

all

this

and

driving

that

brand

superiority

messaging

through

the

system.

And

as

this

builds

up,

the

trade

piece

is

going

to

be

a

tempor ary

piece,

we

would

think.

And

it

will

finally

default

to

people,

their

preference

for

the

brand,
because
they
really
like
it
at
the
right
price
point,
it
offers
the
efficacy
they
are
looking

for.

Moderator:

Thank you. We will take the next audio question from Amit from UBS. Please go ahead.

Amit Sachdeva:

Yes. Hi. Thank you so much for taking my question. Prabha, I just wanted to ask on the competition

bit.

Clearly,

the
premium
side
has
done
very
well.
The
Colgate

relaunch

is

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growing 4x of the category growth. And sensitivity and other things have also done exceptionally

well,

which

means

that

the

mass

end

is

the

problem.

And

when

you

allude

to

competition,

can

I

sort

of
infer
from
it
that
the
mass
end
or
Colgate
Strong
Teeth
variant
is
where
you
see
significant
decline,
actually ,
in
the
portfolio?
And
that's
where
the
competition
concern
is
coming
from,
and

if
this
under standing
is
correct?
Because
I
see
other
number s
of
other
companies
are
not
impr essiv e
at
all.
And
so
when
the
compe tition
is
rising
and
impacting
you,
how
do
we
sort
of

read

this?

To

which

segment?

And

when

we

see

outlook

of

it,

how

do

you

sort

of

see

it

in

the

coming

quarters

as

well?

That's

one

bit.

Prabha

Narasimhan:

I think you are absolutely right. And maybe I can break up the India market for you into the three

parts

that
we
are
seeing
and
how
the
three
parts
are
beha ving
quite
differently.
So
first,
there
is
of
course
the
urban
and
rural.
And
I
think
mos t
companies,
us
included,
over
the
last

little

while

have

called

out

the

fact

that

there

is

buoyancy

in

rural,

it

continues

to

do

well,

it

continues

to

outpace

urban.

And

if

you

recall,

I

think

a

year,

year-and-a-half

ago

this
was
not
the
case.
And
so
this
is
a
chang e
that
has
happened
over
the
last
little
while,
wher e
rural
continues
to
be
resilien t,
we
see
volume
and
value
growth
in
rural,

and
it
is
driven
by
our
core
brands,
because
those
are
really
the
large
brands
that
play
in
rural
India.
We
are
also
lucky
to
have
an
over-indexed
competitive
position
in
rural
India

versus

urban

India.

So

there

is

an

opportunity

there

for

us

and

an

opportunity

that

we

are

leveraging.

Second, if I come to urban India, at an aggregate level, urban India is slowing. And you saw the

data

on

the

slides

in

terms

of

market

growth

and

the

trajectory

of

market

growth,

which

has

been

on

the

decline.

But

if

I

break

up

urban

India

into

two

parts,

which

is

maybe

the

top

30%

and

the

bottom

70%,

the

top

30%

continues

to

be

exceptionally

resilient

as

far

as

FMC G

is

concerned.

And

I

think

as

far

as

Colgate

is

concerned,

the

portfolio

of

premium

products

that

we

have,

whether

it

is

Colgate

Total,

whether

it

is

Visible

White,

whether

it

is

Visible

White

Purple,

or

the

newly

launched

Max

Fresh

Sensorial

or

the

therapeutic

range,

all

of

these

have

tremendous

traction

with

this

audience.

And

as

a

result

of

which,
I
talked
about
the
growth
of
Colgate
Total,
where
actually
our
entire
premium
portfolio
grows
very
rapidly .
And
therefore,
the
traction
that
we
are
seeing
with
this
top
30%
is
very
heartening ,

very

good

for

us

from

the

medium-term.

And

of

course,

very

good

for

consumers

who

are

choosing

the

right

science-backed

products

to

help

them

with

their

oral

health.

Where the problem actually sits in the last little while, and it's not a phenomenon that is unique

to

this

quarter,

has
been
the
bottom
70%
of
urban
India.
We
are
seeing
that
they
are
under
pressur e.
And
that
pressur e
i
s
leading
to
an
impact
on
oral
health
volumes
as
much
as
it
is

leading
to
impact
on
various
other
category
FMC G
volumes.
So,
between
these
three,
that's
where
our
growth
sits.
Two
of
them
continue
to
do
very
well.
One
of
them
has
had
a
bit

of
a
wobble
in
the
last
little
while.

But again, if you see structurally, and you see all of the macro indicators and the interventions

that
are
coming
in,
I
think
this
is
something
that
is
quite
temporary.

And
so
to
your
question
of
what
is
our
perspective

of
the
outlook
going
forward,
I
think
the
outlook
going
forward
is
that
this
70%
of
urban
will
also
pick
up.
The
30%
of
urban
anyway
is
resilient.
Rural
continues
to
look
like

a
real
brigh t
spot.
So
we
see
this
getting
sequen tially
better,
and
particularly
towards
the
back
half
of
this
year.

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Amit Sachde va:
Sure. That's very help ful, Prabha, for breaking this up. I just wanted to ask about the
compe tition

bit.

I
think
wha t
you
alluded
to
is
largely
macr o
on
the
urban
mass,
which
continues
to
be
very
weak.
How
do
we
sort
of
relate
it
back
to
the
compe titio n
commen t
that
you

made,
that
competition
has
also
impacted
performance
this
quarter?
When
you
call
it
out
specifically.
And
I
am
sort
of
curious
at
which
part
of
the
segment,
and
is
the
competition
receding ,
intensifying?

And

how

do

we

mak e

sense

of

it?

And

relating

back

to

wha t

should

be

the

outlook

for,

say,

next

two

quart ers?

You

said

the

first

half

could

be

still

weak

and

the

second

half

could

be

better.

It

would

be

great

to

have

some

guidance

around

how,

and

especially

related

back

to

margins

as

well.

Margin

this

quarter

was

very

high,

should

we

expect

this

margin

to

continue?

And/ or

just

kindly

help

us

under stand

how

investors

should

actually

look

at

these

two

dynamics

playing

out.

Prabha

Narasimhan:

I think, firstly, if I take a look at our commen t on compe titive intensity , it links to the commen ts

that

Jacob

was

making

in

terms

of

how

much

money

competition

is

spending ,

largely

driven

by

trade.

And

that's

what

we

mean

by

competitive

intensity

and

our

need

to

be

competitive.

And

that

is

actually

slightly

newer

than

the

stuff

earlier .

But

other wise,
when
you
think
about
it,
has
compe titive
intensity
always
been
high?
Yes,
in
terms
of
advertising ,
in
terms
of
the
work
that
they
do,
that
continues.
We
are
not
seeing
a
big

change
in
that
kind
of
competitive
intensity .
What
we
are
seeing
or
what
we
did
see
to
which
we
have
responded,
which
is
why
the
comment,
is
the
competitive
intensity
in
trade.
I

think
two
things
will
happen.
One,
everybody
will
titrate
to
a
level
that
makes
sense
for
their
business
and
allows
them
to
optimize
obviously
between
being
competitive
and
their
top-line
growth.
And
the

second

is,

some

of

this

will

anniversarize

very

soon.

And

therefore,

the

impact

on

the

P&L

diminishes

over

a

period

of

time.

So

between

these

two,

I

am

less

worried

about

it.

It

was
called
out
because
it
is
an
aberration
from
the
baseline
progress.

I am going to make one very quick high level comment on margins and then I am going to hand

it
over
to
Jacob
to
give
you
maybe
a
little
bit
more
detail.
We
continue
to
be
a
very

high
margin,
high
EBITDA
company.
We
have
always
suggested
that
our
range
of
EBITDA
would
be
in
the
low
30s,
and
that's
really
where
we
think
we
will
operate,
plus/minus
a
little
bit

here

or

there

depending

on

the

quarter.

We

think

the

intrinsic

strength

of

the

brand

allows

us

to

operate

there

and

allows

us

to

make

sure

that

we

are

doing

this

while

we

support

the

brand

at

optimum

levels.

And

so

that's

really

our

construct.

We have outstanding funding the growth program, which looks at every non-value adding cost

that

we

have.

And

on

average,

in

any

given

year

we

get

about

5%

of

our

net

sales

being

taken
out
of
the
system
as
non- value
adding ,
which
is
really
help ful
and
which
is
wha t
actually
help s
us
to
keep
the
margins
at
the
level
that
we
are
at.
In
fact,
Jacob

will
speak
about
this.
Our
price
growth
over
the
last
little
while
has
actually
been
quite
muted.
It's
not
pricing
that's
driving
this
margin,
it's
actually
efficiency
that's
driving
this
margin.

M.S. Jacob:

Yes. To add to that, we will continue to invest behind our products. As you heard earlier, we have

enhanced

the

quality

and

efficacy

of

our

products.

We

just

relaunched

our

Strong

Teeth,

which

is

a

flagship

sub-brand.

And

we

have

upgraded

the

other

products

over

the

last

couple

of

years.

And

we
will
continue
to
look
for
opportunities
to
take
it
to
the
next
level.
So,

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those are all going to be cost-effective, but we will look to cover it through the efficiencies that

Prabha

mentioned.

And

at

the

same

time,
there
would
be
some
level
of
pricing
that
will
be
coming
through.
But
net
of
it,
we
expect
to
be
in
the
range
of
wha t
you
are
seeing
over
the
last
year

or

so.

Amit Sachdeva:

Great. Thank you so much, Jacob. But just one last bit on, since you mentioned that comparative

spends

and

the

trade,

is

it

specific

to

a

particular

channel,

like

quick

commerce

or

something?

Or

is

it

pervasive

across

DT

as

well?

And

given

that,

I

was

just

hearing

a

news

flow,

I

do

not

know

how

relevant

or

how

signific ant

that

is,

but

there

was

some

sort

of

random

news

flow

on

Mahar ashtra

Distribut or

Union,

kind

of

making

some

noise

about

price

discrimination

in

the

various

channels

and

they

are

unhappy

about

it.

And

is

there

some

resolution

to

it

or

is

it

just

a

sort

of

random

news

flow

that

comes

in
and
there's
no
truth
to
it?
So
if
you
can
comment
on
that
situation
as
well.
Maybe
I
am
just
relating
back
two
and
two
together,
maybe
they
are
not,
but
if

you

can

just

sort

of

clarif y

that

bit?

Prabha

Narasimhan:

To the first ques tion on wher e the trade investmen t is going , actually the trade investmen t is going

more

in

gener al

trade.

Gener al

trade

continues

to

be

about

three

quart ers

of

this

mark et;

and

without

gener al

trade,

there

is

actually
no
business.
So
if
you
see
any
number
move
at
a
company
level,
it
will
be
driven
by
general
trade
as
it
is
for
us.
Just
because
you
mentioned
e-commerce
and
quick

commerce
and
all
of
this,
I
think
we
need
to
keep
in
perspective
that
while
the
channel
grows,
it
is
still
a
very
small
percentage
of
our
business.
E-commerce
is
about
5%
to

6%

of

our

business.

We

continue

to

look

to

drive

a

portfolio

in

e-commerce

that

is

new,

different,

and

premium.

Max

Fresh

Sensorials

being

the

comment.

And to your specific question on the distributors, we are really fortunate as Colgate, we have a

2,000

strong

distributor

network,

many

of

whom

have

been

with

us

for

many,

many

years.

And

actually

similar

to

the

relationship

with

dentists,

we

pride

ourselves

on

the

quality

of

the

relationship

that

we

have

with

these

distributors

across

the
country.
And
there
is
always
dialogue
in
terms
of
how
we
can
ensur e
that
we
grow
their
business
as
much
as
we
grow
our
business.
And
it's
an
utterly
symbiotic
relationship,
and

that

continues

to

be

the

case.

Moder ator:

Thank you. We will take the next text ques tion from Arnab Mitr a from Goldman Sachs. And the

ques tion

is,

wha t

is

the

outlook

for

gross

and

EBITD A

margins

for

FY

'26?

Do

you

bene fit

from

lower

input

cost?

Or

will

the

high

competitive

intensity

lead

to

some

headwinds?

As

a

company,

do

you

want

to

further

enhance

EBITDA

margins

from

the

current

32%

to

33%

plus

levels?

M.S. Jacob:

Yes. Arnab, I think we did touch on this question in the last little while. So as we mentioned, our

priority

would

be

doing

the

right
things
to
deliv er
top-line
growth,
both
as
a
categ
ory
level
and
also
for
us
as
a
compan y.
We
will
do
all
the
right
things
requir ed,
making
sure
we
are
compe titive
in

trade,
our
products
are
superior ,
our
communication
is
superior
and
it's
at
the
right
level.
So
all
those
things
are
going
to
be
critical.
So
we
are
not
targeting
any
particular
level
of

gross
margin
or
EBITDA
increase.
It
will
be
a
result
of
doing
all
the
right

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things. And our objective would be to drive that top-line, both volume and value, and what is

required

to

deliver

that.

So,

I

wouldn't

give

guidance

on

any

particular

level

at

this

point.

Moderator:

Thank you. The next question is from Jai Doshi from Kotak. And the questions are, we have witnessed

significant

discounts

on

MT

or

e-commerce

platforms,

how

are

you

managing

channel

conflicts

between

GT

and

emerging

channels?

And

the

second

one
is,
wha t
was
the
contribution
of
premiumiz ation
mix
to
value
growth
in
FY
2025?
And
wha t
could
be
the
contribution
of
premiumiz ation
of
your
revenue
CAGR
over
the
next
two
years
to

three

years?

Prabha

Narasimhan:

So

on

the

first

one,

on

MT

and

e-comm

pricing ,

actually

there

are

two

or

three

things

that

we

are

looking

to

do

or

we

continuously

do.

Firstly,

to

ensur e
that
there
is
a
degr ee
of
parity
pricing
across
all
of
the
channels,
because
it's
import ant
for
us
that
all
of
the
channels
grow,
and
wher ever
the
consumer
goes
she
gets
the

right

price

for

the

right

product.

The

second

thing

I

think

is

that

there

is

a

significant

opportunity

for

us

in

modern

trade

and

e-commerce

to

move

consumers

to

the

more

premium

products

and
the
more
premium
part
of
our
portf olio,
and
we
have
started
making
a
signific ant
difference
over
there.
Over
half
our
portf olio
now
in
e-commer ce
is
the
entire
premium
range,
as
opposed
to

our
core
business,
which
is
the
bulk
of
our
general
trade
business.

So
the
combina tion
of
these
two
things,
which
is
the
right
portf olio
in
the
right
channel,
and
then
of
course
the

right
pricing
across
the
channels,
is
how
we
intend
to
manage
this,
because
genuinely
there
is
an
opportunity
for
every
single
channel
to
drive
growth.
And
only
when
every
single
channel
drives
growth,

we
as
a
company
get
the
maximum
benefit
of
driving
overall
growth.

I think to the second question, we tend not to comment on the share of premiumization, but more

what
we
expect
that
premium
would
grow
at.

You
would
recall
that
in
previous
conversations

I
have
talked
about

how

premium

should

be

at

least

2x

faster

than

the

rest

of

our

portf olio.

That

was

at

a

time

wher e

mark et

growth

was

looking

really

positiv e

and

quite

high.

Now

that

the

mark et

growth
is
slowing ,
actually
we
continue
to
hold
our
premium
growths
and
therefore
the
target
is
for
it
to
be
4x,
which
is
really
wha t
we
are
currently
deliv ering ,
and
we
expect
that

we
will
only
acceler ate
this
more
and
more
as
we
go
through
the
year.
Jacob,
you
want
to
build
on
this?
Moder ator:

Thank you. The next text ques tion is from Priyank Chheda from Vallum Capit al. And the ques tion

is,
pricing
mix
growth
for
FY
'25
was
missing

despite

premiumization

focus

for

the

full

year.

What

is

the

mix

improvement

on

total

price

growth

expected

ahead?

M.S.

Jacob:

So on price growth, as we mentioned, we have been investing in trade for the last year or so, so

that

has

impacted

the

pricing

growth.

Going

forward,

as

I

mentioned,

we

will

continue

to

invest

behind

brand

superiority ,

sup

erior

communic ation.

And

we

do

expect

it

will

continue

to

be

quite

intense

out

there,

but

we

expect

it

will

kind

of

stabiliz e

a

bit.

We
cannot
call
out
a
number ,
but
we
do
expect
going
forward
pricing
will
be
a
componen t
of
the
sales
growth.

Moder ator:

Ther e are multiple ques tions around this area, the ques tion is to under stand volume growth
for

the
recen t
quart er?

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2025

M.S.

Jacob:

In terms of volume growth, as we mentioned, our pricing did not contribute to it. So we actually

had

slightly

negative

pricing ,

so

volume

was

flat

in

the

last

quarter.

Moderator:

Thank you. We will take the next audio question which will be the last question for today from

Disha

Seth

from

Anvil.

Please

go

ahead.

Disha Seth:

Good morning , sir. Sir, we wanted to check that in the press release you mentioned that there

is

lower

urban

demand,

does

that

mean

that

the

customer s

have

down-tr aded

themselv es

like

from

a

Colg ate

Total

to

a

normal

Colg ate?

Has

that

impact ed

our

sales?

And

yes,

we

can

go

ahead

with

that

ques tion

and

then

I

will

add

the

second

ques tion.

Prabha

Narasimhan:

I think we are not actually seeing down-trading in the market. And the reason for the slowing

volume

growth,

our

under standing

is,

actually

consumer s

titrate

the

amoun t

of

toothpas te

that

they

use.

So

it's

neither

that

consumer s

drop

out

of

the

category.

So

the

overall

pene tration

of

the

toothpas te

category

remains

at

its

near

univ ersal

level,

it

does

not

wobble.

Consumer s

do

not

stop

buying

toothpas te.

Consumer s

do

not

stop

using

toothpaste.

And maybe I can remind you of some of the stats that we have in this country, which is that 80%

of

urban

India

brushes

their

teeth

only

once

a

day

and

50%

of

rural

India

brushes

daily .

And

therefore,

the

way

to

adjust

how

much

you

spend

on

this
category
is
actually
by
adjusting
how
much
toothpaste
you
put
on
your
tube.
And
therefore,
the
titration
downwards
of
that
usage
is
what
leads
to
a
decline
in
volume.
It's
not
consumers

either
stepping
down
brands
or
in
terms
of
stepping
out
of
the
category.
Neither
of
those
are
we
seeing.
And
certainly ,
stepping
out
of
the
category
usually
does
not
happen
either .

Disha Seth:

So you are saying that, so what I understand is, you are saying that people are using less

paste

on

the

brush

rather

than

anything

else,

correct?

Prabha

Narasimhan:

Yes, they just titrate their usage in a given period of time and make a given SKU last a little bit

longer.

Disha

Seth:

Longer, okay. And second, in terms of competition, when you said the other competitors are giving

more

trade

or

more

dealer

margin

and

everything ,

but

we

have

a

higher

mind

recall.

So
why
would
a
customer
go
to
any
other
brand
than
a
Colgate
when
we
have
a
higher
mind
recall?
The
dealer
pushing
shouldn't
affect
the
brand
sales,
when
we
are
investing
so

much

on

a

brand.

Or

correct

me

if

my

under standing

is

wrong,

please?

Prabha

Narasimhan:

So, I think nothing is ever about the black and white, right? Colgate is by far the single strongest

brand

in

the

oral

health

category,

for

sure.

However,

when

consumers

go

to

buy

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2025

products, not all 100% of them are asking for the brand by name. So to give you an example, when

a
Rs.
10
consumer
or
a
consumer
who
wants
to
buy
a
Rs.
10
SKU
goes
to
a
store
and
asks,
85%
of
the

time

they

will

tell

you

the

brand

that

they

want

to

buy.

So

give

me

a

Colgate

Strong

Teeth,

Rs.

10.

So

they

know

the

brand,

the

Colgate

Strong

Teeth

Rs.10

then

gets

handed

over.

In

the

remaining

15%

of

the

time,

the

consumer

says,

give

me

a

Rs.

10

toothpaste.

And

therefore,

for

you

to

be

the

most

attractive

Rs.

10

toothpaste

at

that

moment

is
actually
quite
important.
And
attractiveness
is
a
combination
of
both
your
rate
as
well
as
the
velocity
of
your
product.
And
that's
the
combination
that
gets
managed
to
make
sure
that
we

hold
the
kind
of
levels
of
distribution
that
we
are
lucky
to
enjoy
given
the
strength
of
our
brand.
So
it's
a
little
bit
a
combina tion
of
having
a
strong
brand
and
driving

the
branded
purchase,
which
we
do
a
really
good
job
of.
And
making
sure
that
in
the
minority
cases
where
the
brand
is
not
mentioned,
that
it
is
as
advantageous
for
trade
to

give

your

brand

as

any

other .

Moder ator:

Thank you. Ladies and gentlemen, we will now conclude the ques tion-and-ans wer session. I now

hand

the

conference

back

to

Ms.

Prabha

Narasimha

for

closing

commen ts.

Thank

you,

and

over

to

you,

ma'am.

Prabha

Narasimhan:

Thank you all for joining us this morning. We look forward to seeing you six mon ths from now.

Thank

you

again

for

your

time.

Moderator:

Thank you, members of the management. We now conclude today's Colgate-Palmolive analysts

conference

meeting.

And

we

thank

you

all

for

your

participation.

Thank

you.

Page

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of

17

Call: May 2026

May

28,

2026

The

Secretary

BSE

Limited

P.J.Towers-

25

th

floor

Dalal

Street

Mumbai-

400001

Scrip

Code:

500830

The

Manager

—

Listing

Department

National

Stock

Exchange

of

India

Limited

Symbol:

COLPAL

Exchange

Plaza,

C-1,

Block

–

G

Series:

EQ

Bandra

–

Kurla

Complex

Bandra

(East),

Mumbai

400

051

Dear

Sir(s),

Sub:

Investor/Analyst

Meet

-

Transcript

In

terms

of

Regulation

30

of

the

SEBI

(Listing
Obligations
and
Disclosure
Requirements)
Regulations,
2015,
please
find
enclosed
the
transcript
of
the
Analyst
conference
call
for
financial
results
for
the
fourth
quarter
and
financial
year
ended
March
31,
2026
held
on

May
22,
2026.

The
aforesaid
transcript
is
also
available
on
the
website
of
the
Company
at
the
link
mentioned
below:

<https://www.colgateinvestors.co.in/presentation-to-analyst/presentation-details-2026>

Kindly
take
the
same
on
record.
Thanking
you,
Yours

Sincerely,

For

Colgate-Palmolive

(India)

Limited

Jaikishan

Shah

Company

Secretary

and

Compliance

Officer

Membership

No:

A34948

Encl:

a/a

M
ANAGEMENT
:

M
S
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P
RABHA

N
ARASIMHAN

—

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ANAGING

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AND

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XECUTIVE

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-P
ALMOLIVE

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HIEF

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C
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-P
ALMOLIVE

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May

22,

2026

Moderator: Ladies and gentlemen, good day and welcome to the Colgate-Palmolive India Ltd.

Analyst

Conference

Call

for

the

Financial

Year

2025-26.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity

for

you

to

ask

questions

after

the

presentation

concludes.

At

that

time,

participants

on

the

webcast

may

click

on

the

Ask

a

Video

Ques tion,

which

will

be

enabled

belo w

the

media

player.

Alterna tively,

you

may

also

post

your

ques tions

on

the

Ask

a

Ques tion

tab

available

on

your

screen.

Participan ts

connect ed

via

telephone

may

enter

"1"

and

"1"

on

their

phone

to

ask

their

ques tion.

I

now

hand

over

the

proceedings

to

Ms.

Neethi

Nair

—

Director

(Commer cial,

Finance

&

Investor

Relations)

at

Colg ate-Palmoliv e

India

Limit ed.

Thank

you,

and
over
to
you,
ma'am.
Neethi
Nair:

Thank you, Rutuja. Everyone and welcome to the Colgate-Palmolive India Analyst Meet for the

year
ended
31st
March
2026.

We
have
here
today
with
us
Ms.
Prabha
Narasimhan

—
MD
and
CEO
of
our
organization
and
Mr.
M.

S.

Jacob

–

CFO.

We

will

start

the

session

with

a

brief

presen tation

from

Prabha

and

Jacob.

This

will

take

appr oxima tely

40

minut es

and

then

we

will

open

up

for

Q&A .

Before

we

start,

I

would

like

to

point

out

that

some

of

the

statements

made

in

today's

meeting

may

be

forward-looking

and

a

disclaimer

to

that

effect

has

been

included

in

the

presentation.

I

would

now

request

Prabha

to

share

her

thoughts.

Thank

you

and

over

to

you,

Prabha.

Prabha Narasimhan:

Thank you very much, Neethi. Good evening , everyone and thank you for joining us at this
Colgate-Palmolive

(India)

Analyst

Conference

Call

on

this

May,

Friday

evening.

I

want

to

start

with

a

quick

summary

of
what
Jacob
and
I
will
cover
over
the
next
little
while.

Here's the picture of our current business:
We have seen over the last quarter a significant acceleration in net sales growth for Q4, our domestic

growth
now
at
9.2%.
We
continue
to
be
focused
on
the
key
pillar
of
this
category.
We
are
the

bulk
of
this
Oral
Care
category,
and
we
continue
to
be
focused
on
driving
consump tion.

Our margin profile remains resilien t and superior to peer s and a sour ce of great strength for us.

We
continue
to
invest
behind
the
best-in-class
oral
health
technology .

Through
this
year,
we
have
invested

across

our

entire

Core

portf olio

as

well

as

a

whole

slew

of

new

products

in

the

Premium

portf olio.

We have acceler ated investmen ts behind Premiumiz ation and that's giving us some incredible

joy,

and

we

are

particularly

seeing

a

lot

of

elasticity

on

advertising

on

the

Premium

portf olio.

And

we

have

a

strong

founda tion

in

place

to

drive

consis tent

long-t erm

Page

2

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20

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May

22,

2026

growth and as we enter the Calendar Year 2026, we feel a renewed sense of optimism and confidence

in

terms

of

wha t

this

business

can

deliv er.

So,

this

is

the

agenda

for

today.

We will talk briefly about the performance, recap our strategy which I hope is familiar to mos t

of

you,

then

get

into

the

financial

performance

which

Jacob

will

cover,

finally

ending

with

a

quick

summar y.

So, starting with the perf ormance:

For the quart er, we have deliv ered a top line of Rs. 1,583 crores which represen ts a 9% year-on-year

growth.

Our

domes tic

growth
was
sligh tly
ahead
of
this
at
9.2%.
We
have
seen
broad-based
growth
across
all
parts
of
our
portf olio,
Core
and
Premium,
Toothpas te,
Toothbrush,
as
well
as
Personal
Care.
Gross
margins
continue
to

be

strong

at

69.6%

and

EBITD A

margins

continue

to

be

absolut ely

best

in

class

at

a

shade

over

32%.

The

number

belo w

that,

which

is

our

brand

investmen ts,

just

a

shade

under

Rs.

200

crores

represents

a

significant

step

up

from

the

same

quarter

the

previous

year

at

10%

increased

investment.

And

like

I

have

mentioned

earlier ,

this

is

something

that

we

are

seeing

significant

elasticity

behind.

Profitability ,

therefore,

NPAT

is

at

Rs.

353

crores.

And

without

the

one-of f,

growth

of

NPAT

is

in

line

with

the

growth

of

the

overall

top

line.

If you take a look at the full year, the number s look a little bit more muted. As you would remember ,

we

have

had

a

couple

of
tough
quarters
in
the
previous
calendar
year.

So,
the
overall
year
is
flat.

The
margin
performance
remains
roughly
in
line
with
what
you
are
seeing
for
Q4.

And
profitability
also
remains
slightly

challeng ed

given

that

the

top

line

growth

has

been

flat.

We

are,

however,

seeing

a

signific ant

step

up

in

the

second

half

of

the

financial

year

over

the

first

half,

the

second

half

growing

at

shade

over

5%.

The key thing which drives our business is obviously the strength of the brand Colgate. And we

are

really

happy

to

see

that

we

are

continuing

to

have

either

stable

or

slightly

increasing

brand

health

across

all

the

key

measures

that

we

track,

which

is:

Top-Of -Mind Awareness – when you think of Toothpaste, what is the first brand that comes to

mind

is

that

number .

Dentists Recommend – Our partnership with the profession spans almost the entire nine decades

that

we

have

been

in

this

country

and

continues

to

be

a

great

source

of

pride

and

strength

for

us.

And

we

build

upon

this
relationship
year-on-year
and
so
seeing
consumer s
respond
to
our
brand
as
being
the
leading
dentist-recommended
brand
is
very
heart ening.

And Oral Care Expertise – Ther e is no Compan y on this plane t that spends more mone y on Oral

Care
resear ch
than
Colg ate.
And
therefore,
the
best
“
Oral
Care
Expert ”

being
endorsed
at
85%
by
consumers
is
therefore
not
surprising.

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2026

One of the things that during this quarter we have doubled down on to continue to build on the
exceptionally
strong
Colgate
brand
is
really
to
amplify
our
brand

love.

For

nine

decades,

Colgate

has

led

the

Oral

Care

category

in

this

country.

It

is

our

mission

to

help

every

single

Indian

have

better

oral

health.

And

to

that

end,

we

have

a
brand-ne w
advertising
idea,
which
is
really
about
real
people
telling
us
the
real
stories
which
have
real
impact
behind
their
real
smiles.
And
instead
of
my
laboring
the
poin t,
I
am
going

to
play
a
couple
of
the
most
recent
films.
Colgate
Brand
Love
films.

The two outstanding examples of how there is always Colgate behind every smile.
Before I move into the Company's strategy, I want to just talk briefly about what's actually
happening

in
the
market.
The
last
time
we
spoke,
we
were
having
a
conversation
about
how
the
rural
markets

were

significantly

outpacing

the

urban

markets

and

actually

continuing

to

rise,

while

urban

markets,

particularly

at

the

bottom

half

of

the

pyramid,

were

continuing

to

see

pressure.

That

has

changed

over

the

last

little
while.
And
if
you
look
at
the
green
line
on
the
right
side
of
the
screen,
you
will
see
that
the
urban
markets
are
now
beginning
to
pick
up
in
terms
of

growth,
while
there
is
a
sligh t
slowdown
in
rural,
the
two
of
them
beginning
to
converge.
We
do
expect
that
the
urban
mark ets
will
continue
to
see
a
little
bit
of
growth
coming

as
they
do
off
a
relatively
soft
base.
And
we
do
expect
that
rural,
while
it
will
grow
faster
than
urban,
will
continue
to
be
maybe
not
as
much
ahead
as
it
was

through
the
whole
of
2025.
Net-net,
the
overall
market
is
flat-to-increasing.
And
in
this
year,
given
the
impact
of
GST
on
pricing
from
September-October
of
last
year,
we
really
do
need
to
take

a
continuous
look
at
volume
growth
because
the
value
growth
pickup
that
you
get
in
Nielsen
will
be
quite
distorted,
given
that
MRP
pricing
has
actually
gone
down.

In this context of what's happening in the market, our strategy remains absolutely consistent.

Our
first
pillar

always

has

been,

it

is

our

accountability ,

it's

our

responsibility ,

and

actually

it's

our

privilege

to

lead

the

growth

of

the

Toothpaste

category

and

to

drive

consumption,

and

doing

that

by

driving

our

Core

brands.

Our

second

pillar

is

to

transforma tively

acceler ate

Oral

Care

Premiumiz ation.

And

this

has

actually

seen

a

step

chang e

since

the

last

time

that

we

were

here

having

this

conversation.

The

third

one

is

for

us

to

continue

to

lead

category

growth

and

win

in

Toothbrushes.

And

of

course,

the

fourth

one

is

to

continue

to

build

the

little

jewel

in

our

crown,

which

is

Palmolive

and

the

Personal

Care

business.

And

all

of

these

are

underpinned

by

the

enablers

that

you

see

below,

and

we

will

talk

through

all

of

them.

Starting first with leading Toothpaste category growth:

Our first pillar, our first joy, "Driving Consumption" and we do this across a whole slew of activities.

The

first

one

being

the
"Brigh t
Smiles,
Brigh t
Future"
pro
gram.
Now
in
its
fifth
decade,
we
have
reached
over
a
crore
childr en
just
in
the
Year
of
2025,
across
10
states,
80
districts,
and
more
than
35,000

schools.

This

program,

since

its

inception,

has

actually

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20

Colgate-Palmolive

(India)

Limited

May

22,

2026

touched about 190 million children. It remains the absolute cornerstone of what we do in order

to

drive

consumption,

because

teaching

children

the

habit

of

how

to

brush,

when

to
brush,
and
good
habits
in
terms
of
the
replacemen t
of
your
Toothbrush,
and
avoiding
tobacc o
becomes
really
import ant
when
you
do
it
in
their
founda tion
years.

The area wher e we have stepped up beyond BSBF is governmen t partner ship. We now have tie-up s

with
eigh t
states,
and

we
are
working
with
the
governmen t,
including
the
health
minis try,
to
see
how
we
can
mak e
oral
health
a
national
policy
priority .
Oral
health
educ ation,
of
course,
comes
from
caregivers
and
teacher s.
And

to
that
extent,
we
have
tied
up
with
the
National
Nursing
Associa tion,
or
the
Trained
Nurses
Associa tion
of
India,
the
(TNAI)
that
you
see
on
the
slide
there,
school
teacher s
across
these
35,000-plus

schools

that

we

reach,

and

in

certain

states,

working

with

Anganwadi

workers

to

mak e

sure

that

we

can

reach

out

to

the

mos t

vulner able

with

the

right

Oral

Care

educ ation.

As I men tioned earlier , the profession has always been a key part of wha t we do, and partner ship

with

them

is
one
more
privilege
that
we
have.
We
continue
the
work
that
we
started
with
the
oral
health
movement
by
now
having
a
dentist
appear
on
every
single
pack
of
ours,
and
the

opportunity

for

any

consumer

who

buys

any

pack

or

actually

who

scans

the

QR

code

to

get

an

absolut ely

“Free

Dental

Check up”

.

This

is

now

appearing

across

500

million

pack s,

and

we

have
already ,
as
we
speak,
it's
only
been
in
the
mark et
six
to
eigh t
weeks,
we
already
have
close
to
a
million
people
who
have
availed
of
this.
And
the
more
we
can

get
consumer s
to
think
proactiv ely
about
their
oral
health,
and
the
more
we
build
their
partner ship
with
dentists,
the
more
we
deliv er
to
our
mission,
and
the
more
we
deliv er
towards
driving
the

category.

The second thing that we have done is to take a long , hard look at wha t we can do in terms of

“

Driving

Rural

Consump tion

”

and

we

have

done

a

pilot

in

Uttar

Pradesh

wher e

we

have

taken

multiple

interventions,

including

wall

pain tings,

very

local

wall

pain tings

that

use

the

people

in

that
particular
village,
street
plays,
as
well
as
our
BSBF
program.
And
in
combination
of
these
four,
tried
different
initiatives
to
see
what
gives
us
the
best
outcome.
And
what
we
found
out

of
this
is
that
we
are
significantly
able
to
move
attitude
by
about
7%,
get
7%
delta
in
terms
of
people
brushing
once,
and
a
significant
delta
in
terms
of
claimed
brushing
twice.

And
wha t's
interesting
is
that
while
these
are
claimed
results,
and
only
some
of
it
will
transla te
into
beha vior,
as
we
all
know
the
best
intentions
don't
always
transla te
into
action.
The
more

we
do
this,
the
more
we
think
that
this
will
actually
become
part
of
the
daily
life
of
everybody .
And
this
becomes
another
pillar
that
we
will
use
through
this
year
in
order

to

drive

consumption

in

rural

India.

I move then to the second part of the first pillar of our strategy,

which is really to grow competitively

on

the

Core,

starting

with

our

flagship

brand,

Colgate

Strong

Teeth.

At

about

roughly

this

time,

or

slightly

earlier

this

time

last

year,

we

relaunched

Colgate

Strong

Teeth

with

our

best

ever

formula tion,

a

formula tion

that

was

compe tition

beating

across

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everybody that we tested against. And this product continues to be powered by arginine plus

calcium

boos t,

which

now

has

a

clinic al

performance

against

it,

which

I

will

talk

about

briefly.

We

then

revamped

the

concep t

going

back

to

wha t

was

our

heartland

concep t

and

the

space

on

which

Colg ate

Dental

Cream,

as

it

was

called,

was

built,

which

is

really

“
Superior

Cavity

Prot ection
” ,

and

“
24

Hours

Cavity

Prot ection
” .

And

we

now

have

this

running

across

both

urban

and

rural

India

with

a

bespok e

film

for
urban
India,
which
talks
about
a
young
child
who's
talking
about
the
cavities
that
he
has,
and
then
a
rural
film,
which
is
much
harder
and
much
more
single-minded.
And
I
would

like

to

play

both

of

those

for

you

in

just

one

minute.

Before I go there, "Clinical Superiority" is something that we pride ourselves on. We have recently

done

a

test

of

Colgate

Strong

Teeth

versus

another

commonly

available

Toothpaste

in

India.

And

what

we

find,

as

you

look

at

the

graph

on

the

right

side,

is

that

Strong

Teeth

is

8.5x

more

effective

at

re-mineralizing ,

which

is

really

what

prevents

you

from

getting

cavities

and

building

the

strength

of

your

enamel

than

the

competition.

This

is

like

hot

off

the

press

new

information

that

we

have

just

received.

And

this

is

something

that

we

intend

to

take

forward

in

the

market

very,

very

soon.

Colgate

Strong

Teeth

Film.

Doubling down on the idea that Colgate Strong Teeth is really the first and last word in cavity protection,

the

partner

of

the

mother

as

she

seeks

to

protect

her

children

from

cavities

and

the

pain

that

they

cause.

I

am

moving

from

our

biggest

brand

to

our

second

biggest

brand,

which

is

“

Colgate

Max

Fresh

”.

I

would

have

mentioned

in

the

past

that

this

has

been

our

fastest

growing

franchise

in

the

last

few

years.

It

continues
to
be
our
fastest
growing
franchise,
underpinned
by
two
very
strong
things.
Firstly,
a
superior
product.
And
secondly ,
a
differentiated
offering
in
terms
of
the
only
brand
in
the
country
that
actually

has
cooling
crystals,
which
drive
this
freshness
deliv ery.
This
year,
it's
summer .
It's
been
one
of
the
hottest
summer s
that
the
country
has
experienced.
And
therefore,
a
great
opportunity
for
us
to
leverage

the
blue
version
of
Colgate
Max
Fresh,
equating
the
blue
to
being
significantly
fresher
delivery,
which
it
actually
is
even
in
consumer
testing.
Colgate
Maxfresh
Film.

And with all of this, the superiority that we have on our Core brands, it's not surprising that the
consideration
for
all
of
our

sub-brands

continues

to

be

either

flat

or

increasing

from

their

original

levels.

I move now to the second pillar, which is where it says "Transformatively Accelerate Oral Care

Premiumization

.

And

this

is

perhaps

where

the

largest

transformation

of

what

we

have

done

over

the

last

little

while

has

happened.

And

I

am

going

to

start

by

talking

about

Colg ate

Total.

Colg ate

Total

is

the

mos t

patented

Toothpas te

brand

in

the

world.

It

has

advanced

technology

powered

by

“

Dual

Zinc

and
Arginine”
and
sits
on
the
platform
of
active
prevention
that
solves
dental
problems.
We
have
attempted
to
put
Colgate
Total
into
popular
culture
by
linking
it
to
the
fact
that
“
Better
Oral

Health

Deliv ered

by

Colg ate

Total

Gives

You

Peak

Performance
”.

This

is

actually

an

idea

that

was

coined

by

Hansi

Flick

,

who

is

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the coach of Barcelona, who made every one of his players take an Oral Care test. Because some times

when

you

are

at

peak

performance,

the

little

margin

of

difference

between

you

and

the

next

person

can

be

the

difference

between

winning

and

losing.

We

have

taken

that

idea,

brought t

it
to
life
by
one
of
the
mos t
credible
sports
people
in
India,
which
is
Rahul
Dravid,
and
then
taken
that
on
to
being
used
in
the
IPL.
Hard
work
and
the
prevention

of
dental
problems
seems
like
a
really
good
combina tion.
Colgat e
Total
Film

I move from Colg ate Total to our other key Premium brand, which is really Colg ate Visible Whit e.

As
you
would
know,
Colg ate
pioneer ed
the
whit ening
segmen t
in
India
a
few
years
ago,
starting
with
the
Visible

White
base.
We
then
added
Visible
White
Purple
about
18
months
ago
to
stupendous
success.
This
has
been
by
far
Colgate's
most
successful
innovation
in
the
history
of
Colgate.
An
outstanding
product
which

is
differentiated
and
sits
in
a
niche
space
where
42%
of
Indians
actually
want
whiter
teeth.
And
a
category
segment
that
is
growing
4x
faster
than
the
overall
Toothpaste
category.
The
idea
of

Colgate

Visible

White

Purple

is

actually

very,

very

simple.

Sitting

on

the

color

wheel

,

Purple

Cancels

Yellow,

Giving

You

Whiter

Teeth

.

A

really

simple

idea

brought

to

life

by

two

of

India's

biggest
beauty
arbiters,
“
Kriti
Sanon
and
Abhishek
Sharma
”,
who
both
tell
you
why
Visible
White
is
part
of
their
routine.
And
again,
like
with
Colgate
Total,
this
has
been
taken
to
larger

than

just

one

television

asse t.

It

goes

across

digit al

in

man y,

man y

different

ways,

making

sure

that

we

are

reaching

across

almos t

the

entire

popula tion

of

SEC

A,

B

consumer s

in

India.

And

the
bulk
of
the
incremental
investment
that
you
see
on
advertising
has
actually
gone
behind
these
two
brands.
Colgate
Visible
White
Film

Between these two brands, there have been about 600 million impressions reached just in this

quarter
alone,
about
1.2
billion
impressions
across
both
of
these

brands

with

over

hundreds

of

creators

working

on

them

and

giving

their

interpretation

of

this

idea.

The third leg to our Premium portfolio is really our therapeutics portfolio driven by PerioGuard.

Unfortunately,

60%

of

Indians

suffer

from

some

form

of

gum

problems.

Only

about

3%

of

them

actually

treat

it.

And

while

man y

people

imagine

that

bleeding

gums

or

swollen

gums

are

actually

normal,

actually

they

are

not

and

they

do

requir e

treatmen t.

And

the

PerioGar d

gum

system

sits

squar ely

in

this

need

space,

working

with

the

profession

to

mak e

sure

that

we

are

getting

incremen tal

prescrip tions

for

seeing

and

then

treating

the

gum

problem.

We

have

an

entire

regimen

under

PerioGar d,

which
includes
a
Toothpaste,
a
Mouth wash,
and
a
Toothbrush,
all
of
which
are
doing
really
well.
And
this
franchise
actually
is
doubling
year-on-year.
The
PerioGuard
brand
has
also
been
recently
recognized
by
the

“
Indian
Society
of
Periodontology
”.

Quite
a
mouthful,
but
really
the
experts
who
are
on
gum
care
in
India.

And
now
this
brand
carries
the
seal
of
that
society
as
the
answer
to

better

gum

health.

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Moving from Toothpaste to Toothbrush:

A significant growth opportunity in India. We play across the entire spectrum of value tier, mid-tier ,

Premium

tier,

and

kids.

Toothpaste

represents

a

significant

growth

opportunity

because

on

average,

the

urban

consumer

replaces

his

or

her

Toothbrush

once

in

six

mon ths.

Rural

consumer s

replace

their

Toothbrush

as

slowly

as

once

in

15

mon ths.

And

a

new

Toothbrush

cleans

95%

better

than

an

old,

frayed,

flared

Toothbrush.

So,
a
significant
opportunity
for
us
both
to
get
incremental
consumption
of
Toothbrushes
as
we
nudge
people
to
replace
their
Toothbrush.
And
as
you
can
see
from
the
price
ladder ,
Toothbrushes
start
all

the
way
from
Rs.
10
and
go
up
to
Rs.
350
a
pack
or
Rs.
200
roughly
per
handle,
making
it
a
significant
opportunity
for
expansion
and
driving
people
up
the
value
pyramid.

And what we do in this space, we make sure that we have absolutely the best offering in starting

from

the

value

tier,

which

is

the

bottom

of

the

pyramid.

Over

here,

we

are

by

far

the

market

leader ,

1.7x

our

nearest

competitor.

In

the

Premium

segment,

we

have

launched

a

series

of

new

brushes,

including

two

ranges

of

brushes

on

Colgate

Total,

a

Base

Range

and

a

Premium

Range

on

Colgate

Total.

As

discussed,

we

have

a

PerioGuard

brush.

We

have

a

sensitiv e

brush.

We

have

a

full

range

of

brushes

that

sit

here,

and

we

are

seeing

signific ant

growth

in

this

segmen t.

And

of

course,

if

whit ening

as

a

segmen t

is

growing

in

Toothpas te,

there

is

most

definitely

an

opportunity

for

whitening

as

a

brush

segment.

So,

we

have

a

visible

white

brush

that

complexes

the

regimen

of

the

visible

white

paste

and

a

more

mass tige

brush

that

is

“

Brilliant

Star

”.

In addition to this, we also have seen opportunities by de-a veraging India and seeing
whe ther

there

are

pock ets

of

opportunity

for

a

harder

bristle

full

head

brush

in

some

parts

of

the

country,

and

the

fact

that

there

was

an

opportunity

for

a
Rs.
10
brush
in
other
parts
of
the
country
wher e
consumer s
were
looking
for
an
entry
price
poin t
that
was
lower
than
anything
else
that
we
had.
GST
provided
us
a
real

opportunity

to

mak e

sure

that

we

could

do

the

Rs.

10

brush,

and

we

have

capitalized

on

it.

The last pillar , building Personal Care and the Little Mini Jewel that we have called "Palmoliv e".

As

we

have

men tioned

before,

the

focus

of

Palmoliv e

is

to

play

in

Hand

Wash

and

Body

Wash.

In

the

Body

Wash

category,

we

have

had

a

signific ant

inno vation

last

year

through

the

“

Momen ts

Range

”,

which

talks

about

driving

wakefulness

when

you

want

to

be

awake,
sleep
when
you
want
sleep,
and
ener gy
when
you
want
ener gy.
Our
foaming
Hand
Washes
continue
to
be
the
absolut e
Premium
Hand
Wash
and
growing
very,
very
strongly
across
the
entire
portf olio

at
double
digit
across
channels.
For
Body
Wash,
we
are
also
seeing
an
opportunity
to
be
significantly
more
digital
first
in
this
year,
and
we
have
a
partnership
that
will
allow
us
to

take
this
in
a
more
digital
first
way
to
consumer s
,
so
watch
this
space
as
far
as
Palmolive
is
concerned.

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I am moving now from the strategy pillar s to the enabler s. Starting with the one that
perhap s

underpins
the
resur gent
performance
of
the
Compan y,
which
is
driving
superiority
across
product
and
pack aging.

Our products are now 100% superior to compe tition across the core, so every single brand has

a
formula tion
that
is
superior
to
its
eyeball
compe tition
as
decided
by
consumer s,
not
as
decided

by
technic al
testing.
We
are
also
superior
on
all
our
key
offerings
in
the
Toothbrush
category,
and
similarly
across
all
of
our
pack aging ,
so
from
a
strength
of
mix
perspectiv e,
this
is
the

strongest

that

we

have

ever

been.

All

our

products

are

underpinned

by

best

in

class

science,

whether

it

be

the

Colgate

strong

teeth

offering ,

which

is

underpinned

by

arginine

plus

calcium

boost,

which

is
like
we
showed
you
the
clinics,
the
“
best
in
cavity
protection
”,
or
it
is
the
“Ultra-Freeze
Technology ”
of
Max
Fresh,
or
the
“
Zinc
Citrate
Plus
Fluoride
Technology ”
of
the
PerioGuard
bundle

that
works
for
your
gum.

And we have futur e forward inno vations that we have put in this year, using the opportunity
of

the
digit al
shelv es

to
mak e
sure

that
we
can
mak e
brushing

for
kids
more

fun
through
the

“
Kids
Squee zy
”

and
making
mouth wash,

which
we
were

hearing
from
consumer s
is
quite
an
on-the-g o
need,
or
an
in-of fice
need,
putting
the
sticks
out
there
that
can
be
carried
in
a
purse
or
kept
in
a
drawer,
or
go
with
you

on-the-go.

Not

stopping

there,

we

are

very

excited

about

our

next

innovation

in

this

area.

“

Harry

Potter”

is

one

of

those

things

that

cuts

across

kids

and

adults,

and

seeing

a

real

resurgence

with
the
new
cereal
that's
planned.
So,
we
have
a
Harry
Potter
range
that's
going
to
hit
shelves
very,
very
soon,
so
this
is
a
sneak
peek,
not
yet
available.
A
“
Magical

Clean

for

Witches,

Wizards,

and

Muggles

”

I

love

that

line.

And

we

have

the

extension

of

the

“

Max

Fresh

Sensorials”

range,

which

you

will

recall

have

the

rainbo w

varian t

and

the

watermelon

varian t

now

also

have

a

berr y

varian t,

all

powered

by

the

ultra-freeze

technology

that

defines

Max

Fresh.

And all of this great inno vation, great pack aging , great product, great advertising really needs

to

work

by

making

sure

that

we

are

getting

it

to

mark et

and

to

shelv es

every
single
day.
And
therefore,
an
update
on
our
execution.
Our
execution
has
always
been
exceptionally
strong.
We
reached
1.7
million
outlets
directly .
We
added
2
lakh
more
stores
to
our
overall
reach

in
2025.
Distribution
inventory
continues
to
be
exceptionally
well-manag ed,
and
we
actually
keep
decr easing
it
as
we
get
more
efficien t
and
as
forecasting
gets
more
efficien t,
allowing
us
to
mak e
sure
that
we

are

not

having

inventory

just

lying

around

with

our

distributors.

The “Smile Store Program”, which has been running now for a shade over three years, is the single

engine

that

powers

our

assortment,

telling

us

what

SKU,

what

store,

at

what

frequency ,

and

is

really

doing

well

to

make

sure
that
we
are
driving
assortmen t
constantly,
and
the
who
le
Smile
Store
algorithm
being
aided
now
by
AI
to
get
even
stronger
and
even
more
predictiv e.

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From a modern trade perspective, we have enhanced planograms where our share of the shelf

is

working

significantly

harder

to

drive

competitive

growth

for

us.

Visibility

has

been

stepped

up,

and

the

quality

of

our

visibility

now

mirrors

the

quality

of

the

overall

pack aging

design,

and

we

are

expanding

our

promot er

footprin t

consis tently

quart er

on

quart er.

Some impr essions of wha t our premium Toothpas tes look like as they get taken to mark et,
and

even

if

we

look

back

over

the

last

three

years,

we

feel

like

there

has

been

a

step

chang e

in

this

and

a

step

chang e

in

how

attractiv e

the

brand

look s

at

the

momen t

of

truth,

which

is

on

the

shelf .

And

it's

not

just

the

physical

shelf;

it's

also

the
digit al
shelf
wher e
we
have
made
a
signific ant
difference.
Our
product
content
has
got
signific antly
more
desir able,
our
advertising
has
got
signific antly
more
desir able,
and
our
placemen t
has
got
signific antly
more
appr opria te.

And I think all of these are combining to make sure that e-commerce as a channel is growth-accrutive,

margin-accrutive,

share-accrutive,

premiumization-accrutive

for

us,

which

is

absolutely

fantastic

because

as

e-commerce

grows,

we

tend

to

do

better

and

better,

especially

on

our

premium

portfolio.

And

of

course,

no

conversation

these

days

would
be
complete
without
talking
about
data
and
AI.
We
are
partners
with
Google
globally ,
and
we
have
the
entire
suite
of
Google
AI
technology
available
to
every
single
person
in
this
organization,

right

up

and

down

and

in

a

hugely

democratic

way,

and

using

this

to

drive

“

Effectiveness,

Efficiency ,

And

Capability ”.

We are building capability . I think everybody is learning. It's an exciting space. We are doing a

lot

of

effort

to

make

sure

that

we

are

building

capability .

Of

course,
everybody
realiz es
that
if
you
are
not
using
it
and
you
are
not
figuring
out
AI,
then
you
are
going
to
be
a
fossil
or
a
dinosaur
very
soon.
So,
we
have

a
near
universal
adoption
of
AI
within
the
company.
We
have,
as
with
everybody
else,
a
lot
of
agents.
We
are
spending
time
using
AI
to
reduce
our
time
to
market
in
terms

of
us
under standing
consumer s,
the
product
that
gets
created,
the
prototyping ,
and
then
those
prototypes
hitting
the
mark et.
And
that
entire
process
is
getting
much
short er.
And
from
an
impact
perspectiv e,
we
are

also

able

to

make

what

used

to

be

fairly

drudg e

processes

like

artw orks,

etc.,

signific antly

faster

and

signific antly

more

error-free.

A couple of examples.

Our plan ts now get tracked automa tically by the digit al twin, wher e there is a twin that runs alongside

the

main

plan t

and

allows

us

to

be

proactiv e

in

terms

of
our
actions
and
also
make
sure
that
efficiency
and
throughput
remain
at
the
top
of
the
pile.
And
RGM,
this
is
a
real
aid
in
helping
us
on
making
sure
that
we

are
getting
pack
price
architecture,
the
utility
of
our
gross
to
net
or
trade
spends.
All
of
these
now
get
analyzed
on
a
much
more
frequent
basis.
And
the
reams
of
data
that

exist

can

be

utiliz ed

much

better.

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And like I told you, using it for inno vation allows us to harness the power of the entire interne t

and

all

of

the

things

that

we

are

reading

and

seeing

to

short en

both

the
time
cycle
to
innovation
and
improve
the
quality
of
what
we
deliver.
And
then,
of
course,
underpinning
all
of
this
is
the
people
who
work
for
this
organization.
I
have
been
here

at
Shade
over
three
years,
and
I
truly
believe
that
people
are
one
of
the
absolute
strengths
of
this
organization,
both
in
terms
of
the
capability
that
they
have
and
the
culture
that

has
been
built
over
the
nine
decades
that
this
organization
has
existed.
And
we
are
continuing
to
build
capability
as
a
competitive
advantage.
We
have
functional
academies
which
are
building
technical
expertise
up

and
down
the
organization,
whether
it
is
sales,
whether
it's
our
professional
field
force,
whether
it
is
supply
chain,
it
doesn't
matter.
You
name
the
function;
we
have
a
functional
academy.

We are helping our leaders grow into being bigger and better leaders as all of us have
learned

to

get
to
leader ship
positions.
Key
strategic
priorities,
including
omni-demand
gener ation,
the
profession,
and
AI
become
like
peak
poin ts
for
driving
capability
building.
And
we
have
the
best
partner s
to
work
with,
whe ther
it's

Whart on

or

IIM

Ahmedabad

or

INSE AD

to

ensur e

that

the

right

people

are

actually

making

sure

that

our

teams

are

futur e

ready .

And

this

is

married

with

the

fact

that

we

are,

in

gener al,
a
very
caring
cultur e
and
driving
well-being
and
best-in-class
practices
that
allow
us
to
be
inclusiv e
as
an
organization
is
really
in
our
DNA
and
some thing
that
we
continue
to
do.

With that, I am going to hand it over to Jacob to talk through the financial performance.

M.S. Jacob:

Good evening , everybody . Our basic financial model stays the same, deliv ering oper ating profits.

And

this

will

be

deliv ered

through

driving

top-line

growth,

both

sales

and

volumes,

and

leveraging

our

best-in-class

margin

profile,

optimizing

overheads,

and

investing

in

brands

to

deliv er

this

top-line

growth.

You saw the results that came out a little while ago. Quart er 4, we are up 9% at Rs. 1,583 crores.

Here,

it's

Rs.

5,984

crores,

which

is

flat.

Margin

69.6%

for

the

quarter,

69.3%

for

the

full

year.

Shade

lower

than

the

prior

periods,

but

still

industry-leading

margins.

Advertising

at

12.6

in

Q4.

And
you
saw
in
Prabha's
slides,
it's
up
10%
in
absolute
terms.
Full
year,
13.7%.

And
we
are
seeing
good
elasticity
on
the
investments.

We
are
moving
to
premium.

And we should continue to see this will be the trend. In terms of profitability , excluding the one-of fs,

which
is

really
the
restructuring
cost,
the
cost
on
GST,
the
tax
refunds
in
the
prior
periods,
and
the
labor
code
costs.
So,
excluding
that,
we
are
up
9%
and
for
the
full
year,
down.

The
GST
IDS
impact
will
be
an
ongoing
thing
and
will
come
through
every
quart er.
Margin
profile,
as
I
men tioned,
continues
to
be
best
in
class.
And
despit e
all
the
headwinds
of
commodity

and
currency ,
we
continue
to
deliv er
very
good
margins.

And
this
has
be
en

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achie ved through the Funding the Growth Program, which is a program which seek s to find
efficiencies

in
the
cost.

Procur emen t
and
manuf acturing
leads

this
area,
but
we
continue
to
leverage
automa tion
initia tives
and
find
local
sour cing
opportunities.

All
this,
we
reinvest
in
product
superiority .

And
you
also
hear d
the
re-launches
we
have
made.

All
our
products

now

are

vastly

superior

than

they

were

even

a

few

years

back.

In terms of top line, we adopt what we call a revenue growth management strategy. So, this is

about

strategic

pricing ,

affluent

and

premiumization.

In

fact,

the

premiumization

mix

is

up

35%

over

the

past

two

years.

And
this
is
about
driving
penetration

in
price
point
packs.

And
to
the
right,
you
can
see
we
are
now
offering

more
value,

16
grams

to

20

grams,

for

the

Rs.

10

strong

teeth

pack.

And

in

Max

Fresh,

we

have

gone

from

17

grams

to

20

grams.

And the last pillar on revenue growth management is efficient promotional spend. And we continue

to

use

AI

to

analyze

spending

and

the

responses

and

get

more

efficiencies

in

that

area.

Brand

investmen t,

as

I

men tioned,

10%

up

in

Q4-26.

And

a

lot

of

it

is

growing

behind

the

premium

sub-br ands

like

Total

and

Visible

Whit e.

At

the

same

time,

Core

continues

to

receiv e

a

fair

share

of

media

support.

Operating profit: EBITDA margin for the full year, FY'25-26, is 31.2%. And it includes an 80-bps

impact

from

the

GST

IDS

impact.

And

for

the

quarter,

32.2%.

And

this

also

includes

the

160

bps

of

the

IDS

impact.

So,

these

are

definitely

industry-leading

margins.

And

despite

the

headwinds

we

are

seeing

and

the

currency

challenges,

we

continue

to

expect

we

will

deliver

very

good

levels

of

gross

margin,

while

EBITDA

will

be

calibrated

depending

on

the
advertising
support
and
the
response
we
are
getting
on
that
spending.

Enhancing shareholder value: Cash is an area we continue to do well. So, despite the profitability

challenges
and
the
working
capital
blocked
in
GST
last
year,
our
cash-in
was
much
better
than
the
prior
years,

as
you
see,
Rs.
1,806
crores.
Our
return
on
capital
emplo yed
continues
to
be
at
very
high
levels,
121%.
And
we
have
today
declar ed
the
second
interim
dividend,
which
takes
it
to
about

RS.
48,
and
follows
our
strategy
of
paying
out
virtually
100%
of
the
NPAT
as
dividend.

Lastly,
a
slide
on
ESG.

So, on recyclable tubes, we moved from the 80% you have seen last year to now fully on recyclable

tubes.

And
the
last
of
the
small
tubes
have
also
moved

into
recyclable
tubes.
And
we
are
offering
this
technology
free
to
anybody
who
would
want
to
use
this.
In
terms
of
renewable
energy,
we
have
also
moved
from
40%
to
60%.
And
this

is
an
area
we
will
continue
to
progress
going
forward.
In
terms
of
BSBF ,
the
school's
program
and
initia ting
them
into
dental
awareness,
at
an
early
age,
we
have
covered
11
million
kids.

Plastic
neutrality,
which
is
the
plastic
waste
management
piece,
we
are
at
101%.

And
in
terms
of
recyclable,
reusable,
and
compostable
packaging ,
we
are
at
95%.

Water
positive
now
at
a
country

level.

We

have

also

replenished

water

at

460

million

liters

since

full

year

2019.

And

all

our

plans

continue

to

be

zero

waste

certified.

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With that, I hand it over to Prabha for the summary.
Prabha

Narasimhan:

So, just briefly, I want to keep the summary fairly simple. Our focus continues to be to build category

consumption

and

therefore

drive

volume

on

our

core,

driving

premiumization.

We

are

seeing

a

lot

of

joy

in

doing

this.

And

that

continues

to

be

a

large

focus.

Steadfast

focus

on

strong

governance

and

value

creation.

That

is

like

the

corner stone

of

this

organization

and

something

that

we

value

and

will

remain

the

focus.

We

are

seeing

significant

elasticity

on

stepped
up
investmen t
and
we
intend
to
continue
to
step
up
investmen t
to
further
drive
growth.
Thank
you
very
much
for
your
attention.

With that, we would be happ y to take any ques tions that you may have.
Moder ator:

Thank
you
very
much.
We
will
now
begin
the

ques tion

and

answer

session.

Anyone

who

wishes

to

ask

a

ques tion

on

webcast

may

click

on

the

ask

a

video

ques tion,

which

will

be

enabled

belo w

the

media

player.

Alterna tively,

you

may

also

post

your

ques tions

on

the

ask

a

ques tion

tab

available

on

your

screen.

Participan ts

connect ed

via

telephone

may

enter

a

star

and

one

on

their

phone

to

ask

their

ques tions.

Ladies

and

gentlemen,

we

will

wait

for

a

moment

while

the

question

queue

assemblies.

The first question is from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.
Abneesh

Roy:

Yes,

thanks

and

congrats

on

good

recovery.

I

have

two

questions.

My

first

question

is

when

the

analyst

meet

had
happened,
say
around
six
quarters
back,
you
were
doing
a
big
pilot
project
of
connecting
with
the
dentist
where
the
QR
code
was
put
wherein
customers
could
connect
to
the
local
dentist.

If
you
could
update
us
how
that
has
helped
with
the
premiumization
in
terms
of
growth,
etc.,
because
all
this
happens
with
some
level
of
lag.
And
related
question
is
on
the
B2B

sales

to

the

dentist

in

terms

of

the

specializ ed

product.

If

there

is

some

upda te

you

can

shar e

in

the

last

few

years,

how

is

the

movemen t?

That

is

the

first

ques tion.

Prabha

Narasimhan:

Firstly,

hi.

It's

nice

to

hear

from

you

again.

Talking

about

the

oral

health

movemen t

project,

which

you

are

referencing ,

which

we

did

about

six

quart ers

ago,

that

project

actually

was

a

tremendous

success.

We

spent

significant

money

behind

it

and

got

four

and

a

half

million

people

in

India

to

take

the

scan.

Our

estimate

is

about

20%

of

those

consumers

actually

went

to

the
dentist.
Almost
a
million
people
went
to
the
dentist.
When
you
think
about
the
fact
that
only
9%
of
India
goes
to
the
dentist,
this
is
actually
quite
a
significant
number
in

terms
of
the
movemen t.
A
real
win-win
partner ship
between
us
and
the
dentist
and
the
consumer
because
the
consumer
gets
better
oral
health,
the
dentist
gets
more
patients,
and
for
us
better
oral

health
is
absolut ely
a
win.
And
this
is
why
we
are
doing
that
project
again
this
time,
the
oral
health
movemen t.

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The dentists come in a sligh tly different forma t because one of the pieces of feedback that
we

got
from
consumer s
was
that
not
everybody
lives
within
their
ability
to
travel
to
a
dentist
in
their
vicinity .
And
therefore,
we
have
used
technology
to
mak e
the
dentist
visit
virtual.
So,
now

the
500
million
pack s
that
I
talked
about
that
carry
the
QR
code
allow
you
to
scan
it
and
set
up
an
absolut ely
free
dentist
appoin tmen t.

And again, we are grateful to the 50-odd thousand dentists and the Indian Dental
Associa tion

for
partnering
with
us
to
ensur e

that

they

so

generously

give

their

time

to

do

these

consultations.

How

does

this

help

us?

Firstly,

4.5

million

people

have

entrusted

us

with

high-quality

data

on

what

is

their

oral

health,

what's

the
kind
of
indic ations
that
they
could
potentially
have,
along
with
wha t
are
their
lifestyle
habits
that
impact
that
oral
health,
whe ther
it
be
tea,
coffee,
consump tion,
and
stains,
or
it
be
their

having
diabetes
or
not
having
diabetes,
et
cetera.
So,
this
data
has
been
invaluable
to
us
in
terms
of
the
products
that
we
create
in
terms
of
how
we
use
this
data
to

create
look alike
audiences
that
we
can
then
target
in
terms
of
solving
for
the
issues
or
building
on
the
opportunities
that
they
have.
And
that's
exactly
why
we
are
repeating
the
program
as

we

speak.

In

terms

of

the

sales

to

the

profession,

that

channel

is

doing

exceptionally

well.

We grow on average over a two-year CAGR of close to 50-60%. We have feet on the street now

of

about

a

shade

over

150

people,

and

we

do

intend

to

augment

that

field

force.

And

again,

that

channel

help s

us.

Of

course,

it

does

B2B

sales,

but

that's

just

one

part

of

it.

It

help s

us

to

cemen t

our

relationship

with

the

dentist.

It

enables

the

two-way
dialogue
between
us
and
the
dentist
in
terms
of
wha t's
new
and
wha t's
inno vation
and
wha t
have
we
learned
in
the
oral
care
world
while
we
learn
from
the
dentist
wha t
is

happening

with

patients

in

India

and

what

is

the

need

where

we

could

perhaps

plug.

So,

a

really

critical

channel

for

us,

relatively

small,

growing

very

rapidly ,

really

critical,

and

something

that

we

intend

to

double

down

on

as

we

mak e

the

entire

therapeutics

play

much

bigger.

Abneesh

Roy:

Thank s.

My

second

ques tion

has

two

subparts.

One

is

your

Visible

Whit e

Toothpas te,

really

very

inno vative

product,

indus try-first

product

clearly .

Now

we

are

seeing

compe titors

launch

an

extremely

similar

kind

of

product,

which

look s

almos t

like

a

Xerox

copy

in

terms

of

the

product

and

maybe

even

the

pack aging.

So,

does

that

expand

the

market?

And

how

has

your

product

done?

Second

subset

question

will

be,

there

have

been

a

few

D2C

companies,

startup

companies

in

the

toothpaste

and

broader

oral

care

space.

Any

learning

from

there?

Any

mark et

shar e

loss

which

has

happened

for

the

legacy

players?

And

is

that

a

long-t erm

threat

for

you

all?

Prabha

Narasimhan:

So,

thank s.

On

Visible

Whit e

Purple,

I

guess

imitation

is

the

best

form

of

flattery,

I

guess.

But

wha t

we

are

seeing

is

that

the

segmen t

is

expanding

quite

drama tically,

and

we

continue

to

be

the

absolut e,

like

massiv ely

lion's

share
of
that
segment.

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And we are not at the moment seeing a slowdown. In fact, we are seeing an acceleration in the
rate
of
growth
of
Visible
White
Purple
and
actually
the
overall
whitening
play
that
we
have.
From

a
D2C
perspective,
most
of
the
D2Cs
currently
are
still
small.
So,
are
we
seeing
any
share
loss?
No.
In
fact,
our
digital
share
continues
to
actually
improve,
and
our
shares
in
Quick

Commerce

actually

tend

to

be

ahead

of

our

shares

in

the

rest

of

e-commerce,

and

overall

e-commerce

tends

to

be

ahead

of

our

overall

business.

So,

we

tend

to

get

better

and

better

as

that

chain

evolves.

Moder ator: Thank you. The next ques tion is from the line of Mihir Shah from Nomur a Wealth.

Please

go

ahead.

Mihir Shah: Hi, thank you for taking my ques tion. My first ques tion is on the pricing growth. The

press

release

says

that

the

volume

and

pricing

were

balanced

for

the

fourth

quart er.

Wanted

to

under stand

when

the

price

hike

was

taken?

Was

it

at

the

beginning ,

middle,

or

the

end

of

the

quarter?

Also ,

it

seems

the

price

hikes

related

to

the

inflation

seen

post

the

West

Asia

crisis

have

yet

to

be

taken.

Can
you
share
what
is
the
inflation
that
you
are
seeing
due
to
this?
That's
my
first
question.

M.S. Jacob: Yes. So, the pricing that you are seeing , so first of all, the growth is balanced between

pricing
and
volume.

It's
almost
halfway.

And
all
the
pricing
is
the
pricing
we

have

taken

after

the

Q1

calendar

last

year.

So,

this

is

just

anniv ersary

pricing.

As

you

know,

post-GST,

we

haven't

taken

any

pricing.

And

this

is

all

old

pricing.

So,

in

terms

of

wha t

we

are

seeing

in

terms

of

inflation,

we

have

visibility

into

the

next

two

quart ers.

And

we

belie ve

margins

will

be

in

the

range.

Ther e

are

some

headwinds

in

terms

of

commodities

and
also
the
currency
coming
through.
But
the
funding ,
the
growth
program
is
deliv ering
good
savings.
And
we
are
also
getting
a
favorable
mix,
et
cetera.
So,
we
do
expect
it
would
be

in
the
range
in
the
next
two
quarters.
We
are
actively
assessing
pricing
opportunities.
And
we
do
expect,
we
have
actually
put
some
pricing
through.
And
it
should
be
coming
to
the
market

over
the
next
few
weeks.

Mihir Shah: Can you highlight the level of pricing that is expected in the next few weeks?
And

the
margin
range
you
mentioned
would
be
around
30-32%

over
the
next
two
quarters.

Would
that
be
a
fair
understanding?

M.S. Jacob: I need to correct that. The gross margin will continue to be in the range. So, the EBITDA

margin
will
be
a
factor

of
the
level
of
advertising.

And
we
have
been
alluding
to
that
through
our
presen tation

that
we
have
been
seeing
good
elasticity

to
the
increase
in
advertising.

And
so
that
piece
will
continue.

So,
12.6%
that
you
saw
in
Q4
is,
Q4
is
normally
the
lowest.
So,
we
would
see
a
step
up
from
those
levels.
And
so
that
would
start
eating
into
EBITD A.
But
gross

margins

would

stay

in

the

range

is

what

I

wanted

to

communicate.

And

the

second

question

is

pricing.

Different

categories

will

see

different

pricing.

Depends

on

the

cost

increases

we

are

seeing.

But

it
will
be
in
the
low
single
digit.

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Mihir Shah: Got it, clear . Secondly , on volumes, how should one think about volumes going forward?

As
the
base
quarters
going
forward
will
have,
would
have
seen
volume
decline.

Unlik e
4Q
wher e
the
base
quart er
was
flat
on
volumes.
So,
can
one
expect
optical
volume
growth
to
be
higher
going
forward?

M.S. Jacob: Our endea vor is to deliv er a balanced growth between volume and pricing. So,
similar

to
wha t
we
saw
in
Q4,
that's
the
kind

of
volume
we
are
looking
at
going
forward
to,
and
not
relying
on
pricing
as
much
as
we
have
probably
done
in
the
past.
But
also,
not
relying
too
much
on
volume
like

we
have
done
for
a
couple
of
years.
So,
a
balance
between
the
two
is
wha t
we
are
seeking
to
deliv er.
Got
it.

Prabha Narasimhan: I just wanted to add that as our premium mix gets larger and larger, we also

get
the
bene fit
of
the
mix
going
into
this

growth.

Mihir Shah: Got it, Prabha. That's clear . Thank you for that. And lastly, any thoughts around bringing

the

international

brands

or

subcategories

within

India,

any

work

around

that?

If

you

can

just

highlight

any

few

things

around

those.

Thanks.

That's

all

from

my

side.

Prabha Narasimhan: So, I can tell you that we are doing some work around taking a look at our

portfolio

and

what
would
be
relevant
for
this
market.
Nothing
that
we
can
share
at
this
moment
in
this
public
forum,
but
work
definitely
on.

Moderator: Thank you. The next question is a video question. It is from the line of Percy Panthaki.

Percy Panthaki: Yes. Hi, Prabha and team. Just wanted to understand when you talk about premium,

first
is
how
do
you
define

it
internally?
And
secondly ,
if
you
can
share
some
data
in
terms
of
what
was
the
contribution
of
premium,
let's
say,
a
couple
of
years
ago
and
what
it
stands
today
to
your

overall

sales?

Prabha

Narasimhan:

So,

we

define

premium

as

anything

that

is

over

the

130-140

price

index

to

our

base

and

really

in

brand

terms,

that

is

outside

of

Colgate

Active

Salt,

Max

Fresh,
Strong
Teeth
and
Cibac,
mos t
of
our
portf olio
or
almos t
entirely
all
of
our
portf olio
sits
in
premium.
The
growth
of
premium
has
been
actually
six
times
the
toothpas te
category
growth.
It

has
accelerated
to
double
the
growth
that
we
had
last
year.
And
if
you
remember
on
Jacob's
slide,
actually ,
the
contribution
has
increased
by
35%
over
the
two-year
period.
So,
on
any
measure

that
you
see,
premium
is
actually
accelerating.

The
rate
of
growth
of
premium
is
accelerating.

And
the
amount
of
money,
as
we
have
mentioned,
on
advertising
and
support
that
we
are
spending
on

this
portf olio
is
also
increasing.
And
our
feet
on
the
street
in
terms
of
building
a
therapeutic
business
are
also
increasing.
So,
this
is
a
critic al
pillar
of
our
strategy,
one
that
currently

is
giving
very,
very
good
results,
and
one
that
we
intend
to
double
down
on
absolutely.

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Percy Panthaki: So, sorry, premium is 35% of sales currently? Did I get that right?

Prabha Narasimhan: 35% delta over where we started two years ago.

Percy Panthaki: So, that's a 35% growth in that portfolio. Is that what you mean?

Prabha Narasimhan: It's a 35% increase in its contribution to our business.

Percy Panthaki: Okay. And roughly, what would be the premium contribution to business currently?

Would
you
be

able

to

share

that?

Prabha Narasimhan: We tend not to give the split up between all of our brands.

Percy Panthaki: Okay, understood. Secondly, I just wanted to understand in terms of the demand

environment,

how

is

that

panning

out

and

what

has

driven

this

sales

growth?

One

way

to

look

at

it

is,

of

course,

to

look

at

the

two-year

CAGR
growth,
because
there

are
base
effects.

If
I
look
at
the
two-year

CAGR
growth,
that
in

Q4
is
similar
to

what
we
saw
in
Q3.

So,
this
acceleration

that
we
are
seeing ,

is
it
just
a
base
effect
phenomenon?
Or
is
the
acceleration
here
to
stay?
And
if
it
is
here
to
stay,
is
it
on
account
of
some
changes
in
the
overall
consumption
environment?

Or
is
there
some
other
reason
for
that?

Prabha Narasimhan: If I break up your ques tion into two parts, we are feeling optimis tic
about

the
growth
that
we
are
seeing
in
our
business.

Ther e
are
two
or
three
key
fundamen tals
that
we
belie ve
have
chang ed
as
we
take

a
look
at
it.
The
first
one
is
the
performance
of
our
core
brand.
We
invested
behind
product
superiority
last
year
on
our
flagship
brand,
Strong
Teeth.
It
takes
time
for
consumer s
to

try
that
product
and
then
to
come
back
to
that
product
as
increased
retention
rates
and
increased
share
of
requirement,
which
is
what
we
are
seeing
now.
So,
that's
on
a
good,
strong

trajectory.

And

we

are

adding

households

to

Colgate's

Strong

Teeth,

which

really

augurs

well

as

a

lead

indicator

of

future

performance.

Max

Fresh

continues

to

be

exceptionally

strong,

the

fastest

growing

brand

in

the
portfolio,
continues
to
be
so,
and
accelerates
because
the
segment
itself
also
grows
quite
rapidly .
So,
that's
on
the
core.
And
then
like
we
have
discussed,
and
maybe
I
am
laboring
the

poin t,

but

we

are

excited

about

it,

so

let

me

labor

it.

Our

premium

brands

are

really

responding

to

the

inputs

that

have

been

given

to

those

premium

brands

in

terms

of

the

amount
of
money
on
media
and
the
way
that
that
media
has
been
deployed,
which
I
think
has
been
extremely
intelligent
in
terms
of
having
ideas
that
come
through
from
the
company
and

which
then
get
amplified
by
influencer s
and
key
opinion
leader s.
I
think
the
team
has
done
an
outs tanding
job
of
deliv ering
a
campaign
on
both
of
these
brands.
So,
these
are
the
two

big
things
that
have
shift ed,
giving
us
optimism
that
this
is
not
a
base
effect.

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Percy Panthaki: Right. And last quick question on EBITDA margins. For the full year, you have done

31.2%
this
year.
And
how

do

I

look

at,

I

know

there

will

be

quarterly

variations

on

ad

spends

and

all

that,

but

if

I

want

to

look

at

it

on

a

full

year

basis,

do

you

think

that
the
current
level
of
margin
is
healthy
enough?
Or
would
you
say
that
there
would
be
some
gradual
margin
expansion
on
this
base
as
well?
And
particularly
for
FY27,
keeping
in
mind

the
cost
inflation,
etc.,
and
more
generally
speaking
over
a
two,
three-year
period,
would
you
sort
of
build
in
a
margin
expansion
or
retain
at
these
levels?

M.S. Jacob: As I mentioned, gross margins, we will continue to keep pushing it with funding the
growth
program
and
getting
more

efficiencies

out.

EBITD A,

we

are

not

looking

at

any

particular

level

or

any

particular

level

of

expansion.

For

us,

as

I

men tioned,

we

are

seeing

good

response

to

the

step

up

in

advertising ,

and
that
would
be
a
key
variable.
So,
we
will
continue
to
calibr ate
between
top-line
growth
and
volume-driv en
top-line
growth,
which
would
be
a
huge
priority
and
which
will
also
be
supporting
premiumiz ation.

And
the
EBITD A.
So,
we
are
not
looking
to
specific ally
drive
a
percentage
EBITD A
here.
Top-line
growth
driven
by
volume
and
moving
the
absolut e
level
of
profit
would
be
the
key
priority .

Moder ator: Thank you. The next ques tion is a video ques tion, which is from the line of Harit

Kapoor .

Harit

Kapoor:

Hi,

good

evening.

So,

just

two

ques tions.

One

was,

if

I

look

at

the

last

couple

of

quart ers,

the

pricing ,

the

optical

pricing

growth

was

probably

depr essed

a

little

bit

due
to
higher
promotional
intensity
as
well.
Would
we
say
that
this
Q4
has
seen
the
kind
of
real
impact
of
the
pricing
initia tives
that
we
had
taken
through
this
year?
And
does

this
also
signal
that
to
some
extent;
promotional
intensity
has
been
lower
in
Q4?
And
is
there
any
kind
of
trend
or
trajectory
to
make
of
it?
That's
my
first
question.

M.S. Jacob: We are not seeing any let up in promotional intensity . The market continues to be

quite

compe titive.

And

we

have

been

calibr ating

in

the

sense

we

have

used

the

revenue

growth

manag emen t

process

and

now

started

emplo ying

AI

tools

to

keep

culling

promotions.

But

we

are

redeplo ying

it

back.

So,

honesty,

we

are

not

seeing

the

let

up

that

you

are

asking

about.

So,

we

expect

in

the

short

term,

it

will

continue

to

be

at

this

level.

Harit

Kapoor:

Got

it.

And

because

I

was

just

trying

to

reconcile

between

the

higher

pricing

growth

in

Q4

versus

the

maybe

Q2,

Q3

quarters.

I

think

one

variable

was

that

maybe

promotional

intensity

may

be

a
bit
different.
So,
that
was
the
sour ce
of
my
ques tion,
the
second
one
was
on
this
inverted
duty
structur e
bit.
So,
you
men tioned,
I
think,
80
basis
poin ts
for
the
year,
if

I
am
not
wrong,
and
160
basis
points
for
the
quarter.
Is
it
fair
to
assume
that
one
has
to
absorb
this
impact
into
the
margins,
even
going
into
the
FY27?
Or
do

we

believe

that

we

can

have

a

pricing

offset

against

the

inverted

duty

structure,

which

in

turn

protects

the

profitability?

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M.S. Jacob: So, when the GST change happened, we passed through the entire gross saving, which

is
about
11%.
So,
the
bulk
of
our
products,
GST
rates
moved
from
18%
to
5%,
we
didn't
pass
it
on
netting
off
the
IDS.
So,
that
stays
in
the
baseline.
We
are

approaching

it

in

multiple

ways.

One

is

there

are

ways

to

be

more

efficient

here.

And

for

example,

there

are

transporters

who

move

to

18%,

but

there

are

transporters

on

5%.

So,

there

are
different
ways
you
could
find
to
offset
a
part
of
it.
And
then
we
are
also
making
representation
to
the
government,
to
the
industry
chambers,
to
requesting
that
we
be
allowed
to

get
a
refund
from
all
the
non-manuf acturing
states.

As
you
under stand
today,
you
are
allowed
to
claim
refund
in
the
states
wher e
the
plan ts
are
presen t
and
not
the
other
pure
warehouse
and

distribution

states.

So,

that's

the

other

piece

we

are

looking

at.

And

the

third

piece

is

some

of

our

key

supplier s

are

also

represen ting

to

the

governmen t

to

lower

the

rate,

input

rate

on
their
material.
If
they
are
supplying
at
18%,
they
are
saying
they
are
supplying
primarily
to
the
oral
care
industry,
which
has
duties
at
5%
and
they
should
not
be
charged
18%.

So,
multiple
ways
we
are
looking
at
it.
We
stay
optimis tic
that
we
will
find
a
more
reasonable
solution
to
this.

Moder ator: Thank you. The next ques tion is from the line of Latika Chopr a.
Latika

Chopr a:

Two
ques tions,
quick
ones.
First
was
during
the
quart er,
did

the

volume

growth

see

any

benefit

from

grammar

increases

for

your

low

unit

packs?

Was

that

something

which

was

material?

Prabha

Narasimhan:

So,

maybe

I

can

take

that

one.

As

Jacob

mentioned,

Latika,

we
have
put
through
some
grammaging
increases
as
part
of
the
changes
in
GST
and
passing
on
benefits
to
consumers.

And
actually ,
we
have
put
through
more
than
11%
on
a
few
of

the

pack s.

However,

given

the

pipelines

of

all

of

these,

this

is

not

the

reason

for

the

balanced

volume

and

price

growth.

That's

not

the

underlying

reason.

That's

taking

time

to

get

there.

I
think
even
of
our
latest
estimate
in
March,
only
about
30-40%
of
those
SKUs,
which
are
already
just
a
small
part
of
our
business,
are
with
higher
grammage.
So,
we
are
not

seeing
that
as
the
reason
for
the
volume
growth,
if
that's
where
the
question
is
coming
from.
Latika
Chopra:
No,
not
entirely.
I
just
thought,
was
that
a
material
contribution?
But
I
got

the
sense
that
it
was
immaterial.

The
second
bit
was
as
you
look
at
FY27,
and
you
have
talked
about
a
lot
of
initiatives
that
we
are
putting
under way,
is
it
fair
to

assume

that

there's

a

fair

bit

of

comfort

that

earlier

we

used

to

target

and

talk

about

a

mid-single-digit

volume

growth

in

the

business?

And

is

that

some thing

that

you

think

is

a

fair
growth
outlook
for
your
business
for
the
next
few
years?

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M.S. Jacob: So, we obviously are looking to grow this company fast. Top-line growth remains a huge priority, and the balance between volume and

pricing
would
be
the
key
one.
So,
beyond
that,
Latika
won't
be
able
to
give
an
indic ation
of
wha t
that
number
is
that
we
are
targeting.
But
obviously
we
are
looking
at
high

number s,

and

we

are

looking

at

a

balance

of

volume

and

pricing

that

should

give

you

an

idea

of

wher e

we

expect

to

land.

Latika

Chopr a:

All

right.

And

the

last

one

was

on

e-commerce

and

quick

commerce

channels.

Clearly

this

is

a

margin-accrutive

and

a

market-share-accrutive

channel

for

you.

I

just

wanted

to

understand,

in

FY26,

what

were

the

feelings

of

this

particular

channel

or

as

you

exited

the

year?

Thank

you.

Prabha

Narasimhan:

So,

Latika,

the

channel

is

roughly

about

10%

of

our

business

now.

And

like

I

said,

yes,

it

grows

faster,

it

gains

share,

it

drives

premiumization,

it

drives

margin.

So,

it's

a

channel

that

is

completely

in

sync

with

the

second

pillar

of

our

strategy,

which

is

to

drive

premiumization.

Moderator: Thank you. Thank you very much. Ladies and gentlemen, that was the last question

for

today.

I

will

now

hand

it

over

to

Ms.

Neethi

Nair

for

her

closing

remarks.

Neethi Nair: Thank you, everyone. With this, we come to the end of our Analyst Meeting. Many thanks

for

your

participation

and

your

time.

The

playback

of

this

event

will

be

available

on

our

company

website

later

on.

Good

evening

and

have

a

nice

Weekend.

Moder ator: Thank you. Ladies and gentlemen, on behalf of Colg ate-Palmoliv e India Limit ed,
that

concludes

this

conference.

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

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of

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